



**nairobi
securities
exchange**

Discover Opportunity



2024

INTEGRATED REPORT & FINANCIAL STATEMENTS



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Inspiring Africa's Transformation





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NSE

Data Services

Access live or intra-day data on Equities, Fixed income and Equity Derivatives (single-stock futures (SSFs) and Index Futures) markets as well as market statistics data generated by the NSE

Nairobi Securities Exchange
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Nairobi, Kenya

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HOW TO READ OUR REPORT

Section	Description	Key Highlights and Contents
Our Business	This introductory section outlines who we are, what we do, and the core values that guide our operations. It provides a snapshot of NSE's performance in 2024 and sets the stage for the rest of the report.	- Overview of NSE Business Structure - Our Mission and Vision Statements - Leadership Team Introduction - 2024 Market and Business Highlights - Summary of Our Clients and Stakeholders - Description of Products and Services Offered
Addresses from Senior Leadership	Includes strategic insights and performance reflections from our senior leaders. These messages provide transparency on leadership priorities, market positioning, and plans for sustainable growth.	- Chairman's Statement on Governance and Vision - Chief Executive's Review of Operational Performance - Trading Data and Analytics Report on Market Trends - Business Development Highlights and Future Plans
Value Creation	Explains how NSE creates sustainable value for its stakeholders through strategic planning, stakeholder engagement, and a resilient business model.	- Identification and Role of Our Stakeholders - Overview of NSE's Strategic Objectives and Key Initiatives - Description of Our Business Model and How It Creates Value

HOW TO READ OUR REPORT (CONTINUED)

Section	Description	Key Highlights and Contents
How We Protect Shareholder Value	Details the governance framework, risk management practices, and internal controls that underpin NSE's operations and ensure long-term value protection.	- Comprehensive Risk Management Framework - Composition and Role of the Board of Directors - Corporate Governance Principles and Practices - Independent Governance Auditor's Report
Annual Financial Statements	Provides a transparent and audited overview of NSE's financial health, performance, and accountability to shareholders.	- Directors' Report and Commentary - Statement of Directors' Responsibilities - Detailed Shareholding Structure - Directors' Remuneration Report - Independent Auditor's Report - Consolidated Financial Statements
Shareholder Information	Contains relevant documents and disclosures for shareholders in preparation for the Annual General Meeting (AGM).	- Official Notice of the AGM - Proxy Form for Shareholder Voting - Instructions for Participation and Voting

CORPORATE INFORMATION

Directors

Mr. Kiprono Kittony, EBS	Chairman
Mr. Paul Mwai	Vice-Chairman
Mr. John Niepold	
Mr. Donald Wangunyu	
Mr. Stephen Chege	
Ms. Risper Alaro	
Ms. Isis Nyong'o	
Ms. Carol Kariuki	
Mr. Frank Mwiti	Chief Executive Officer

Company Secretary

Ms. Millicent Ngetich
Certified Public Secretary (Kenya)
Image Registrars Limited
P.O. Box 9287 – 00100 GPO
Nairobi, Kenya

Registered Office

L.R. No 209/18851
The Exchange, 55 Westlands Road
P.O. Box 43633 - 00100
Nairobi, Kenya

Auditors

Deloitte & Touche LLP
Deloitte Place
Off Waiyaki Way
P.O. Box 40092 - 00100
Nairobi, Kenya

Bankers

KCB Bank Limited
Moi Avenue Branch
P.O. Box 30081 – 00100
Nairobi, Kenya

CORPORATE INFORMATION (CONTINUED)

Standard Chartered Bank Kenya Limited
Chiromo Branch
P.O Box 3003 – 00100
Nairobi, Kenya

Co-operative Bank of Kenya Limited
Westlands Branch
P.O. Box 48231 – 00100
Nairobi, Kenya

Legal Advisers

Mboya Wangong’u & Waiyaki Advocates
Lex Chambers
Maji Mazuri Road, Lavington
P.O. Box 74041 – 00200
Nairobi, Kenya

Walker Kontos Advocates
Hakika House
Bishops Road
P.O. Box 60680 – 00200
Nairobi, Kenya

Mohammed Muigai LLP
MM Chambers, 4th Floor, K-Rep Centre
Wood Avenue, Off Lenana Road, Kilimani
P.O. Box 61323 – 00200
Nairobi, Kenya

KN Law LLP
The Pavilion Westland
Lower Kabete Road
Nairobi, Kenya

ABOUT THIS REPORT

The Nairobi Securities Exchange Plc is pleased to present its integrated report for the period January 1 2024 to December 31 2024.

The report is aimed at providing adequate information to our stakeholders, giving a comprehensive overview of how the NSE created value to all its stakeholders in the period under review. It reports on how the NSE leveraged on its various forms of capitals to create and enhance value.

The report will offer our stakeholders a deeper understanding of our operations, highlighting our achievements, opportunities as well as challenges faced during the period under review as we seek to become Africa's leading trading and investment platform.



Purpose

This report is an acknowledgment of the critical importance the Group has placed in enhancing its communication with stakeholders through linking financial and non-financial standards in measuring our performance. This report will therefore provide insights into the financial, operational, strategic, social and governance performance as well as outcomes and implications to the Group in the year under review.



Scope of the Report

The scope of this report relates to the NSE, an investment services company as well as material issues arising from its Derivatives Market, its related investments and other business lines. Any reference made to the Group will represent the NSE and its subsidiaries as well as its associate investments. The report will however capture any material issues arising from any related transactions regarding the Group before the publication of this report.

Preparations and Presentation

This integrated report has been prepared in accordance with the International Integrated Reporting Framework. The NSE Board of Directors has applied the fundamental concepts and principles recommended in the framework in the preparation of this report. As a listed company, we have prepared this report in line with the guidelines of the Kenya Companies Act 2015 and specifications issued by the Capital Markets Authority (CMA).

The Group Financial Statements were prepared in accordance with International Financial Reporting Standards (IFRS).



International Investor Roadshows

Our international roadshows enable us to connect Kenyan companies with global investors by showcasing their potential in major financial hubs like New York, London, Hong Kong, Dubai, and Singapore. These platforms enhance visibility, attract foreign capital, and build investor confidence in Kenya's market.

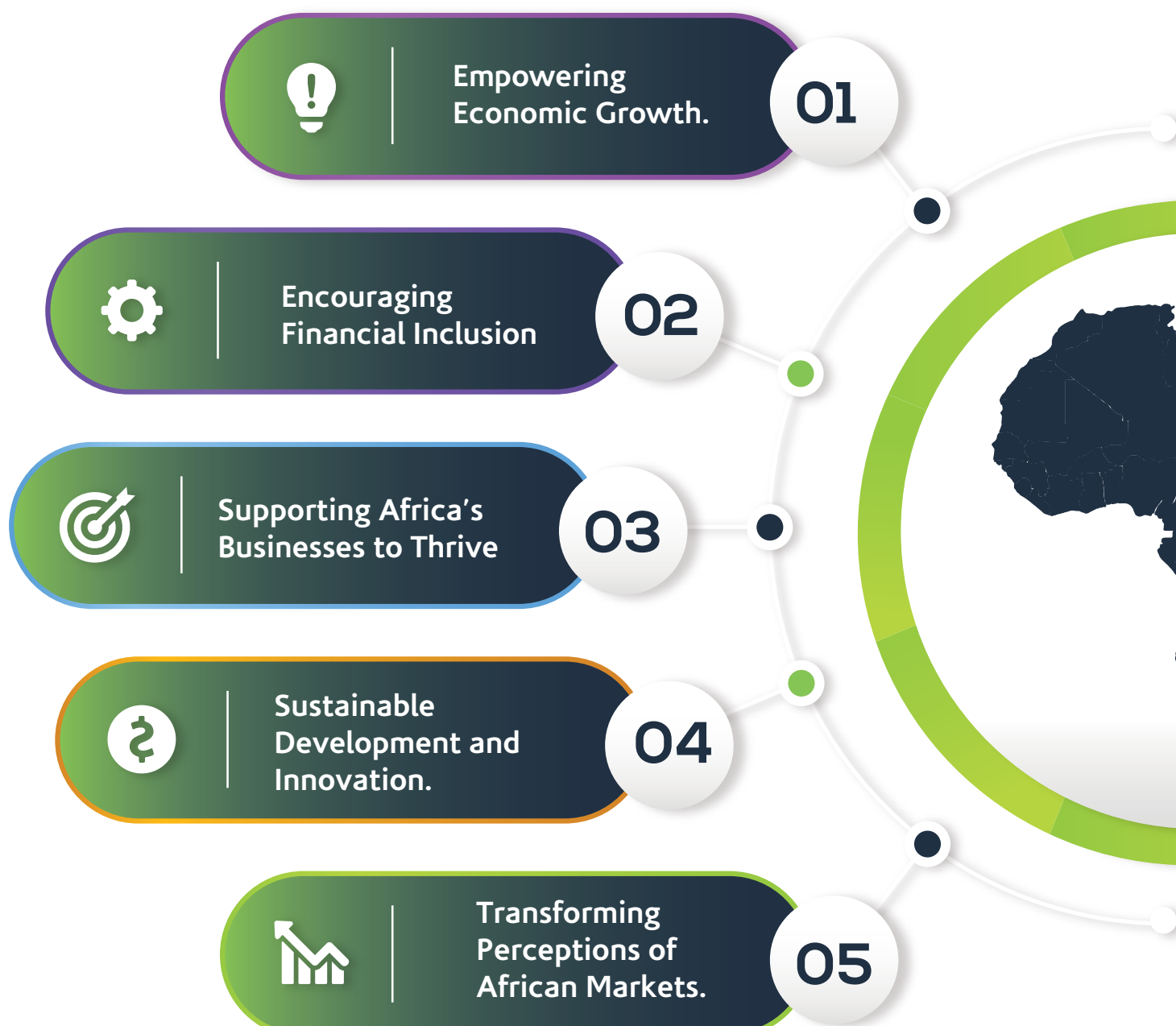
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Mobile: +254 0724 253 783 / +254 0733 222 007
Email: info@nse.co.ke

OUR NEW STRATEGIC IMPERATIVES

Our Purpose

Inspiring Africa's Transformation.



OUR NEW STRATEGIC IMPERATIVES (CONTINUED)

Mission

Unleashing Africa's potential through innovative capital markets solutions powered by People, Partnerships, and Technology



ABOUT US

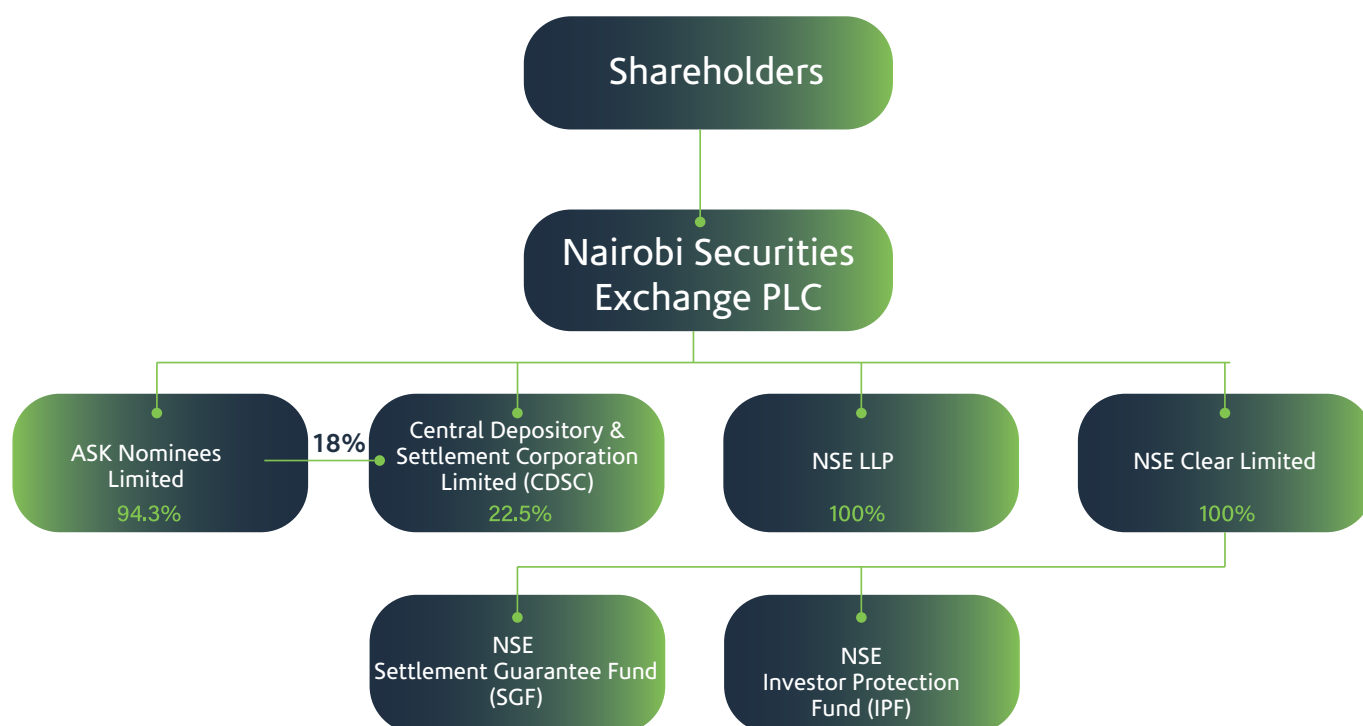
OUR BUSINESS STRUCTURE

PURPOSE

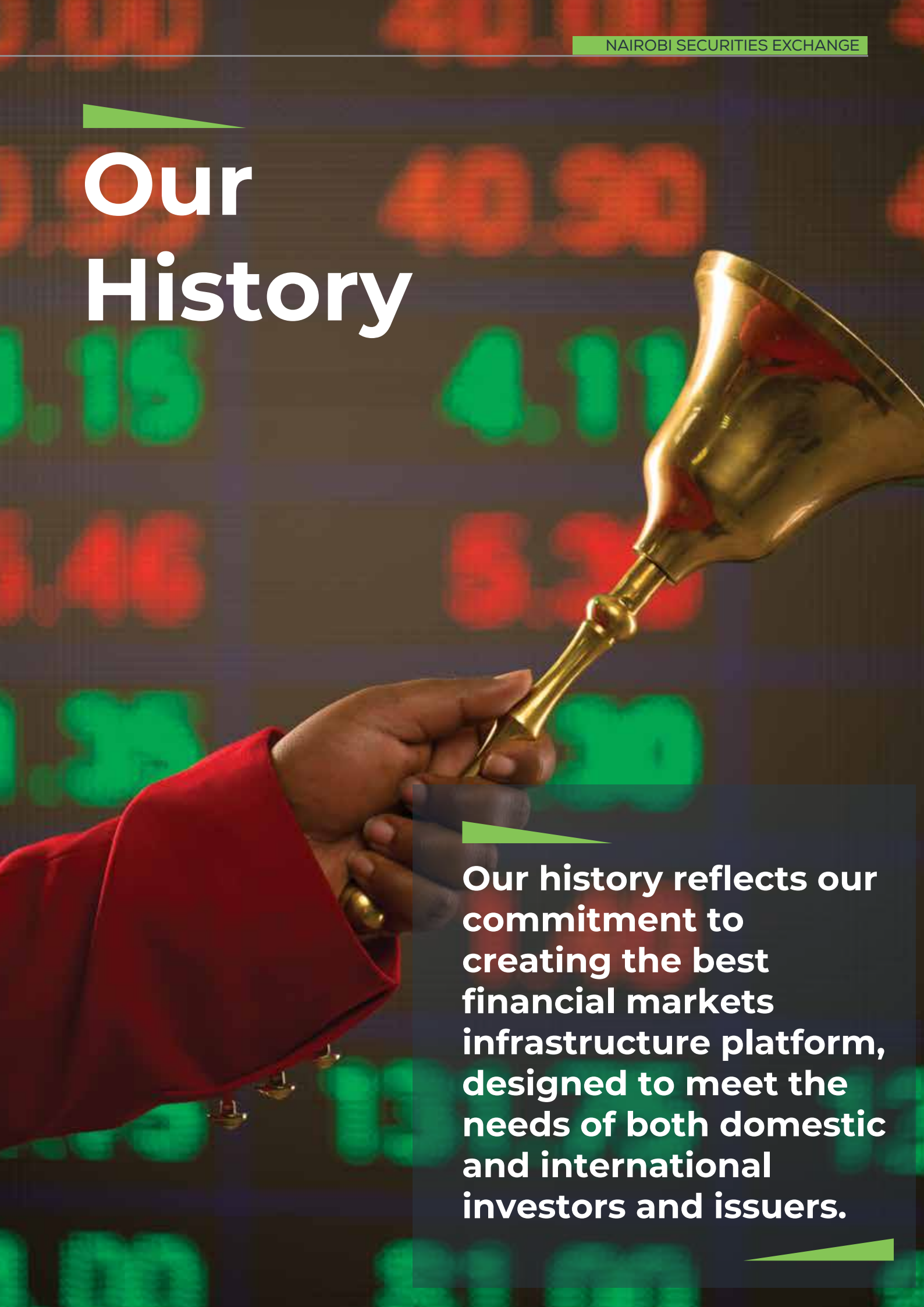
Inspiring Africa's Transformation.

MISSION

Unleashing Africa's potential through innovative capital markets solutions powered by People, Partnerships, and Technology



Our History

A hand wearing a red jacket sleeve holds a large brass bell. The background is a blurred stock market display with green and red numbers. The text is overlaid on a dark blue rectangular area in the lower right.

Our history reflects our commitment to creating the best financial markets infrastructure platform, designed to meet the needs of both domestic and international investors and issuers.

OUR HISTORY

1921

- The NSE was registered as a private company limited by shares. Share trading moved from being conducted over a cup of tea (at the Exchange Bar at the Stanley Hotel), to the floor based open outcry system.

1953

- Dealing in shares commenced with trading taking place on a gentleman's agreement. London Stock Exchange (LSE) officials accepted to recognize the setting up of the Nairobi Stock Exchange (NSE) as an overseas stock exchange in 1953.

2006

- The NSE implemented live trading on its own Automated Trading System (ATS) trading equities. The ATS also had the capability of trading immobilized corporate bonds and treasury bond

2008

- The NSE launched the NSE Investment Challenge to promote financial literacy and stock market investments amongst Kenyan youth.

2009

- The NSE marked the first day of automated trading in government bonds through the ATS and uploaded all government bonds on the System

2011

- The Nairobi Stock Exchange Limited changed its name to the Nairobi Securities Exchange Limited. The change of name was a reflection of the 2010 – 2014 strategic plan of the NSE to evolve into a full service securities exchange, which supports trading, clearing and settlement of equities, debt, derivatives and other associated instruments

2013

- The Growth Enterprise Market Segment was launched giving small and medium enterprises a great opportunity to access the capital markets.

2014
(June)

- The NSE received formal approval from the Capital Markets Authority (CMA) to operate as a demutualized entity. The NSE also received formal approval from the CMA to offer its shares to the public through an Initial Public Offer (IPO) and to self-list its shares.

2014
(Sep)

- The NSE listed its 194,625,000 issued and fully paid up shares on the Main Investment Market Segment under a new sector - Investment Services of the Bourse after a successful IPO. Following its self-listing, the Exchange became the second African Exchange after the Johannesburg Stock Exchange, to be listed, support trading, clearing and settlement of equities, debt, derivatives and other associated instruments

2015

- The NSE became the fourth African Bourse to launch the Real Estate Investments Trusts (REITs) market and consequently listed the first REIT, the Stanlib Fahari I-REIT.

2016

- The NSE received formal recognition as a Self-Regulatory Organization (SRO) by the Capital Markets Authority (CMA).

OUR HISTORY (Continued)

2017

- The NSE became the first Exchange in the East African region to introduce Exchange Traded Funds (ETFs) and subsequently listed the Barclays New Gold ETF.

2018
(Jan)

- The NSE became the first Exchange in East and Central Africa to be admitted as a full member of the World Federation of Exchanges (WFE).

2018
(Jan)

- The NSE became the first Exchange in East and Central Africa to be admitted as a full member of the World Federation of Exchanges (WFE).

2018
(Dec)

- The NSE launched its incubation and acceleration program dubbed Ibuka (meaning 'emerge' in Swahili) to offer companies the opportunity to grow their businesses and develop scalable and impactful business models.

2019
(Feb)

- The NSE launched revised listing rules incorporating listing requirements for Green Bonds enabling the NSE to offer a new asset class to issuers and investors.

2019
(May)

- The East African Securities Exchanges Association (EASEA) in partnership with the Rwanda Stock Exchange hosted the inaugural conference within East Africa Capital Markets Day in Kigali, Rwanda.

2019
(July)

- The NSE launched NEXT Derivatives Market, becoming the second Exchange in Africa to offer Exchange traded derivatives. The launch enabled the NSE to commence the trading of Single Stock and Index Futures.

2019
(Oct)

- The NSE launched a new trading system provided by millennium technologies, who are part of the London Stock Exchange group.

2020

- Launched a dynamic and user-friendly mobile app, to enhance investors participation in Kenya's capital market.

2021

- Launched its Unquoted Securities Platform (USP)

2021
(Aug)

- Safaricom and Nairobi Securities Exchange announced their partnership to enable customers invest in stocks by redeeming their accrued Bonga points. Customers redeem their points at a rate of KES 1 for every 5 points

2021
(Nov)

- NSE launched ESG Disclosure Guidance Manual.

OUR HISTORY (Continued)

2021
(Dec)

- NSE launched Day Trading as part of its strategy to enhance market liquidity.

2022
(May)

- The NSE introduced single stock futures onto the NSE derivatives market. The aim was to create a significant step in the development of the NEXT Derivatives Market and the advancement of the Capital Markets ecosystem in Kenya.

2022
(Sep)

- NSE PLC and Risk Insights announced their partnership. The NSE PLC will be using Risk Insights' ESG GPS suite of products to access the underlying ESG reports and leverage on ESG ratings to support companies on their ESG journey to improve their ESG transformation strategies, disclosure and performances. NSE admitted Private Wealth Capital Limited (PWCL) as an Authorized Securities Dealer (ASD) for fixed income securities listed on the NSE following the firm's approval to operate as an ASD by the Capital Markets Authority.

2023
(Sep)

- NSE's oldest pension scheme, the Local Authorities Pension Trust (LAPTRUST) listed the first Income-Real Estate Investment Trust (I-REIT) by a pension fund on the NSE at a ceremony officiated by His Excellency Dr. William Samoei Ruto, C.G.H., President of the Republic of Kenya and Commander-in-Chief of the Defence Forces.

2023
(Sep)

- The NSE launched two new market indices, NSE 10 Share Index (N10) and the NSE Bond Index (NSE-BI). The two indices track the performance of the equities market and bonds market respectively. The development followed extensive engagements with various stakeholders including potential issuers of structured products like the Exchange Traded Funds (ETF).

2023
(Nov)

- The NSE approved the admission of the Linzi Sukuk on the NSE Unquoted Securities Platform (USP) making the product the first Shari'ah compliant product to be admitted on the platform.

2023
(Nov)

- His Excellency Dr. William Ruto officiated the opening ceremony of the 26th African Securities Exchanges Association (ASEA) Annual Conference and its 30th Anniversary Celebrations at the Villa Rosa Kempinski Hotel in Nairobi.

2024
(May)

- The NSE conducted its first non-deal roadshow in London, meeting with a number of leading London-based institutional investors. The initiative was part of the NSE's ongoing efforts to broaden the investor base for Kenya's robust equity and debt markets.

2024
(Aug)

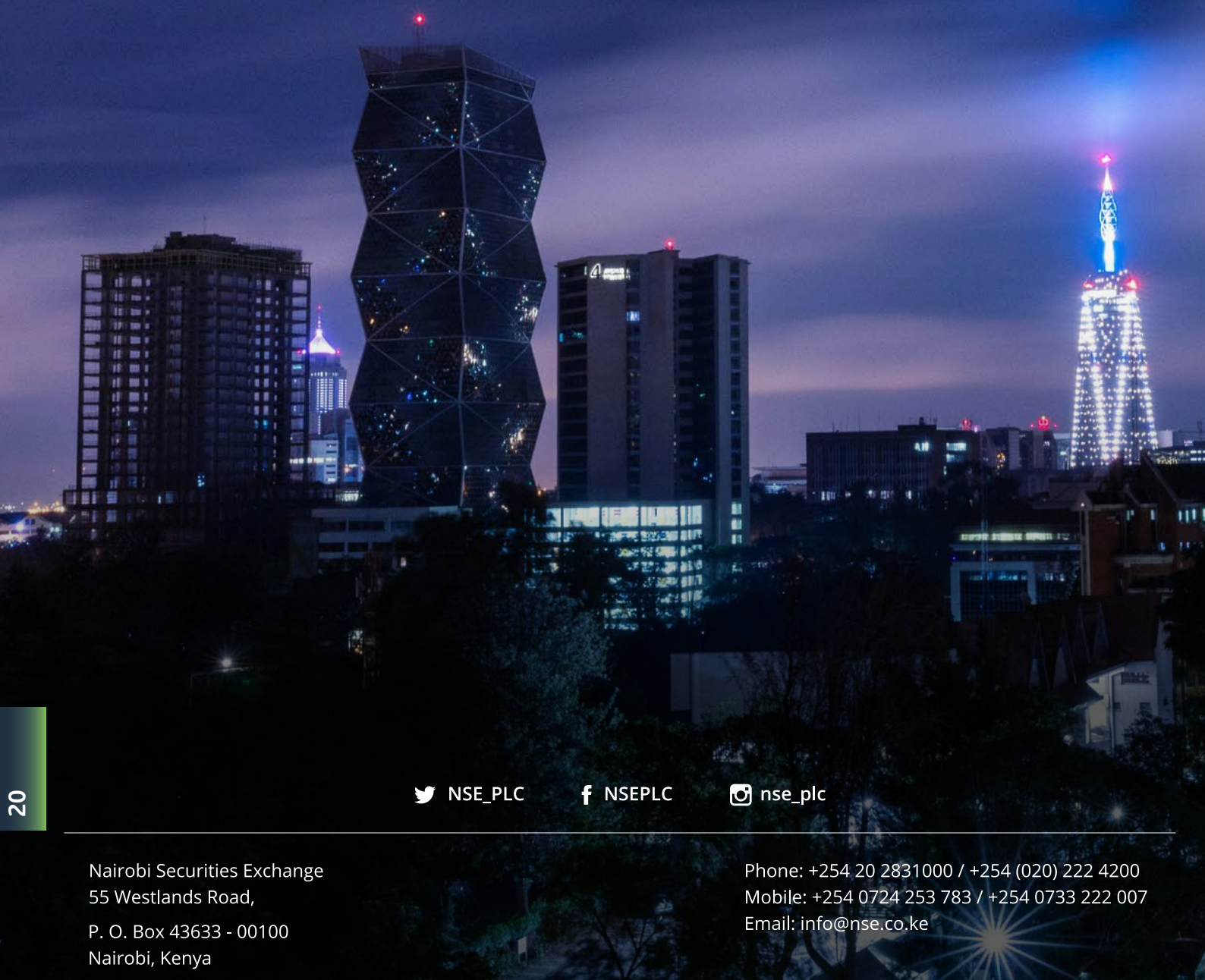
- The NSE officially joined the Hedera Council to accelerate tokenization initiatives using the Hedera network. The admission to the Council was aimed at enabling the NSE develop the capacity to accelerate the launch and trading of tokenized securities and securities linked to digital assets on its Exchange.

Access To Flexible **Quoting** Requirements

The USP will offer issuers a flexible quoting and regulatory requirements whilst enabling them to trade their securities.

Creating Opportunities in Regional Economies

We offer **investors access to Kenya's and East Africa's economic growth through exposure to leading companies** across various sectors of the economy.





Overview

A review of Nairobi Securities Exchange PLC
Financial & Operational performance

-
1. Business Performance & Market Highlights
 2. Chairman's Statement
 3. Chief Executive Officer's Statement

2024

FINANCIAL HIGHLIGHTS

TOTAL INCOME (Kshs.)

2024: 828 Million
2023: 662 Million

25.08%

PROFIT AFTER TAX (Kshs.)

2024: 116 Million
2023: 18 Million

544.44%

EQUITY TRANSACTION LEVY (Kshs.)

2024: 253 Million
2023: 211 Million

20%

BOND TRANSACTION LEVY (Kshs.)

2024: 169.9 Million
2023: 64.4 Million

164%

INTEREST INCOME (Kshs.)

2024: 146.9 Million
2023: 120.9 Million

21.5%

TOTAL ASSETS (Kshs.)

2024: 2.15 Billion
2023: 2.02 Billion

6.44%

2024

MARKET PERFORMANCE HIGHLIGHTS

EQUITY TURNOVER (Kshs.)



2024: 105.9 Billion
2023: 88.2 Billion

20% ↑

BONDS TURNOVER (Kshs.)



2024: 1.5 Trillion
2023: 643.9 Billion

140% ↑

SHARES TRADED



2024: 4.8 Billion
2023: 3.6 Billion

20% ↑

NSE 20 SHARE INDEX (Points)



2024: 2010.65
2023: 1501.16

33% ↑

NSE ALL SHARE INDEX (Points)



2024: 123.48
2023: 92.11

34% ↑

DERIVATIVES TURNOVER (Kshs.)



2024: 170 Million
2023: 64.2 Million

165% ↑

Chairman's Statement

NSE was the best performing exchange in Africa in dollar returns as per the Morgan Stanley Capital International.

Kiprono Kittony, EBS
Chairman
NSE PLC

CHAIRMAN'S STATEMENT

Dear Shareholders,

It is my pleasure to present to you our Annual Integrated Report and Financial Statements for the year 2024.

The year 2024 was a defining period for capital markets all over the world. The period under review was characterised by a mix of macroeconomic developments that influenced growth and performance worldwide.

Despite these challenges, I am happy to announce that driven by our sharp focus on delivering value, we were able to deliver an exceptional performance making us the best performing exchange in Africa in dollar returns as per the Morgan Stanley Capital International.

This outstanding performance amidst a challenging macroeconomic backdrop reflects our resolve to continue growing our market, strengthening its position, and striving towards our vision of becoming the premier investment hub on the continent.

Operating Environment Context

In 2024, we experienced significant improvements in our operating environment, which translated into strong performances across both our equity and debt markets.

A key development was Kenya's successful settlement of a USD 2 billion Eurobond debt, alleviating its concerns over potential defaults. This action restored investor confidence in Kenya's economic stability, and supported the recovery and stabilization of the Kenyan shilling, which saw notable gains against the US dollar, thereby bolstering overall market performance.

Additionally, 2024 marked a turning point in the global economic environment, as the long period of monetary tightening that had characterized 2022 and 2023 began to ease. Following aggressive interest rate hikes to combat rising inflation, we saw a shift in global policy, with several central banks starting to reduce interest rates and notably the US Federal Reserve reducing rates three times in the final quarter of the year.

This shift in interest rates rejuvenated interest in equity markets across frontier markets globally, enhancing their appeal to investors and further propelling the performance of our exchange.

Dividends

The NSE has embraced a progressive dividend policy that not only prioritizes enhanced returns to our shareholders but also ensures that the company remains well-capitalized to seize future opportunities and fund the execution of our new strategic initiatives. In line with this commitment, I am pleased to announce that the Board

has recommended a first and final dividend of Kshs. 0.32 per share (2023: Kshs. 0.16 per share) to be paid to shareholders on or before 31st July 2025.

Outlook for 2025

As we look ahead to 2025, the NSE remains firmly committed to executing our 2025-2029 strategy, with a particular focus on driving revenue growth and enhancing shareholder value. This year will be pivotal in laying the groundwork for the long-term success of our transformative journey, and we are confident that our strategic initiatives will position us to achieve the bold objectives we have set.

Our primary focus for 2025 will be on strengthening our core operations and accelerating the execution of key initiatives under our three strategic pillars. By driving these initiatives forward, we expect to see meaningful progress in revitalizing the market, expanding our investor base, and unlocking new sources of revenue.

In 2025, we will continue to prioritize driving sustainable revenue growth across both trading and non-trading sources. As part of our goal to make the NSE a Kes. 3 billion revenue company by 2029, we will implement strategic measures aimed at diversifying and expanding our income streams.

The Board will remain closely involved in the implementation of the 2025-2029 strategy, providing ongoing oversight and ensuring that management remains accountable for executing our vision effectively. The Board's role will be critical in guiding the company through the challenges and opportunities that may arise over the course of the year. With a focus on delivering shareholder value, the Board will continue to monitor management performance, ensuring that the business stays on track and aligned with the strategic goals set forth.

Appreciation

As I conclude my statements, I would like to express my sincere gratitude to the various teams whose efforts have been pivotal in supporting our resilience throughout the year. I am especially thankful to the Board of NSE PLC for their strategic guidance and steadfast commitment to the company's growth.

Equally, I would like to appreciate the Management and staff for their hard work and adaptability in navigating an increasingly difficult operating environment. Your dedication has been invaluable in driving the company's progress and ensuring we remain on track to achieve our goals.

CHAIRMAN'S STATEMENT (CONTINUED)

I would also like to acknowledge the Government of Kenya for its continued focus on enhancing the growth of the country's capital markets. Through our engagement with key bodies such as the National Treasury, the Central Bank of Kenya, the Capital Markets Authority, and the Privatization Commission, we have laid a solid foundation for a market recovery.

My gratitude extends to all our stakeholders across the capital markets, including the Kenya Association of Stockbrokers and Investment Banks, market participants, listed companies, and professional bodies.

Finally, to our shareholders, whose support continues to be the cornerstone of our business, I remain fully committed to growing the company and enhancing shareholder value in the years ahead.

Thank You,

MR. KIPRONO KITTONY, EBS
CHAIRMAN
NAIROBI SECURITIES EXCHANGE PLC

NSE Data Services

Access live or intra-day data on Equities, Fixed income and Equity Derivatives (single-stock futures (SSFs) and Index Futures) markets as well as market statistics data generated by the NSE



CEO Statement

Growth in profit after tax

+ 500%

Growth in total income

+ 25%

Frank Lloyd Mwiti
Chief Executive Officer,
NSE PLC

CHIEF EXECUTIVE OFFICER'S STATEMENT

Dear Shareholders,

On behalf of the Management and Staff of the Nairobi Securities Exchange Plc (NSE), it is with great pleasure that I present to you the financial and operational performance of the Exchange for the fiscal year ended December 31, 2024. This report highlights the progress we have made, the challenges we have navigated, and our strategic initiatives moving forward, all aimed at delivering sustainable growth and long-term value for our stakeholders.

Trading Performance

In 2024, the market demonstrated remarkable resilience, achieving a record-breaking performance, as evidenced by key metrics that reflect its strength. This outstanding performance positioned the NSE as the best-performing market in Africa, following a period of subdued market conditions in 2023.

The NSE's benchmark indices recorded their highest performance in over a decade, showcasing the significant recovery the market experienced in 2024.

The NSE 20 Share Index surged by 33.94%, or 509.49 points, closing at 2,010.65.

The NSE All Share Index (NASI) rose by 34.06%, or 31.37 points, to settle at 123.48. Similarly, the NSE 25 Share Index and the NSE 10 Share Index saw increases of 42.96% (1,022.57 points) and 43.50% (394.80 points), respectively, closing at 3,402.80 and 1,302.31.

Equity market turnover also saw a significant increase of 20.10%, reaching Kes. 105.97 billion, compared to Kshs. 88.2 billion in 2023. This growth was driven by increased investor activity, as capital was reallocated to equities, which became a more favourable asset class. Year-on-year trading volumes in the equity market grew by 32%, totalling 4.93 billion shares, up from 3.75 billion in 2023. Consequently, the market capitalization surged from Kes. 1.4 trillion to Kes. 1.9 trillion.

In the bond market, turnover soared by 140%, closing the year at Kshs. 1.5 trillion, up from Kshs. 643 billion in 2023. This marked a historic milestone, as the bond market crossed the Kshs. 1 trillion mark in cumulative turnover

for the first time ever, reflecting another record-breaking achievement for the NSE in 2024.

Key Market Developments in 2024

In 2024, several additional companies listed on the NSE were included in the prestigious MSCI Frontier Markets Indices, a significant milestone for Kenya's equity market. Morgan Stanley Capital International (MSCI), a global leader in investment decision support, updated both the MSCI Frontier Markets Index and the MSCI Frontier Small Cap Index. This expansion reflects improving market conditions and highlights Kenya's growing economic potential. Following MSCI's 2024 reviews, the total number of NSE-listed companies in the MSCI Frontier Markets Indices has now reached twelve.

In the year, we achieved another key development in the equity market with the NSE receiving an upgrade on its classification from "restricted" to "pass" by the FTSE Russell Index Governance Board in March 2024. This upgrade followed FTSE's interim review of Kenya's equity market, which confirmed that Kenya's equity market had resolved previously reported delays in institutional investors' ability to invest capital and repatriate income.

The reclassification was a testament of the continued improvement in Kenya's equity market and a demonstration of the confidence international institutional investors placed in our market.

To further support and broaden the investor base for Kenya's equity and bonds market, we concluded a highly successful non-deal roadshow in London, where the NSE met with a number of leading London-based institutional investors. The multi-day event was instrumental in fostering engagements between NSE and top London-based buy-side firms, offering a platform to discuss opportunities available within Kenya's capital markets. Going forward, we see offering investor relations services including roadshows as a key revenue earner for the NSE.

Financial Performance

I am happy to report that the performance of the business improved significantly in comparison to its performance in the year 2023. The business has multiple revenue sources and we are building new income streams to enable us meet our revenue and profitability targets.

The Group reported an increase in profit after tax of over 100% from Kshs. 18.4 million in 2023 to Kshs. 116.3 million in 2024.

CHIEF EXECUTIVE OFFICER'S STATEMENT (CONTINUED)

This growth was attributed to increase in the markets trading income specifically bonds revenue which increased from Kshs. 64 million in 2023 to Kshs.169.8 million in 2024. Interest income also increased from Kshs.120.9 million in 2023 to Kshs.146.9 million in 2024.

We also had consultancy income of Kshs.10.9 million in 2024 on the Oromia capital markets consultancy which was signed in 2023.

Total expenses increased by 13% from Kshs.596 million in 2023 to Kshs.673 million in 2024. This was mainly driven by the impact on the weakening of the Kenya shilling on foreign currency denominated expenses in the first half of the year and cost of market support activities.

Our 2025-2029 Strategy

As committed last year, I am delighted to report that we successfully finalised the process of developing our 2025 –2029 Strategy.

Guided by our new purpose, Inspiring Africa's transformation, our strategy represents a bold and ambitious future for the Exchange, positioning the business for long-term success.

This transformative journey is anchored on three strategic pillars centred around nine bold goals that we aim to achieve over the next five years.

Over the next five years, our goal is to grow NSE's revenue to KES 3 billion, with 60% of this revenue coming from non-trading sources. Additionally, we aim to optimize our cost base, bringing the cost-to-income ratio down to 40%.

A key component of our strategy is the listing of 40 new companies through positioning the NSE as a premier platform for raising initial and ongoing capital at competitive rates. We also plan to expand the number of boards on the NSE to target new, high-potential companies. Further, we aim to list 50 new index funds, providing investors with additional opportunities to deploy capital in Kenya as we target to be the most preferred financial services hub for the region.

Shareholders, at the core of our new strategy is a renewed focus on increasing retail investors participation in the market. Retail investors are the backbone of any vibrant financial ecosystem, and we are committed to empowering individuals to actively engage in wealth creation and investment opportunities.

Domestic retail investors represent a significant untapped market, with the potential to enhance market liquidity and volumes. To this end, we have set an ambitious target of

bringing on board 9 million active retail investors by 2029. To achieve this, we have positioned ourselves to provide direct market access and implement an agency model that fosters closer engagement with investors. We will also prioritize investor education, streamline access through technology-driven trading platforms, and introduce innovative products specifically designed to meet the needs of this essential market segment.

A New Structure of Working

Our new strategy requires us to adopt an updated organizational structure and a heightened sense of urgency in execution to effectively deliver on our strategic priorities. As part of this, we have restructured our commercial teams, shifting from a broad market engagement strategy with a limited team to a sector-based approach. This will enhance our coverage of current and prospective clients while addressing the financing needs of key growth sectors in our economy.

Under this new approach, our business development strategy will focus on four critical sectors: the Banking and Public Sector, Agriculture, Corporates (including large corporates, SMEs, Real Estate Investment Trusts, FinTechs), and SACCOs. Additionally, we have transitioned former business leaders into sector-specific commercial leaders, ensuring that our team is fully aligned to support the successful execution of our strategy.

For an exchange to remain truly relevant in the African context, it must go beyond traditional market functions and embrace a development agenda that fosters economic growth and sustainability. With this in mind, we have introduced advisory services designed to not only generate additional revenue for the NSE but also enable us to actively contribute to the broader development ecosystem. These services will help address critical gaps in the market, support key sectors, and strengthen our role as a catalyst for growth and innovation across Africa.

This strategy represents a pivotal moment for the NSE, laying the foundation for a transformative journey ahead. I believe that we are positioning ourselves to not only drive growth but also deliver long-term value to our shareholders. We are confident that the successful execution of this strategy will establish the NSE as a leading force in Africa's capital markets, creating lasting impact and fostering economic progress across the continent.

(More details of the strategy are contained on pages 58 to 61).

CHIEF EXECUTIVE OFFICER'S STATEMENT (CONTINUED)

Outlook

In 2025, our primary focus will be on laying a strong foundation for the execution of our new strategy, with a particular emphasis on achieving key milestones that are crucial to the realization of our goals. These include the implementation of Direct Market Access (DMA), the agency model, and a comprehensive technology overhaul.

Equally, the NSE will prioritize accelerating the listing of companies and deepening engagement with both current and prospective issuers. To enhance this effort, we have adopted a sector-based approach to better engage and support issuers, ensuring our client-facing teams are well-equipped to provide comprehensive coverage and guidance as clients explore listing or other capital raising opportunities.

Additionally, we will undertake a complete overhaul of our technology operations in 2025. This initiative aims to reduce overall technology costs while positioning the NSE as a technology hub for financial market innovations. We will embrace a Software-as-a-Service (SaaS) model by partnering with solution providers, rather than technology providers, to strike the right balance between operational and capital expenditures. This is a key component of our new strategy.

The NSE will also continue to collaborate with the Government, supporting the privatization of state-owned enterprises and exploring innovative funding models, including public-private partnerships. We firmly believe that the Government has a strong part to play in the development of the economy.

I am fully committed to ensuring we deliver on our strategic priorities and drive sustainable growth, ultimately increasing shareholder value.

Appreciation

On behalf of the Management of the Exchange, I would like to extend my sincere appreciation and gratitude to our Board of Directors for their invaluable guidance, to our staff for their unwavering loyalty, dedication, and support in driving business-wide reforms, to our Regulator for their excellent work, and to our listed companies, trading participants, and service providers for their continued collaboration and support. Your collective efforts have been instrumental in our progress and success.

Thank you,

MR. FRANK LLOYD MWITI
CHIEF EXECUTIVE OFFICER
NAIROBI SECURITIES EXCHANGE PLC



Creating Opportunities in Regional Economies

We offer investors access to Kenya's and East Africa's economic growth through exposure to leading companies across various sectors of the economy

Nairobi Securities Exchange
55 Westlands Road,
P.O BOX 43633-00100
Nairobi, Kenya



Phone: +254 20 2831000 / +254 (020) 222 42000
Mobile: +254 0724 253 783 / +254 0733 222 007
Email: info@nse.co.ke

DIRECTORS' REPORT

The directors present their annual report together with the audited financial statements of Nairobi Securities Exchange PLC (NSE/the "Company"/the "Exchange") and its subsidiaries and structured entities (together, the "Group") for the year ended 31 December 2024, which show the state of affairs of the Company and the Group.

PRINCIPAL ACTIVITIES

The Company is the sole securities exchange licensed by the Capital Markets Authority to promote, develop, support and carry on the business of a securities exchange and to discharge all the functions of a securities exchange in Kenya.

NSE Clear Limited is a wholly owned subsidiary of the NSE. The principal objectives of NSE Clear Limited are to carry on the business of a clearing house and as such, to provide clearing and settlement services for transactions in derivative securities whether carried out on or off a securities exchange, to act as a central counterparty in derivative securities transactions and to carry out all activities that pertain to a clearing house.

The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF) are trusts whose main purpose is to strengthen the financial integrity of the derivatives market, ensure settlement of transactions in derivatives securities in case of default by a clearing member and satisfy specified claims by the investing public arising out of non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of the trading members. The Board of Directors of the NSE Clear Limited appoints Trustees of the SGF and IPF who manage and administer these funds.

The Company's holding in AKS Nominees Ltd (AKS) is 94% (2023: 94%). AKS holds an 18% shareholding in the ordinary shares of the Central Depository & Settlement Corporation (CDSC) (2023: 18%). The principal activity of the subsidiary is holding equity shares in CDSC in trust for its members who are authorised to operate as stockbrokers and investment banks in the Nairobi Securities Exchange (NSE).

The NSE Limited Liability Partnership (NSE LLP) was set up to run the Unquoted Securities Platform. The Partners of the NSE LLP are the NSE PLC, the Chief Executive and the Chief Operating Officer of the NSE PLC. The LLP has a Management Committee that oversees the day to day activities of the LLP. As per the Partnership Deed, NSE PLC shall contribute 100% of the capital of the NSE LLP and is allocated all the profits and losses of NSE LLP.

BUSINESS REVIEW

In 2024, the market demonstrated remarkable resilience, achieving a record-breaking performance that positioned the NSE as the best-performing market in Africa in dollar returns per the Morgan Stanley Capital International (MSCI).

Equity market turnover saw a significant increase of 20.10% to close the year at Kshs. 105.97 billion, compared to Kshs. 88.2 billion recorded over a similar period in 2023. Equity turnover was further driven by the Bamburi block trade, which took place in the fourth quarter of 2024, following the acquisition of a 96.54% stake in Bamburi Cement by Tanzanian conglomerate Amsons Group. Year-on-year trading volumes in the equity market also grew by 32%, totalling 4.93 billion shares, up from 3.75 billion in 2023. During the year, market capitalization surged from Kshs. 1.4 trillion to Kshs. 1.9 trillion as prices of various equities listed on the NSE soared in the year.

In the bond market, turnover soared by 140%, closing the year at Kshs. 1.5 trillion, up from Kshs. 643 billion in 2023. This marked a historic milestone, as the bond market crossed Kshs. 1 trillion in cumulative turnover for the first time ever, reflecting another record-breaking achievement for the NSE in 2024. The strong performance in the bond market reflected the positive outcomes of our market-wide bond market reforms that increased the efficiency and appeal of the bond market to global and domestic investors.

The Derivatives Market recorded a turnover of Kshs. 170.09 million representing a 165% increase compared to Kshs. 64.2 million in 2023. The total number of open positions held by investors peaked at 638 contracts valued at Kshs. 20.5 million in 2024, up from 449 contracts worth approximately Kshs. 10.1 million in 2023. The increase in activity reflects the growing appetite for risk management solutions and alternative investment products.

The Group reported an increase in profit after tax of over 500% from Kshs. 18.4 million in 2023 to Kshs. 116.3 million in 2024. This growth is attributed to an increase in equity transaction levy by 20% to settle at Kshs. 253.6 million in 2024 from Kshs. 211.1 million reported in 2023. In addition, bond transaction levy increased by over 100% to Kshs. 169.9 million in 2024 from Kshs. 64.4 million reported in 2023. Interest income increased from Kshs. 120.9 million in 2023 to Kshs. 147 million in 2024. Total expenses increased by 13% from Kshs. 596 million in 2023 to Kshs. 673 million in 2024. This was mainly driven by the impact of the weakening of the Kenya shilling on foreign currency denominated expenses in the first half of the year and cost of market support activities.

DIRECTORS' REPORT (CONTINUED)

BUSINESS REVIEW (Continued)

Total investable funds stood at Kshs. 1 billion up from Kshs. 850 million in 2023 and is inclusive of the regulatory restricted funds amounting to Kshs. 292.6 million. Return on assets and return on equity improved from 0.9% and 1% respectively in 2023 to 5.4% and 5.9% in 2024.

DIVIDEND

The Group profit for the year of Sh 116,300,000 (2023: Sh 18,404,000) has been added to retained earnings. The Directors recommend the approval of a first and final dividend of Sh 0.32 per share amounting to Sh 83 million (2023: Sh 0.16 per share amounting to Sh 42 million).

DIRECTORS

Mr. Geoffrey O. Odundo retired as Director of the Company upon the expiry of his contract as Chief Executive of the Company, on 1st March 2024. Mr. Frank Lloyd Mwititi was appointed as Chief Executive Officer with effect from 2nd May 2024 and became a Director of the Company from that day.

Mr. Michael Turner retired as a Director of the Company on 29th May 2024 having completed his term.

The current members of the Board of Directors are as shown on page 8.

COMPANY SECRETARY

Mr. Kuria Waithaka retired as the Company Secretary on 31st December 2024 and Ms. Millicent Ngetich was appointed on 24th January 2025.

DISCLOSURES TO AUDITOR

The directors confirm that with respect to each director at the time of approval of this report:

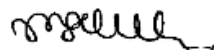
- (a) There is, as far as each director is aware, no relevant audit information of which the Company's auditor is unaware; and
- (b) Each director has taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

TERMS OF APPOINTMENT OF AUDITORS

The auditors, Deloitte & Touche LLP retire from office at the conclusion of the next Annual General Meeting. The Board of directors is in the process of recruiting a new auditor to be recommended for appointment to the shareholders at the next Annual General Meeting in accordance with the Company's Articles of Association and Section 721 of the Kenyan Companies Act, 2015.

The Directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

By order of the Board



Ms. Millicent Ngetich
Company Secretary

27th March 2025

BOARD OF DIRECTORS



**Mr. Kiprono Kittony, EBS
Chairman**
Nationality : Kenyan
Educational Background : Law, Commerce
Appointment: May 30th, 2018

Mr. Kittony holds both a Bachelor of Commerce (BCom) degree and a Bachelor of Laws (LL.B) degree from the University of Nairobi and a Global Executive MBA from the United States International University (USIU).

Mr. Kittony was appointed Chairman of the NSE Board on July 13, 2020 and as a Board Director of the NSE on May 30, 2018. He is the immediate former National Chairman of the Kenya National Chamber of Commerce & Industry (KNCCI), the premier business membership organization in Kenya.

He is an established entrepreneur and business leader having served in several capacities including being the immediate past Chairman of the Media Owners Association and AAR Insurance Limited. During his seven-year tenure at the KNCCI, he was widely credited with revitalizing the organization through a series of transformative initiatives that placed the Chamber at the forefront in terms of shaping national trade and general economic policy.

He serves as the chair of the Credit Info CRB Kenya Limited, Mtech Limited and Radio Africa Group (which he co-founded in 2000). He sits on the advisory council of the International Fund for Health in Africa (IFHA), an Amsterdam based private equity fund and is one of two representatives from Africa in the Global Council of the World Chambers Federation.



**Mr. Paul Mwai
Vice-Chairman**
Nationality: Kenyan
Background: Investment Banking
Appointment: May 30th, 2018

Mr. Mwai possesses an MBA from Strathmore University and a Bachelor of Business from the University of Southern Queensland. Additionally, he holds an Investment Management Certificate from the UK Society for Investment Professionals and is an Associate Member of the Chartered Institute of Bankers. He is a member of the Institute of Chartered Investment and Financial Analysts (ICIFA) and is an authorized Representative for the Growth Enterprise Market Segment (GEMS) of the NSE.

Appointed as a Board Director of the NSE on May 30, 2018, Mr. Mwai currently holds the position of Chief Executive Officer at Apollo Asset Managers Africa Ltd. He is also the Immediate Past Chairman of the Kenya Association of Stockbrokers and Investment Banks (KASIB). With an extensive career spanning over thirty years in the financial services industry, his expertise encompasses fund management and investment banking.

Mr. Mwai's professional journey includes various roles within the Barclays Group, including Barclays Merchant Finance Ltd (BMFL) and Barclays Dealing Centre. He later transitioned to the Barclaytrust Investment Services Group in 1998, assuming the role of Fund Manager. Following the acquisition of Barclaytrust by Old Mutual in October 2002, he served as a Senior Portfolio Manager at Old Mutual Asset Managers and as an Asset Allocation Strategist. Mr. Mwai joined AIB-AXYS Africa Ltd in February 2012 after his tenure as Chief Executive Officer at African Alliance Investment Bank.



**Mr. Frank Mwiti,
CEO**
Nationality: Kenyan
**Educational Background : Law,
Commerce**
Appointment: May 2nd, 2024

Mr. Mwiti is the Chief Executive of the NSE. Mr. Mwiti is a dynamic and accomplished business leader with more than two decades of diverse and international professional experience in strategy, governance, business development, risk management, corporate finance, mergers & acquisitions, and performance improvement.

Prior to his appointment, Mr. Mwiti served as a Partner and Eastern Africa Markets Leader, for Ernst & Young (EY), responsible for leading strategic business development of EY's assurance, tax, consulting, strategy and transactions services across Kenya, Ethiopia, Uganda, Tanzania, Rwanda, Burundi, and South Sudan.

He equally served as a Manager, Banking and Capital Markets Advisory at PricewaterhouseCoopers (PwC) and EY, United Kingdom (UK) as well as an Associate Director, Investment Banking, UBS, UK. Mr. Mwiti equally served as a Management Consultant, Investment Banking at Deutsche Bank, UK and as Chief Executive Officer and Managing Director, Afrika Kapital, UK, a firm he founded and in which he was involved in advising Deutsche Bank and Lloyds Banking Group across forex, equities, fixed income, commodities, synthetics and listed derivatives in London, New York, Frankfurt, Singapore, Moscow, and Hong Kong.

BOARD OF DIRECTORS (Continued)



Mr. Donald Wangunyu
Non-Executive Director representing
Trading Participants
Nationality: Kenyan
Background: Finance & Investment
Appointment: June 3rd, 2020

Mr. Wangunyu serves as the Chairman of the Board of the Kenya Association of Stockbrokers and Investment Banks (KASIB).

He also serves on the Board of Standard Investment Bank (SIB), chairs the risk and compliance committee of this Board and is the Chairman's representative for Shariah products of the Investment bank.

Donald initiated the Capital Markets round-table, which consists of the Chairpersons and Chief Executives of the capital markets ecosystem of the country, where he is also a member and further serves on the Board of the Kenya National REITS.

Donald further conceived and initiated the KASIB County Government Financing Program with a goal to deliver an ecosystem for alternative financing for counties, working closely with the respective County governments.

Donald's management experience includes being the Founder and Chief Executive Officer of FourFront Management, the first and only fully licensed Robo Advisor in the Country, pioneering robo-advisory, high frequency trading (HFT) and short selling on the NSE, having pioneered mobile/SMS share trading in Kenya in 2008. His experience further includes being a member of the Capital Markets 10-year Master Plan implementation group and chairing the industry committee that oversaw the removal of capital gains tax from the Exchange.



Ms. Risper Alaro
Non-Executive Director
Representing listed companies
Nationality: Kenyan
Background: Finance, Accounting
Appointment: May 30th, 2018

Ms. Alaro holds an MBA in Finance from the United States International University Africa (USIU) and a Bachelor's Degree in Business Management from Moi University. She is a fellow of the Association of Certified Chartered Accountants (FCCA), a member of the Institute of Certified Public Accountants of Kenya (ICPAK), an International Coach Federation Professional Certified Coach (PCC), and a Certified Executive Leadership Coach. She is a fellow of the Archbishop Desmond Tutu Africa Leadership Fellowship.

Ms. Alaro was appointed as a Non-Executive Director on the Board of NSE on May 30, 2018. She also serves as a Non-Executive Director on the Boards of Bank of Kigali PLC, Kenya Climate Ventures Ltd and Population Services Kenya (PSK). She currently serves as the Group Finance Director at Centum Group PLC.



Mr. Stephen Chege
Non-Executive Director
Representing Listed Companies
Nationality: Kenyan
Background: Law
Appointment: June 3rd, 2020

Mr. Chege has over 20 years' experience in policy, legal and regulatory affairs and Environmental Social and Governance (ESG) matters, primarily within the telecommunications and ICT industry.

He is the Chief Regulatory & External Affairs Officer at Vodacom Group, where his role entails safeguarding and growing Vodacom Group's reputation, Government & stakeholder engagement, shaping the policy, legal and regulatory environment and overseeing the growth of Vodacom's ESG agenda.

He has held other roles at Safaricom including Chief External Affairs, Head of Regulatory and Public Policy, Senior Manager – Public Policy and Market Regulation and Principal In-house counsel. He was also the Public Policy Manager, Vodafone Group Public Policy in the UK.

He holds a Master of Laws (LLM) degree in International Trade and Investment Law from the University of Nairobi and a Bachelor of Laws from the same University. He is also a Certified Company Secretary.

BOARD OF DIRECTORS (Continued)



Ms. Carole Kariuki
Independent Non-Executive Director
Nationality: Kenyan
Background: Economics
Appointment: June 3rd, 2022

Carole Kariuki holds a Bachelor of Arts Degree in Economics and Sociology from the University of Nairobi and a Masters Degree in Public Administration from Bowling Green State University, Ohio, USA. She has also pursued several professional courses on Stakeholder Management, Leadership and Private Sector Development among others.

Before joining KEPSA, Carole worked briefly for Barclays Bank of Kenya, Nairobi Chapel and Sagamore Institute for Public Policy Research, Indianapolis – Indiana, where she acted as a liaison between Kenya Private Sector Alliance (KEPSA) and the Institute before formally joining KEPSA. She worked for several years at KEPSA before being appointed KEPSA CEO. Ms. Kariuki is credited for transforming KEPSA from a little known Business Organisation to one of the most influential Organisations in Kenya and Globally. KEPSA is the Apex body of the private sector in Kenya, galvanizing the private sector through public-private dialogue and influencing the economic and development agenda.



Mr. John Niepold
Independent Non-Executive Director
Nationality: American
Background: Economics
Appointment: June 3rd, 2022

Mr. Niepold has over 25 years of experience in frontier investing in Africa and the Middle East. In addition to the Nairobi Securities Exchange where he serves as an Independent Director, Mr. Niepold is on the Board of Directors of the Integra MENA Fund and is a Senior Advisor to All Africa Partners, a UK based fund manager focused on listed equity investments in Africa.

In 2010, he founded SQM Frontier Management LLP and served as the Managing Partner and Portfolio Manager for the firm's Frontier Africa Fund until 2020. Prior to founding SQM, Mr. Niepold was a Portfolio Manager and Partner at Emerging Markets Management (EMM) where he launched and managed The Africa Emerging Markets Fund, the first fund dedicated to investing in Africa's frontier stock markets in 1993 as well as the Emerging Markets Middle East Fund in 2004.

Prior to joining EMM, Mr. Niepold served as an equity analyst in Southeast Asia for Crosby Securities and as an independent consultant covering frontier markets. Mr. Niepold has a Bachelor of Arts degree in Economics from Davidson College and a Master of Business Administration degree from the Kenan-Flagler Business School at the University of North Carolina/Chapel Hill.



Isis
Nationality: Kenyan
Background: E-Commerce & IT
Appointment: May 30th, 2019

Isis is a strategic business leader experienced in driving innovation, economic opportunity and impact across Africa. She's built and scaled high impact initiatives at the intersection of technology, philanthropy, and business. As a partner at Asphalt & Ink, she advises global investors and philanthropic institutions on investments and initiatives related to entrepreneurship and digital economy. Previously, Isis held pioneering commercial leadership positions at Google, InMobi and MTV Networks as well as founding early-stage ventures.

Isis is a graduate of Stanford University & Harvard Business School. She also serves on the boards of LGT Venture Philanthropy and Malaica. In 2024, she was appointed as an external member of the Monetary Policy Committee of the Central Bank of Kenya.

NSE MANAGEMENT

Frank Mwiti
Chief Executive Officer



David Wainaina
Head of Trading, Data &
Analytics



Jane Kiarie
Head of Finance



Lucy Kamar-Chepkurui
Head of Talent



Irungu Waggema
Business Development
Sector Leader – Agriculture



Jackson Kiminje
Business Development Sector
Leader – Retail, Saccos &
Chamas



NSE MANAGEMENT

Fredrick Ouma
Head of Internal Audit



Titus Kiilu
Head of Regulatory Affairs



Anthony Muema
Head of Technology



Lilian Gichuru
Legal Manager



Boniface Mbogo
Branding, Marketing &
Communications Manager



Josphine Kimanzi
Executive Programs
Manager





Financing Businesses through providing access to long-term affordable capital

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NSE 2024 Highlights



Key Highlights for the Year 2024

More NSE Listed Companies Added to the MSCI Frontier Markets Index in 2025

In 2025, additional companies listed on the NSE were added to the prestigious MSCI Frontier Markets Index, marking a significant development for Kenya's equity market. Morgan Stanley Capital International (MSCI), a global leader in investment decision support services announced updates to both the MSCI Frontier Markets Index and the MSCI Frontier Small Cap Index—key benchmarks for international investors tracking the performance of companies in frontier markets.

In the year, two companies were added to the MSCI Frontier Markets Index, joining established constituents such as Safaricom PLC, Equity Group Holdings, and KCB Group PLC.

In addition, seven companies were incorporated into the newly formed MSCI Frontier Small-Cap Index, reflecting the growing strength and diversification of the NSE.

This expansion highlights improving market conditions and underscores the rising potential of Kenya's economy. Following several MSCI's 2024 reviews, the inclusion of these companies brings the total number of NSE-listed companies in the MSCI Frontier Markets Indices to twelve (12).

The recognition of Kenya's listed equities by MSCI is a testament to the increasing visibility of the country's stock market on the global stage. This enhanced representation is expected to continue attracting significant capital inflows and provide greater exposure to international investors.

As the region's primary securities exchange, the NSE remains committed to engaging with the global investment community to ensure that listed companies continue to attract both global and regional investors. MSCI, a leading provider of critical decision support tools and services, plays an essential role in helping investors analyze key drivers of risk and return, enabling the construction of more effective investment portfolios.

MSCI



MSCI Frontier Market Index

MSCI Frontier Market Small cap Index



Key Highlights for the Year 2024 (Continued)

Kenya Equity Market Received Major Boost following the upgrade on its classification by the FTSE Russel Index

During the year, the NSE equity market received an upgrade on its classification from restricted to pass by the FTSE Russell Index Governance Board in March 2024.

This upgrade followed the FTSE equity country classification interim review of Kenya's equity market against a range of technical criteria.

As per the assessment, Kenya's equity market cleared previously reported delays in the ability of institutional investors to repatriate income from Kenya. Consequently, the restrictions on the implementation of index changes for Kenyan securities within FTSE Russell equity indices were therefore lifted.

The classification and assessment was supported by FTSE Russell's external advisory committees and FTSE Equity Country Classification Advisory Committee. The committees are composed of market practitioners with technical expertise in disciplines such as trading, custody, and investment management. The assessment was also supported by the FTSE Russell Policy Advisory Board,

which represents the views of leading global investors who furnish FTSE Russell with expert insights into the realities of investing in equity markets across the globe.

The reclassification was a testament of the continued improvement in Kenya's equity market and a demonstration of the confidence international institutional investors placed in our market.

The FTSE Russell's flagship market cap-weighted equity indexes are used by investors around the world to inform asset allocation decisions, support portfolio construction, and conduct risk and performance analysis. A broad offering of global and domestic equity market indexes—including the well-known FTSE Global Equity Index Series (FTSE GEIS), FTSE UK Index Series, and the Russell US Indexes—provide clients with a flexible, comprehensive foundation for both their global and local market investing needs.

FTSE Russell

Key Highlights for the Year 2024 (Continued)

NSE Showcases Investment Opportunities in the Kenyan Market to Top London Investor

In May 2024, the NSE concluded a highly successful non-deal roadshow in London, where the NSE met with a number of leading London-based institutional investors. The initiative was part of the NSE's ongoing efforts to broaden the investor base for Kenya's robust equity and debt markets.

The multi-day event was instrumental in fostering engagements between NSE and top London-based buy-side firms, offering a platform to discuss opportunities available within Kenya's capital markets.

Commenting on the roadshow Mr. Frank Mwiti, Chief Executive of the NSE noted, "The NSE is committed to enhancing engagements with both retail and institutional domestic and international investors to highlight available investment opportunities at the NSE and support increased activity in our market. The successful non-deal investor roadshow also created a unique platform to gather feedback from investors on various tailwinds affecting investor's ability to participate effectively in our market. The feedback will be incorporated in our strategy".

The NSE roadshow not only solidified existing relationships but also opened new avenues for future collaboration between the NSE and London-based financial entities.

The roadshow was undertaken in partnership with SCL Capital Limited (SCL Capital).



Key Highlights for the Year 2024 (Continued)

The NSE Joins the Hedera Council to Expedite Tokenization of Securities in Kenya's Capital Markets

In August 2024, the NSE officially joined the Hedera Council to accelerate tokenization initiatives using the Hedera network.

The admission to the Council provides the NSE the capacity to accelerate the launch and trading of tokenized securities and securities linked to digital assets on its Exchange leveraging Hedera's secure, transparent, and scalable blockchain technology.

The admission makes the NSE the 32nd member to join the rotating Council, composed of up to 39 diverse, globally recognized organizations that work together to innovate, maintain stability, and continue the decentralization of the Hedera network.

The Hedera Council will empower the NSE to accelerate the launch and uptake of tokenized securities and digital assets securities and their eventual trading on the NSE subject to regulatory approvals. This initiative is in line with our strategic priorities of offering a world-class market infrastructure anchored on diverse and innovative financial products leveraging on partnerships and collaborations.

Tokenization has the potential to transform industries across Africa and the NSE is committed to driving this innovation through the Hedera network, which is valued for its unmatched performance, security, and compliance standards.

The Hedera Council is one of the most successful consortiums in the technology and finance sectors, and the NSE looks forward to collaborating closely with its members to drive widespread adoption of tokenization across the continent, and to establish the NSE as an industry leader in the space on the global stage.

NSE Partners With Tradingview to Enhance Financial Inclusion through the NSE Virtual Trading Platform (NSE Soko Play)



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securities
exchange**
Member Organisation

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hedera.com/council

Key Highlights for the Year 2024 (Continued)

NSE Partners with Trading view to enhance access to market information

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TRADING VIEW
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NO HIDDEN FEE

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In August 2024, the NSE partnered with TradingView, a leading provider of advanced financial analytical tools used by 60M+ traders and investors worldwide, to enhance financial inclusion through NSE SOKO PLAY.

The partnership incorporated integration of TradingView's capabilities with the NSE SOKO PLAY - a market simulation and gamification tool that provides investors the opportunity to learn how to invest on the NSE with a view to practice and then transition into the real trading market.

The partnership aligns with NSE's strategic priority of enhancing financial inclusion through innovative technology-enabled solutions. The partnership seeks to initially place special focus on 5M+ university students across public and private universities in Kenya.

Commenting on the partnership, Mr. Frank Mwit, Chief Executive Officer noted that the NSE is keen on accelerating the growth, development and deepening of our capital market by using market-leading tech solutions to address investor education gaps in our market.

This collaboration underscores NSE's commitment to promote investor awareness and financial inclusion by providing investors with tools, such as NSE SOKO PLAY, they need to make informed investment decisions in the dynamic and profitable world of stock trading.

Key Highlights for the Year 2024 (Continued)

The NSE Admits the Kshs. 3 Billion Islamic Secured Residential Lease Based Securities (“Linzi Sukuk”) Based on Forward

In May 2024, the NSE admitted the Linzi Sukuk on the NSE Unquoted Securities Platform (USP) making the product the first Shari’ah compliant product to be admitted on the platform. The Linzi Sukuk, issued by Linzi FinCo Trust, a common law unincorporated trust, is a Kshs. three billion (Kshs. 3,000,000,000.00) Islamic Secured Residential Lease Based Security with a maturity period of 15 years offering an internal rate of return of 11.13%.

The proceeds of the Sukuk were channelled towards the construction of affordable institutional housing, in line with the Government of Kenya (“GoK”) Agenda on Affordable Housing Program. In addition to providing housing, the construction created approximately 3,000 new direct jobs and tens of thousands indirect jobs across Kenya.

Commenting on the development, the NSE Chief Executive noted that the admission of Linzi Sukuk on the Unquoted Securities Platform marked a decisive point in broadening Kenya’s capital markets appeal and offering for Shariah-compliant issuers and investors.

The admission and listing of the first Sukuk on the NSE also unlocks the potential for issuance of Shariah-compliant Islamic Products and enhances the depth, breadth and sophistication of the capital market in Kenya.

The Sukuk was listed on the NSE at a colourful attended by the H.E. President William Ruto.



Key Highlights for the Year 2024 (Continued)

NSE Partners with UK Mobilist program to enhance listings

NSE Hosts Kenya Capital Markets Day and signs partnership with the UK government's MOBILIST programme



In September 2024, the NSE signed a partnership agreement with the UK government's Mobilizing Institutional Capital Through Listed Product Structures (MOBILIST) programme to facilitate greater investment toward sustainable development in Kenya through listed instruments on the NSE.

The partnership was announced during the Kenya Capital Markets Day event that brought together key players in the Kenyan financial industry including regulators, investors, and current and prospective issuers to discuss opportunities to enable public market transactions that mobilise private capital towards the United Nations' Sustainable Development Goals (SDGs). The Kenya Capital Markets Day was graced by His Majesty's Trade Commissioner for Africa, Mr. John Humphrey who delivered the keynote address during his three-day visit to Kenya.

The strategic partnership between the NSE and MOBILIST aligns with the NSE's new strategic focus aimed at enabling the NSE play a more dynamic role in mobilising and channelling capital to sectors that have the most significant capital needs with special focus on sustainable development. The partnership will enable market participants and issuers enjoy technical assistance whilst positioning themselves for potential investments through unlocking new sources of capital thus enabling the continue providing a pivotal intersection connecting capital to investment grade opportunities in Kenya for sustained economic growth" he added.



OUR APPROACH TO RISK

ENTERPRISE RISK (ERM) FRAMEWORK

Macros

The global economic expansion in 2024 slowed down to 3.2% from 3.2% in 2023, this is due to the impact of persistent geopolitical tensions in Eastern Europe and the Middle East, and tighter financial conditions in emerging and advanced economies. These dampened global trade and investment flows. Central banks maintained high interest rates all year round in an attempt to keep out-of-control inflationary pressures at bay. Despite these factors, headline global inflation slowed to 5.8% by year-end, driven by lower energy and commodity prices, although core inflation was resilient in many economies.

Domestically, Kenya's economy equally demonstrated resilience amidst such external headwinds, recording a slowed economic growth rate of 4.0% in the third quarter of 2024 compared to 6.0% in the last third quarter of 2023. The growth was slowed by contractions in Mining and Quarrying and in Construction activities. Inflation pressures eased, and headline inflation dropped from 6.9% in January to 3.0% in December 2024. The Central Bank of Kenya (CBK) maintained an expansionary monetary policy stance throughout the year and even cut the Central Bank Rate by 75 basis points to 11.25% in December 2024 to stimulate the economy amid contained inflation and also to support the stability of the Kenyan Shilling.

As a result of the improved macroeconomic environment, the Kenya Shilling was steady against the US dollar, averaging Kshs. 134.70 for the year. The relative stability in the latter part of the year was a result of increased diaspora remittances and improved export earnings that worked to offset the continued demand for foreign exchange to service external debt and import demands

Enterprise Risk Management

The Nairobi Securities Exchange (NSE) continued to operate in an ever evolving risk environment throughout 2024. The period was marked by both challenges and opportunities, requiring proactive risk management to safeguard market integrity and protect investor confidence. In response, the Exchange's Enterprise Risk Management (ERM) framework remained a key tool in identifying, assessing, and mitigating potential threats to the business. The framework was critical in ensuring that NSE maintained operational resilience while delivering on its strategic objectives.

Risk Governance Structure

The governance of risk at NSE is based on a structured framework that assigns clear roles and responsibilities across the organization. The Board of Directors has overall responsibility for risk oversight and provides strategic direction through the Board Audit, Risk, and Compliance Committee (BARCC). The Committee ensures that risk management activities are aligned with NSE's long-term

objectives and risk appetite.

The Chief Executive Officer (CEO) and Executive Management are responsible for implementing risk management strategies and ensuring that risks are effectively identified and mitigated across all business units. Risk Champions have been designated within departments to support the risk function, promoting accountability and fostering a risk-aware culture. Internal Audit provides independent assurance on the effectiveness of the ERM framework. NSE applies the Three Lines of Defence model in managing risk.

Aligning with Best Practices

The NSE's ERM framework remains aligned with internationally recognized risk management standards, including ISO 31000 and COSO 2017 Enterprise Risk Management Framework. The Exchange continuously reviews the framework to ensure continued alignment with the evolving regulatory environment and best practices in risk management. NSE continues to comply with all applicable laws and regulations as well as its own rules and regulations.

Adapting to a Changing Risk Landscape

During the year, the Exchange identified and managed several emerging risks that had the potential to impact the capital markets and investor confidence. These included:

- Macroeconomic and Geopolitical Risks
- Exchange Rate and Interest Rate Risks
- Cybersecurity and Technology Risks
- Regulatory and Compliance Risks

Principal Risks and Mitigation Measures

In 2024, the following risks were identified as significant, with corresponding mitigation actions:

Cybersecurity Threats: Potential disruption to market infrastructure, regular vulnerability assessments and investment in cybersecurity.

Regulatory Changes: Increased compliance obligations, continuous engagement with CMA and capacity-building initiatives.

Liquidity Risk: Reduced market liquidity and investor confidence, product diversification and targeted market-making initiatives.

Climate and ESG-Related Risks: Increased regulatory and disclosure requirements, development of sustainability-linked products and ESG integration.

ENTERPRISE RISK (ERM) FRAMEWORK (CONTINUED)

NSE Risk Management Process

The NSE has institutionalized a comprehensive risk management process that ensures risks are identified early and managed effectively throughout the organization. The risk management process follows these key stages:

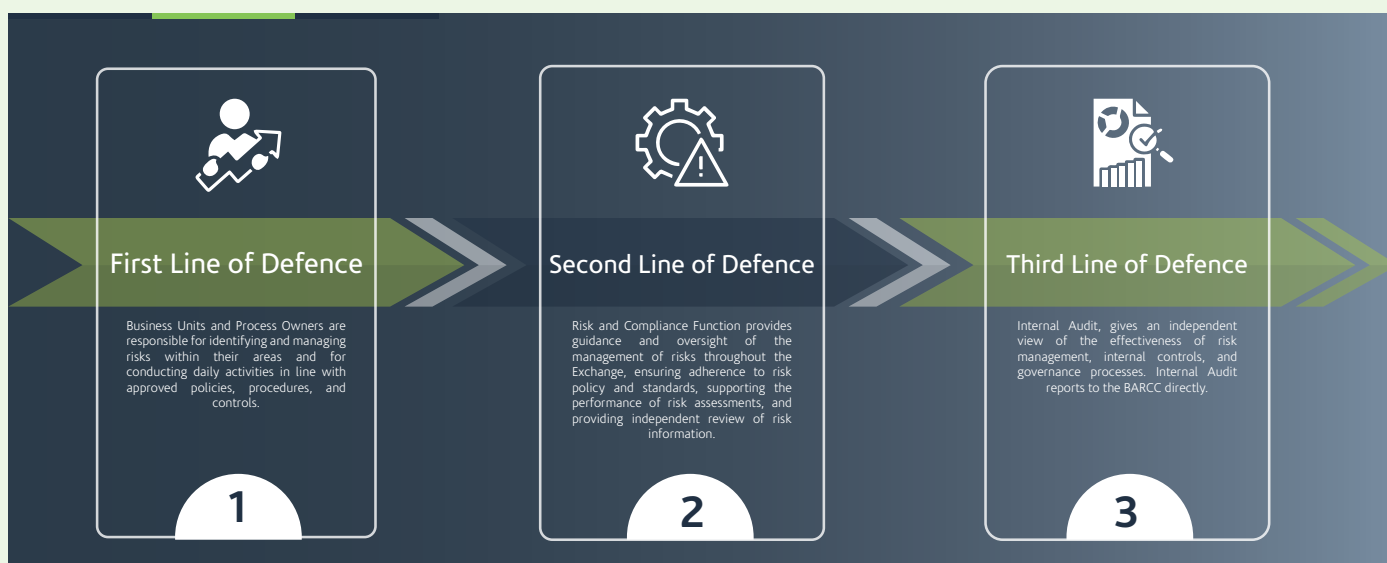
1. Risk Identification
2. Risk Assessment and Prioritization
3. Risk Mitigation and Control Implementation
4. Risk Monitoring and Reporting
5. Review and Continuous Improvement

Initiative and Project Risk Management

As part of the 2025–2029 Strategic Plan, the Exchange has established a project risk management program that specializes in facilitating the successful execution of key strategic initiatives. For the strategic period 2025–2029, the Exchange plans to a number of major projects, such as roll out of Direct Market Access (DMA), launch of Agency Model, building sustainability-linked investment products and Exchange Traded Funds, (ETFs) and upgrading trading and surveillance systems. Each project will have a rigorous risk assessment process that includes risks related to project scope, timelines, costs, vendor-related risks, cybersecurity, and regulatory compliance. This framework provides governance oversight for these projects.

Three Lines of Defence Model

The Nairobi Securities Exchange (NSE) uses the Three Lines of Defence model in its Enterprise Risk Management (ERM) framework. The model provides clear accountability for risk management across the organization and enables effective risk governance program. Each of the three lines of defence has specific roles and responsibilities regarding the identification, management, and monitoring of risks.



Strategic Objectives and Risk Management

The ERM framework also aligns with the NSE's strategic priorities outlined in the 2025–2029 Strategic Plan. The Exchange's risk management activities are geared towards supporting the following key priorities:

- Reviving Markets
- Harnessing Technology
- Improving Operational Effectiveness

The corporate risk register links each specific risk to the relevant strategic initiative to track residual risks and to guide in effectiveness of controls on strategic pillars that are not performing as expected.

ENTERPRISE RISK (ERM) FRAMEWORK (CONTINUED)

Risk Appetite and Governance

The NSE Risk Appetite Statement 2025 sets out the level of risk that the Exchange is willing to take to meet its objectives. Risk appetite levels are set for strategic, operational, financial, compliance, and ICT/technology risks.

The risk appetite framework is overseen by the BARCC which receives regular reports from the management on the risk exposures of the Exchange versus the approved levels. The Exchange maintains a conservative compliance and cyber risk stance but permits a moderate risk-taking aimed at fostering market revitalization and other strategic initiatives.

Business Continuity and Crisis Management

The Exchange has in place a Business Continuity Plan (BCP) and Disaster Recovery (DR) system to enable business continuity in the event of disruption. The BCP is tested regularly during the year through simulation exercises, and improvements to address gaps identified by the tests are implemented as necessary. The crisis management team of the Exchange is capable of coordinating response activities in the event of significant disruptions.

Looking Ahead

As the NSE continues to roll out its 2025–2029 Strategic Plan, the Exchange is focused on enhancing its risk management framework. Its priorities for 2025 are:

- Utilizing Technology
- Building Capacity
- Stakeholder Engagement
- Cyber Resilience
- Sustainability

Through constant improvements and proactive risk management, NSE stands well positioned to navigate the challenges of the evolving capital markets environment while safeguarding its role as a stable and strong market infrastructure provider.

RISKS AND OPPORTUNITIES

Identification and Management of Material Risks and Opportunities

In alignment with IIRC requirements, NSE continually identifies, assesses, and manages risks and opportunities that can substantively affect its value creation capacity.

Material Risks

1. Market and Liquidity Risks

Heavy reliance on foreign investors exposes the market to volatility and capital flight during global shocks. Low local investor participation increases market vulnerability and may dampen liquidity and depth.

2. Operational and Technological Risks

This might arise as a result of failure of key processes, systems and people. Similarly, complexity of legacy technology platforms could impede digital transformation especially while implementing direct market access (DMA). Rising cyber threats also pose a risk as the exchange rolls out market digitization.

3. Regulatory and Policy Risks

Changes in regulatory frameworks or delays in reforms could hinder product innovation or new listings of novel alternative investment products. Increased compliance requirements for cross-border products from foreign regulatory bodies could similarly hinder targeted cross border listings.

4. Reputation and Governance Risks

Historic market intermediary failures and unresolved legacy IPO issues, or lack of participation among retail investors. Governance challenges for SMEs and new issuers may impact market integrity.

5. Competitive Risks

Increasing competition from regional exchanges and alternative digital trading platforms such as forex, digital assets and vibrant betting industry offering improved and better customer experience.

Key Opportunities

1. Demographic and Technological Transformation

Kenya's youthful and tech-savvy population is a vast untapped retail investor base, accessible through mobile and digital platforms. Mobile technology can dramatically reduce barriers to entry and broaden market participation across the country.

2. Product and Market Innovation

Expansion into ESG and green finance products aligns with global investor demand and global trends on impact investing. The introduction of ETFs, REITs, and impact funds for diversified, lower-cost investment options also present an alternative solution to investors interested in diversifying portfolios or getting access to foreign markets with lower barriers to entry.

3. Regional and Global Integration

Targeted regional alliances, and cross-listing initiatives opens cross border capital flows and investment opportunities. Strategic partnerships with other African exchanges enhance market reach and product offerings for local retail investors.

4. Policy Support and Inclusion

The presence of supportive government reforms, tax incentives, and market development policies foster market growth and attract SME listings on the exchange.

5. Brand Leadership and Social Impact

The NSE has set a goal of becoming a Top 10 Most Loved Brand and a Top 20 Employer of Choice through building stakeholder trust and engagement.

Risk and Opportunity Management Approach

NSE takes a deliberate approach in proactive risk management and seizing opportunities as they arise. The exchange focuses on strategic alignment where risk management is integrated into all business activities and strategic decision-making. Similarly, to ensure operational resilience is strengthened, there is deliberate continuous investment in digital infrastructure, cyber security which results in operational efficiency.

The exchange acknowledges the important role it plays in the economy and as such holds regular dialogue with regulators, investors, and partners to anticipate changes and seize new opportunities. Lastly the exchange prioritizes digital products, financial inclusion, and new market development in response to evolving global trends as a way to stay ahead of the curve.



OUR BUSINESS MODEL

Overview

The NSE's business model is a dynamic, multi-capital system that brings together financial, manufactured, intellectual, human, social and relationship, and natural capitals. The model is designed to deliver continuing value for stakeholders by allowing efficient capital formation, promoting investor inclusion, adopting innovation, and supporting sustainable economic growth in Kenya and across the African continent.

Key Components of the Business Model

1. Inputs: Capitals Utilized

- a. Financial Capital: Revenues from listing, trading, clearing, advisory and value-added data services. Investments in technology, talent, and innovation.
- b. Manufactured Capital: Secure and resilient digital trading platforms and matching engines, trading infrastructure, post-trade settlement and clearing systems.
- c. Intellectual Capital: Market data analytics, proprietary digital tools, regulatory expertise, and thought leadership.
- d. Human Capital: Skilled workforce with ongoing investment in professional development, transformative leadership, and a performance-driven culture.
- e. Social & Relationship Capital: Partnerships with government, regulators, issuers, intermediaries, and technology providers and a strong brand.
- f. Natural Capital: Adoption of ESG principles, responsible resource use, support for green and impact finance solutions as listing solutions.

2. Key Business Activities

- a. Providing a transparent, regulated marketplace for equities, bonds, ETFs, REITs, and innovative financial products through a robust SRO structure.
- b. Facilitating capital raising for corporates, SMEs, and government.
- c. Advancing financial inclusion through digital/mobile channels, and targeted investor education to build capacity in retail investors.
- d. Innovating product offerings (green bonds, impact funds, digital assets) to address emerging investor needs and global trends.
- e. Maintaining robust pre-trade and post-trade, market intermediary compliance, and surveillance systems.
- f. Promoting strong corporate governance and fostering trust and confidence in the market.

3. Outputs

- a. Efficient and effective capital raising and investment mechanisms for issuers and investors.
- b. A diverse range of accessible, secure, and innovative investment products.
- c. High-quality market data and analytics offering.
- d. Enhanced operational efficiency, reduced transaction costs, and improved stakeholder experience.



OUR BUSINESS MODEL

Value Creation Model

Integrated Value Creation Process

NSE's value creation approach is anchored in integrated thinking while aligning strategy, governance, and resource allocation to generate sustainable benefits for both the organization and its stakeholders over the short, medium, and long term.

How NSE Creates, Preserves, and Delivers Value

Input to Outcome Flow:

1. Inputs: Deployment of multiple capitals (financial, manufactured, intellectual, human, social, natural).
2. Business Activities: Transformation of these capitals through regulated trading, product innovation, stakeholder engagement and digital transformation.
3. Outputs: New investment products, expanded market access, improved operational efficiency and increased stakeholder satisfaction.
4. Outcomes:
 - a. Short Term: Enhanced financial inclusion, increased local and retail investor participation, strengthened market liquidity and efficiency.
 - b. Medium Term: Growth in listings, diversified products, improved governance, robust market reputation.
 - c. Long Term: Sustainable economic development, inspiring Africa-wide market leadership and transformation, and contribution to Sustainable Development Goals and ESG outcomes.

Value for Stakeholders:

- a. Investors: Access to diversified products, improved returns, and savings culture as well as financial literacy.
- b. Issuers (Corporates/SMEs): Easier access to patient capital, enhanced visibility and corporate governance support.
- c. Government & Regulators: Deepened market development, fiscal mobilization and regulatory alignment.
- d. Employees: Professional development, high-performance culture, employee wellbeing and inclusivity.
- e. Wider Society: Wealth creation, economic empowerment and sustainable development.

Sustainable Value Creation:

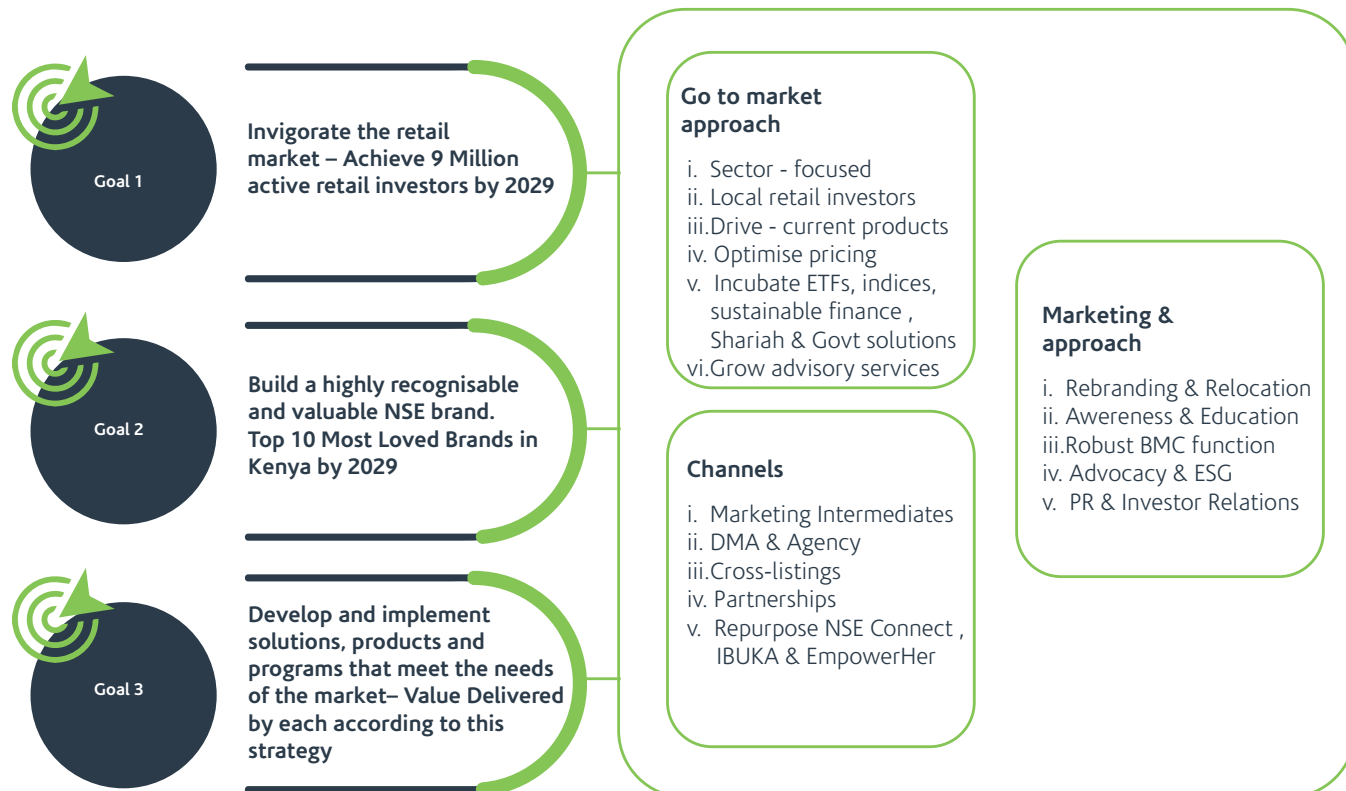
The NSE integrates ESG (Environmental, Social, Governance) principles in its strategy and operations, promoting green finance, responsible investing and inclusive growth through democratised access to the capital markets.



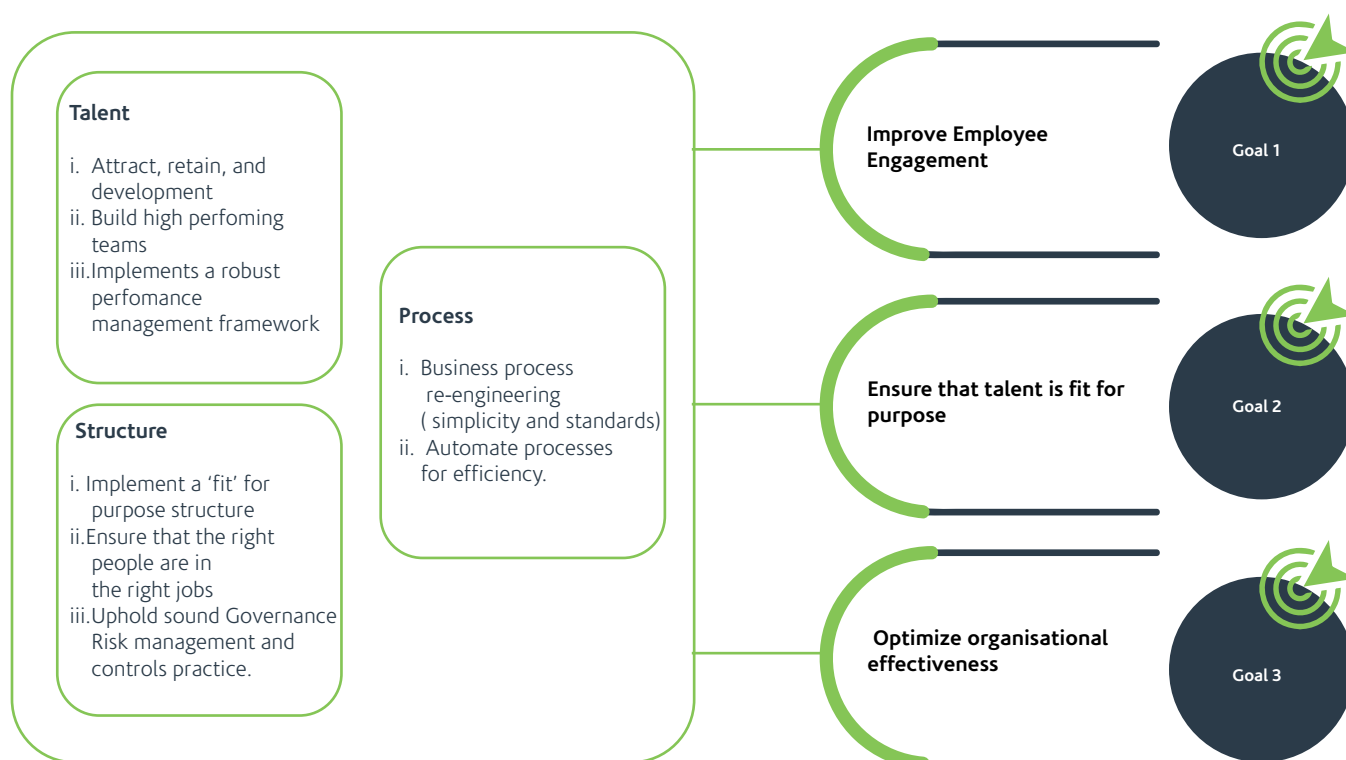
NSE STRATEGY

OUR STRATEGIC OBJECTIVES

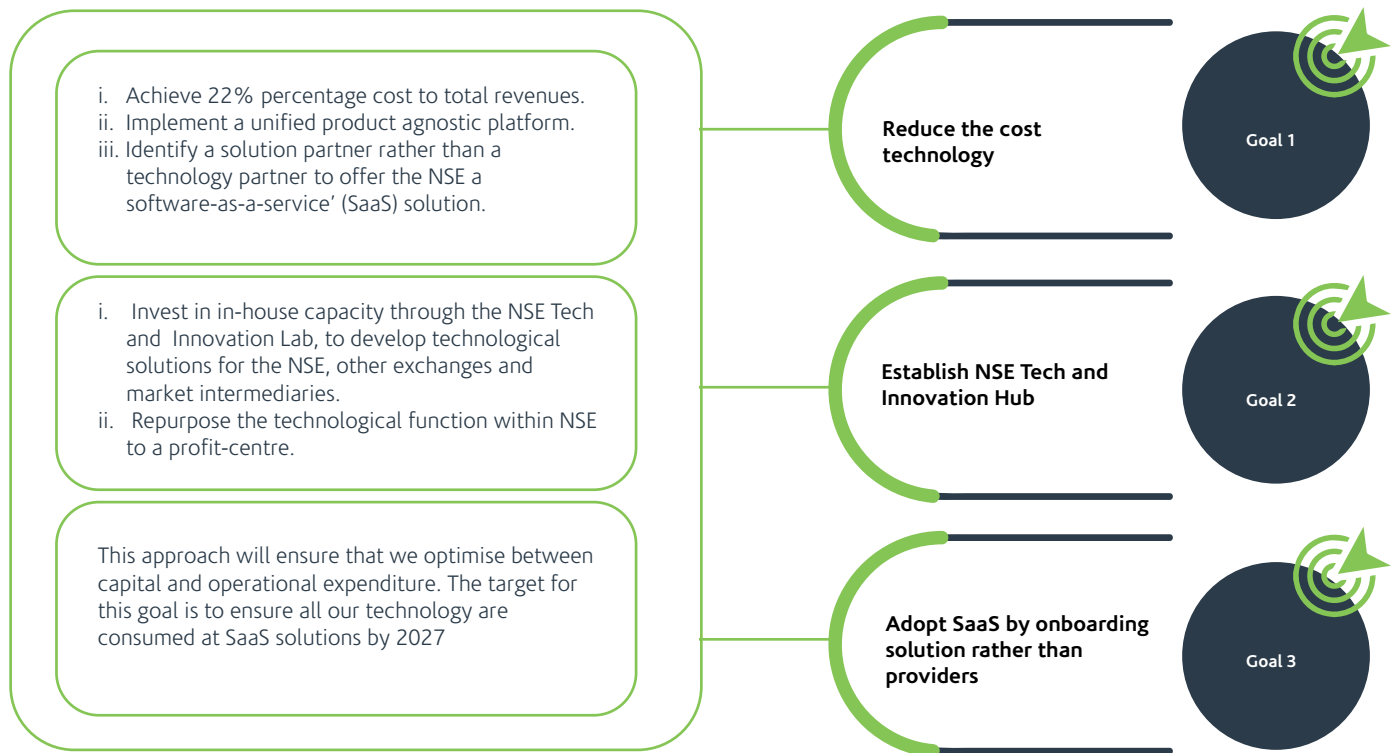
Strategic Objective 1: Revitalizing markets



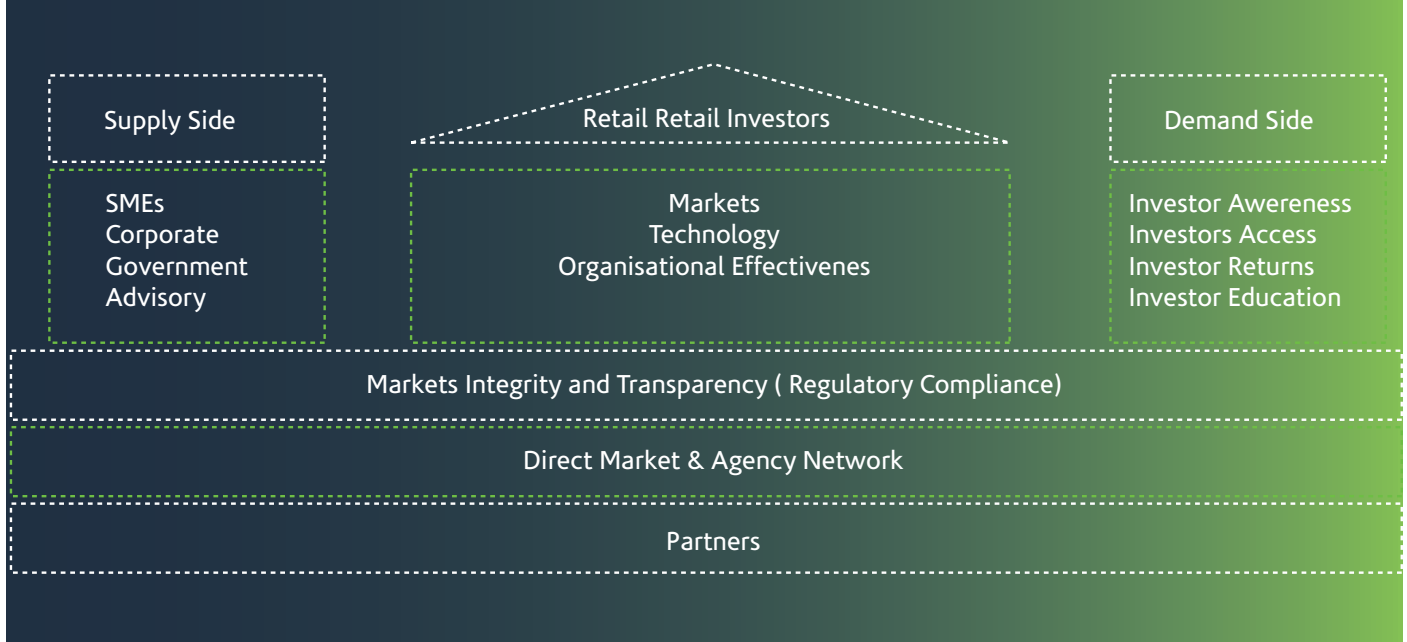
Strategic Objective 2: Optimize Organisational Effectiveness



Strategic Objective 3: Harness Technology



STRATEGIC PILLARS



Our Big Hairy Audacious Goals



9 MILLION
Active Local Investors

9 Million Active Retail Investors: This goal highlights our ambition to significantly increase participation from local retail (individual) investors. The target of 9 million active retail investors indicates a desire to democratize access to the market, promoting financial inclusion and enhancing capital market participation across Kenya and potentially the broader African region.



500
agents across
county in Kenya

500 Agents across counties in Kenya: As part of its strategic objectives to enhance financial inclusion and deepen capital markets participation, the Nairobi Securities Exchange (NSE) has set a new goal to onboard and operationalize 500 authorized agents across the country. This initiative aims to bring capital markets services closer to the public, particularly in underserved and remote regions, by leveraging a decentralized agent model.

20

Top 20 Employer
of Choice in Kenya

Top 20 Employer of Choice in Kenya: We aim to become one of the most desirable workplaces in Kenya, which involves attracting, retaining, and developing top talent. Being a "Top 20 Employer of Choice" indicates our commitment to a positive work culture, career development, and competitive compensation, aligning with our focus on "People" as a core pillar of its mission.

60%

Revenue from
non-trading
sources

Diversification of Revenue Streams – 60% from Non-Trading Sources

In line with its long-term sustainability and growth strategy, the Nairobi Securities Exchange (NSE) has set a goal to generate 60% of its revenue from non-trading sources. This strategic pivot is driven by the need to reduce over-reliance on market volatility-dependent income and create a more resilient and diversified business model.

Our Big Hairy Audacious Goals (Continued)

Kshs. 3 billion revenue and 40% cost to income ratio

As part of its strategic growth agenda, the Nairobi Securities Exchange (NSE) has set two key financial performance targets: to achieve KSh 3 billion in annual revenue and maintain a cost-to-income ratio of 40%. These targets reflect a focused effort to scale operations while enhancing efficiency and long-term profitability.



KES 3B
Revenue and 40%
cost to income ratio

Top 10 Most Loved Brand in Kenya: This goal reflects our ambition to enhance our brand appeal and public perception. By becoming a "Top 10 Most Loved Brand," we aim to build trust, recognition, and a strong reputation among the general public. This would require strategic marketing, community engagement, and maintaining high standards of integrity and transparency.

10
Top 10 Most
loved brand

50 Diverse Listed Funds: This goal points to our intention to broaden our product offerings by including a variety of funds—such as mutual funds, exchange-traded funds (ETFs), and other managed funds. We will focus on catering to various investor preferences, risk tolerances, and investment objectives. Offering 50 diverse funds will attract a wider audience, including those interested in managed investment options.

50 

diverse listed
index fund

40 Listed Companies: The goal of listing 40 new companies on the NSE emphasizes our focus on expanding the range of investment opportunities. Increasing the number of listed companies would diversify the market offerings, provide investors with more choices, and support the growth of local businesses. This also reflects our role as a vital platform for companies seeking capital to fuel growth and innovation.

40 

new company
listings



FINANCIAL STATEMENTS



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CORPORATE GOVERNANCE STATEMENT

Overview

Corporate governance is at the heart of the structures and processes guiding the leadership of the Group. The Group has instituted systems to ensure that high standards of corporate governance are maintained at all levels of the organization and is in compliance with the requirements of all applicable laws and regulations including but not limited to the Capital Markets Act and regulations, rules and guidelines thereunder on Corporate Governance and the Nairobi Securities Exchange (NSE) regulations, rules, policies and procedures.

The Role of the Board

The Board is collectively responsible to the Group's shareholders for the long-term success of the Group and its strategic direction, its values and governance. It provides the leadership, integrity, enterprise and good judgment necessary to meet its business objectives within the framework of its internal controls while also discharging the Group's obligations to its shareholders.

The Key Responsibilities of the Board include:

- To define and chart out the Group's vision and mission. The Board has ultimate responsibility for the attainment of the Group's vision;
- To set the strategy, approve business plans and annual budgets and any subsequent material changes in strategic direction;
- To monitor Management's implementation of the strategic plans and financial objectives as defined by the Board;
- To define levels of materiality, reserving specific powers to itself and delegating other matters with the necessary written authority to Management;
- To ensure that the Group is managed with a view to ensuring that the Group is ethical in all its dealings and has put in place sustainable business practices;
- To ensure that procedures and processes are in place to protect the Group's assets and reputation;
- To ensure compliance by the Group with all relevant laws and regulations, audit and accounting principles, and such other principles as may be established by the Board from time to time;
- To approve Terms of Reference of Board Committees and make appointments and changes in the composition of such Committees as are established from time to time;
- To identify key risks for the Group and establish mechanisms for managing or mitigating them;
- To set policies on internal controls and obtain regular assurance that the system is functioning effectively and is effective in managing risks;
- To appoint the Chief Executive and senior management staff;

- To procure suitable external auditors for shareholder: and
- To exercise such other powers as are necessary to enforce the requirements of the Capital Markets Act and regulations and guidelines thereunder, the NSE's Articles of Association and the internal regulations and rules governing the Group.

Division of Responsibilities

The Chairman and the Chief Executive are responsible for the sustainable operations of the Group. Their roles are separate, with each having distinct and clearly defined roles and responsibilities. The Chairman directs the Board's business and acts as its facilitator and guide ensuring that the Board is effective in its tasks of setting and implementing the Group's direction and strategy. The Chairman is responsible for leadership of the Board, for ensuring its effectiveness on all aspects of its role and for facilitating the productive contribution of all Directors. The Chairman sets the agenda for the Board meetings in consultation with the Chief Executive. The Chairman is accountable to the Board for leading the direction of the Group's corporate and financial strategy and for the overall supervision of the policies, rules and regulations governing the Group.

The Chief Executive has overall responsibility for the business of the Group. The Chief Executive enforces the provisions of the Capital Markets Act (the "Act") and the rules of the Group and immediately reports any violations to the Board and the Capital Markets Authority ("CMA/Authority") and ensures compliance with the requirements of the Act, and rules in operations, transactions and all affairs of the Group including listings and continuous reporting obligations of listed companies.

The Chief Executive is also responsible for the supervision of the trading activities of the Group and takes all necessary steps to maintain orderly and efficient trading and functioning of facilities, in accordance with the Group's rules and as prescribed by the Act.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Division of Responsibilities (Continued)

The Chief Executive reports periodically to the Board on all matters concerning the operation and affairs of the Group, attends all meetings of the Committees and provides technical input where necessary and promotes the objectives and functions of the Group. The Chief Executive also liaises with the Authority and its representatives in respect of administrative, regulatory and technical matters of the Group. The Chief Executive is also responsible for the stewardship of the Group's assets and, jointly with the Chairman, for representation of the Group externally.

Board Composition

As at the date of this Annual Report, the Board of the Nairobi Securities Exchange Plc is constituted as follows:

- a) Five (5) Independent and Non-Executive Directors;
- b) One (1) Director appointed to represent Trading Participants;
- c) Two (2) Directors appointed to represent Listed Companies; and the
- d) Chief Executive Officer

Mr. Kiprono Kittony, EBS	Chairman/Independent Non-Executive Director
Mr. Paul Mwai	Vice Chairman/Non-Executive Director
Mr. John Niepold	Independent Non-Executive Director
Mr. Stephen Chege	Listed Companies/Non-Executive Director
Mr. Donald Wangunyu	Trading Participant/Non-Executive Director
Ms. Risper Alaro	Listed Companies/Non-Executive Director
Ms. Isis Nyong'o	Independent Non-Executive Director
Ms. Caroline Kariuki	Independent Non-Executive Director
Mr. Frank Lloyd Mwiti	Chief Executive Officer

Board Committees

The Board established six (6) Board Committees with delegated authority to assist the Board effectively carry out its obligations. These Board Committees are:

a) Finance and Strategy Committee
b) Trading and Technology Committee
c) Audit, Risk and Compliance Committee
d) Self-Regulatory Organization and Listing Committee (SROLIC)
e) Remuneration, Nominating and Human Capital Committee
f) Derivatives Market Oversight Committee

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Board Committees (Continued)

Other than the Derivatives Market Oversight Committee and Trading and Technology Committee, both which have external resource persons, all other Committees are composed of Board members only.

At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval.

The Board reviews the Committee composition every year to ensure that the Committees have suitable, appropriate and relevant skills required to effectively discharge the mandate of the Committees and the Board as a whole. The review also aids in incorporating into Committees any members who may have retired from the Board and also those who may join the Board in the course of the year. The Committee membership review took place in August 2024.

The Committee Terms of Reference are also reviewed on an annual basis to ensure that they are up to date to factor in any developments in the organizations strategic direction, operations, industry practice and global best practices. The annual review in 2024 took place in August 2024.

Below is a summary of the mandates, functions, membership and activities of the various committees:

- **Finance and Strategy Committee**

The mandate of the Finance and Strategy Committee is to oversee the implementation of the NSE Strategy and strategic business development initiatives of the NSE, including training and to deal with all matters relating to the prudent financial management of the Group, which includes NSE PLC subsidiaries, including reviewing and advising on the financial statements and management accounts. The Committee also evaluates and advises on potential investment opportunities and also oversees procurement at the NSE to ensure compliance with the Procurement manuals and procedures.

- **Trading and Technology Committee**

The Trading and Technology Committee's mandate is to assist the Board in relation to trading and markets operations, information technology infrastructure, data service provision and dissemination of market information to capital markets stakeholders and the general public. The Committee also monitors the state of technology capabilities within NSE and identifies and manages the associated risks and opportunities that could have significant impact on the organization's operations.

- **Audit, Risk and Compliance Committee**

The mandate of the Audit, Risk and Compliance Committee is to monitor, review and make recommendations to the Board on the adequacy of NSE's internal control, internal and external audit programs, risk management and compliance monitoring systems and to monitor the organization's Corporate Governance practices including compliance with relevant laws, regulations and rules in respect of the Group's business.

- **Self-Regulatory Organization and Listing Committee (SROLC)**

The mandate of the Self-Regulatory Organization and Listing Committee is to enforce the NSE Market Participants Business Conduct and Enforcement Rules, 2014, the Listing Rules, Continuous Listing Obligations Regulations, the Derivatives Rules, the NSE Trading Rules and any other Regulations or Rules of the NSE as are in force, as may be necessary for the maintenance of a fair and orderly market and to ensure compliance with any other capital market legislation and the enforcement powers of which have been delegated to the SROLC function of the NSE.

- **Remuneration, Nominating and Human Capital Committee**

The Remuneration, Nominating and Human Capital Committee advises and assists the Board in effective discharge of its responsibilities in relation to the composition of the Board and its remuneration, and to establish a plan of continuity for the Chief Executive as appropriate. The Committee also advises, implements and assists the Board in effective discharge of its responsibilities in relation to Human Capital Management.

- **Derivatives Market Oversight Committee**

The Derivatives Market Oversight Committee advises the Board on the oversight of, and strategic issues relating to the NSE's Derivatives Market and the Derivatives Clearing House including addressing conflict of interest matters regarding futures brokers, issues arising in the design of derivatives contracts and undertaking trading and surveillance functions.

CORPORATE GOVERNANCE STATEMENT (Continued)

BOARD & BOARD COMMITTEES' MEMBERSHIP AND NUMBER OF MEETINGS HELD AND ATTENDED IN 2024

Director	Classification	Designation		Board	Finance & Strategy Committee	Trading & Technology Committee	Audit, Risk & Compliance Committee	Self-Regulatory Organization and Listing Committee	Remuneration, Nominating & Human Capital Committee	Derivatives Market Oversight Committee
K Kittony, EBS	Non-executive	Chairman -Board	Membership	✓						
			Attendance	8/8						
P Mwai	Non-executive	Vice Chairman - Board	Membership	✓	✓	✓				*
			Attendance	7/8	5/5	4/4				3/4
J Niepold	Non-executive	Chairman - Finance & Strategy Committee and Derivatives Market Oversight Committee	Membership	✓	✓		✓	✓		✓**
			Attendance	7/8	5/5		4/4	4/4		1/4
M Turner***	Non-executive		Membership							
			Attendance	3/8	2/5		2/4	2/4		
D Wangunyu	Non-executive	Chairman – Trading and Technology Committee	Membership	✓		✓			✓	✓*
			Attendance	7/8		4/4			6/6	3/4
S Chege	Non-executive		Membership	✓	✓	✓			✓	
			Attendance	5/8	4/5	4/4			6/6	
C Kariuki	Non-executive	Chairperson - Remuneration, Nominating & Human Capital Committee	Membership	✓	✓		✓****	✓	✓	
			Attendance	6/8	3/5		1/4	3/4	6/6	
R Alaro	Non-executive		Membership	✓			✓		✓	
			Attendance	6/8			3/4		5/6	
I Nyong'o	Non-executive	Chairperson – Self-Regulatory Organization & Listing Committee and Audit, Risk & Compliance Committee	Membership	✓			✓	✓	✓	
			Attendance	8/8			3/4	4/4	4/6	
G Odundo*****			Membership							
			Attendance	2/8	2/5	1/4	1/4	1/4	2/6	1/4
Frank Lloyd Mwiti*****		Chief Executive Officer	Membership							
			Attendance	6/8	3/5	3/4	3/4	3/4	4/6	3/4

*Retired as a member of the Derivatives Market Oversight Committee on 1st October 2024

**Appointed as a Chairman of the Derivatives Market Oversight Committee on 1st October 2024

***Retired as a Director of the Company upon the expiry of his term as Director of the company on 29th May 2024

**** Appointed as a member of the Audit, Risk & Compliance Committee on 29th August 2024

***** Retired as a Director of the Company upon the expiry of his contract as a Chief Executive Officer of the company on 1st March 2024

***** Appointed as Chief Executive Officer of the company on 2nd May 2024

The Chief Executive does not form the quorum for Board Committee meetings and attends by invitation.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

BOARD COMMITTEES' MEMBERSHIP AND NUMBER OF MEETINGS HELD AND ATTENDED IN THE YEAR 2024

BOARD COMMITTEES WITH EXTERNAL RESOURCE PERSONS

1. Derivatives Market Oversight Committee

Name	Nature of Participation	Attendance
J. Swai*	Chairperson	2/4
E. Kigen*	Member	3/4
A. Mulisa*	Member	2/4
D. Magecha**	Member	1/4
C. Grune**	Member	1/4

*Retired as a member of the Committee on 1st October 2024.

** Appointed as a member of the Committee on 1st October 2024.

2. Trading and Technology Committee

Name	Nature of Participation	Attendance
J. Waiguru	Member	4/4
E. Kihanda	Member	3/4

NAIROBI SECURITIES EXCHANGE CORPORATE GOVERNANCE FACT SHEET

Number of Board Members	8
Number of Independent Non-Executive Directors	4
Number of Non-Executive Directors representing Trading Participants	1
Number of Non-Executive Directors representing Listed Companies	2
Number of Executive Directors	1
Number of women on the Board	3
Separate Chairman and CEO	Yes
Terms of Reference for Board Committees	Yes
Independent Audit Committee	Yes
Number of Board Meetings held in 2024	8
Number of Annual General Meetings in 2024	1
Re-election of Directors in accordance with Articles of Association	YES
Board Induction Programs conducted	YES

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

CAPITAL STRUCTURE

a) Share capital

The authorized and issued share capital of Nairobi Securities Exchange PLC consists of only ordinary shares as disclosed in note 25 to the financial statements.

b) Top 20 Shareholders at 31 December 2024

The authorized and issued share capital of Nairobi Securities Exchange PLC consists of only ordinary shares as disclosed in note 25 to the financial statements.

No. Shareholders	Number of shares	%
1. Standard Chartered Kenya Nominees Ltd A/C KE004468	41,764,400	16.02%
2. Standard Chartered Kenya Nominees Ltd A/C KE22446	20,329,830	7.80%
3. Standard Chartered Kenya Nominees Ltd A/C KE003414	14,356,494	5.51%
4. Stanbic Nominees Ltd A/C NR1030823	12,997,399	4.99%
5. Stanbic Nominees Ltd A/C NR1031436	12,071,233	4.63%
6. The Investor Compensation Fund Board	8,750,000	3.35%
7. The Permanent Secretary to The Treasury	8,750,000	3.35%
8. Standard Chartered Kenya Nominees Ltd A/C KE22816	7,247,499	2.78%
9. Nyaga Stock Brokers Ltd	7,000,000	2.69%
10. Discount Securities Limited	7,000,000	2.69%
11. ABC Capital Limited	7,000,000	2.69%
12. Sterling Capital Limited	7,000,000	2.69%
13. Kingdom Securities Limited	7,000,000	2.69%
14. Renaissance Capital (Kenya) Limited	7,000,000	2.69%
15. Stanbic Nominees Ltd A/C NR1031142	6,879,090	2.64%
16. Standard Chartered Kenya Nominees Limited A/C 063123501897	6,786,143	2.60%
17. Standard Chartered Kenya Nominees Limited A/C KE002506	5,657,600	2.17%
18. Dyer & Blair Investment Bank Limited	4,300,000	1.65%
19. Africa Allied investors Ltd	4,236,300	1.62%
20. NCBA Investment Bank Limited	3,500,000	1.34%
Top 20 shareholders	199,625,988	76.59%
Others	61,008,553	23.41%
Total issued shares	260,634,541	100.00%

c) Distribution of Shareholders at 31 December 2024

	Number of shareholders	Number of shares	%
Less than 500	3,742	618,631	0.24%
501 – 5,000	8,912	11,957,255	4.59%
5,001 – 10,000	600	4,399,004	1.69%
10,001 – 100,000	636	16,595,332	6.37%
100,001 – 1,000,000	55	11,697,803	4.48%
Above 1,000,000	30	215,366,516	82.63%
Total	13,975	260,634,541	100.00%

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

CAPITAL STRUCTURE (Continued)

d) Shareholder Analysis by Domicile at 31 December 2024

	Number of shareholders	Number of shares	%
<i>Individual investors</i>			
Local	13,179	38,741,010	14.87%
East African	87	282,371	0.11%
Foreign	110	4,076,165	1.56%
	13,376	43,099,546	16.54%
<i>Institutional investors</i>			
Local	580	84,296,471	32.34%
East African	4	3,735	0.00%
Foreign	15	133,234,789	51.12%
	599	217,534,995	83.46%
Total	13,975	260,634,541	100.00%

e) Directors Holding Shares at 31 December 2024

	Number of shares	%
Mr. Stephen Chege	15,467	0.00

DIRECTORS' REMUNERATION REPORT

INFORMATION NOT SUBJECT TO AUDIT

Statement of Group's policy on directors' remuneration

a) Nairobi Securities Exchange PLC

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members. These policies clearly state remuneration elements such as Directors' fees and attendance allowances that are competitive and in line with the industry. Non-Executive Directors are paid a sitting allowance for every meeting attended. They are not eligible for provident fund membership. The Company does not grant any personal loans, guarantees, share options or long-term incentives to its non-executive Directors. The company has taken out insurance covers for the non-executive Directors covering Directors and Officers liability insurance cover and group personal accident covering death, permanent total disability and medical expenses.

The Chief Executive is the only executive director on the Board and the company has in place a remuneration policy which is aimed at ensuring compensation is competitive and aligned to the company's strategic objectives. The Executive Director's remuneration and benefits consists of: -

- ▶
- ▶ A monthly salary determined on appointment.
An annual bonus based on the performance of the company, individual performance and general
- ▶ inflation considerations.
- ▶ Contributory staff provident scheme
Non-cash benefits relating to a company-maintained vehicle and insurance cover.

There were no substantial changes to the Director's remuneration policy during the year 2024.

b) NSE Clear Limited

A managing director or other executive officer shall receive such remuneration (whether by way of salary, commission or participation in profits, or partly in one way and partly in another) as the directors may determine.

There were no substantial changes to the Director's remuneration policy during the year 2024.

c) The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)

In accordance with the Trust Deed of the Funds, the Board of Directors of NSE Clear Limited appoints the trustees of the Fund subject to approval by the CMA. The number of trustees is set at a minimum of Three (3). Any person, whether or not domiciled, resident or carrying on business or in the case of a body corporate carrying on business in Kenya may be appointed and hold office as a trustee.

There were no substantial changes to the trustees' remuneration policy during the year 2024.

Contract of service

a) Nairobi Securities Exchange PLC

In accordance with Article 93 of the Articles of Association of the Company, unless and until otherwise from time to time determined by an ordinary resolution of the Company, but always subject to the provisions of the Kenyan Companies Act (the Act) and the Capital Markets Act (CMA) regulations, the number of Directors (including the Chief Executive and excluding alternates) shall not be less than Seven (7) and not more than Eleven (11) in number and shall be elected in accordance with the Act, the Capital Markets Act and the Company's Articles of Association.

Two Directors are elected by the members from among or to represent the trading participants and a further two Directors are elected by the members from among nominees of companies listed on the Nairobi Securities Exchange to represent the said listed companies. Any other directors are elected by the members in accordance with the Companies Act provided that at all times at least one third of the Directors must be non-executive Directors.

If at any time the number of Directors falls below the minimum number fixed by or in accordance with the Company's Articles of Association, the remaining Directors may act for the purpose of convening a general meeting or for the purpose of bringing the number of Directors to such minimum, and for no other purpose.

The Non-Executive Directors are not under contract but are subject to retirement by rotation at the Annual General Meeting (AGM). CMA regulations provide for fixed terms of office for the company's Chairman and Chief Executive, which shall include a maximum two consecutive 3 year terms for the Chairman and a four year renewable term once for the Chief Executive. The Chairman's term of office was extended for two years with effect from 13th July 2024.

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION NOT SUBJECT TO AUDIT (Continued)

Contract of service (Continued)

a) Nairobi Securities Exchange PLC (Continued)

The Chief Executive's contract within the period under review is for the first term for a Four (4) year's period running from 2nd May 2024. Under the terms of the contract, either party may, not less than six months to the expiry of this contract, notify the other of their intention not to extend the contract, otherwise the contract shall be automatically renewed for a further final period of four years. Either Party may also terminate the Agreement without assigning any reasons, at any time, by giving to the other not less than six months' notice in writing, or six months' salary in lieu of notice, at the end of which the Agreement shall determine.

b) NSE Clear Limited

In accordance with the Company's Articles of Association (the Articles), the directors have power at any time, and from time to time, to appoint any person to be a director, either to fill a casual vacancy, or as an addition to the existing directors, but so that the total number of directors shall not at any time exceed the number fixed in accordance with the Articles. Any director so appointed shall hold office until he is removed or his office is vacated, in each case in accordance with these Articles.

The Directors may from time to time appoint one or more of their body to the office of managing director, or to any other executive office under the Company, for such period and on such terms as they think fit, and, subject to the terms of any agreement entered into in any particular case, may revoke such appointment. The appointment of such managing director or other executive officer shall be automatically determined if he ceases from any cause to be a director.

Other than the Managing Director, the Directors are subject to retirement by rotation at every Annual General Meeting (AGM).

c) The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)

The Trustees are not under contract. The office of a trustee becomes vacant if: the trustee resigns with a one month's notice; becomes mentally or physically incapacitated; or by removal by the Board of NSE Clear Limited by a resolution. A trustee can also retire at any time by giving three (3) months written notice to the Board. In the event of the number of trustees falling below three, the Board shall, subject to the approval of the CMA, appoint such additional trustees as shall be necessary to make their number up to three, save where there is appointed a sole corporate trustee.

Statement of voting on the Directors' remuneration report at the Previous Annual General Meeting

a) Nairobi Securities Exchange PLC

During the Annual General Meeting held on 29th May 2024, the shareholders approved the fees paid to the Directors fees for the year ended 31st December 2023 by show of hands.

At the Annual General Meeting to be held on 21st May 2025, approval will be sought from shareholders for the fees paid to the Directors for the financial year ended 31st December 2024.

b) NSE Clear Limited

During the Annual General Meeting held on 8th May 2024, the shareholders approved the fees paid to the Directors for the year ended 31st December 2023 by show of hands.

At the Annual General Meeting to be held on 7th May 2025, approval will be sought from shareholders for the fees paid to the Directors for the financial year ended 31st December 2024.

c) The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)

The Funds do not hold annual general meetings. The fees for the Trustees are approved by the NSE Clear Limited Board.

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION SUBJECT TO AUDIT

The following table shows a single figure remuneration for the Chairman, Non-Executive Directors and Executive Director in respect of qualifying services for the year ended 31st December 2024 together with the comparative figures for 2023.

Year ended 31 December 2024

Name	Category	Fees	Sitting Allowances	Gross pay +other allowances	Provident scheme contribution	Total
		Kshs	Kshs	Kshs	Kshs	Kshs
Kiprono Kittony	Non-Executive	1,200,000	754,286	-	-	1,954,286
Paul Mwai	Non-Executive	960,000	1,064,286	-	-	2,024,286
Isis Nyong'o	Non-Executive	720,000	1,171,429	-	-	1,891,429
Michael Turner	Non-Executive	360,000	521,429	-	-	881,429
Risper Alaro*	Non-Executive	720,000	1,142,857	-	-	1,862,857
Donald Wangunyu*	Non-Executive	720,000	1,192,857	-	-	1,912,857
Stephen Chege	Non-Executive	720,000	992,857	-	-	1,712,857
John Niepold	Non-Executive	720,000	1,221,428	-	-	1,941,428
Caroline Kariuki	Non-Executive	720,000	1,071,428	-	-	1,791,428
Geoffrey Odundo	Executive	-	-	8,929,217	467,608	9,396,825
Frank Lloyd Mwiti	Executive	-	-	22,661,602	2,230,968	24,892,570
		6,840,000	9,132,857	31,590,819	2,698,576	50,262,252

* Included in the Director's fees for the year ended 31 December 2024 is amounts relating to fees earned for services rendered in other NSE Group Companies as tabulated below:

Name	NSE Clear	Sitting Allowances IPF	SGF	Total
	Kshs	Kshs	Kshs	Kshs
Risper Alaro	95,238	95,238	95,238	285,714
Donald Wangunyu	9,524	9,524	9,524	28,572
	104,762	104,762	104,762	314,286

Geoffrey O. Odundo and Frank Lloyd Mwiti were provided with a company car in the respective terms of service (non-cash benefit).

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION SUBJECT TO AUDIT (Continued)

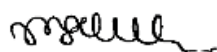
Year ended 31 December 2023

Name	Category	Fees	Sitting Allowances	Gross pay + other allowances	Provident scheme contribution	Total
		Kshs	Kshs	Kshs	Kshs	Kshs
Kiprono Kittony	Non-Executive	1,200,000	565,714	-	-	1,765,714
Paul Mwai	Non-Executive	960,000	1,028,571	-	-	1,988,571
Isis Nyong'o	Non-Executive	720,000	1,085,714	-	-	1,085,714
Michael Turner	Non-Executive	360,000	1,100,000	-	-	1,820,000
Risper Alaro*	Non-Executive	720,000	914,286	-	-	1,634,286
Donald Wangunyu	Non-Executive	720,000	1,128,571	-	-	1,848,571
Stephen Chege	Non-Executive	720,000	1,028,571	-	-	1,748,571
John Niepold	Non-Executive	720,000	1,085,715	-	-	1,805,715
Caroline Kariuki	Non-Executive	720,000	1,035,715	-	-	1,755,715
Geoffrey Odundo	Executive	-	-	28,943,300	2,805,649	31,748,949
		6,840,000	8,972,857	28,943,300	2,805,649	47,921,806

*Included in the Director's fees for the year ended 31st December 2023 is amounts relating to fees earned for services rendered in other NSE Group Companies as tabulated below:

Sitting Allowances				
	NSE Clear	IPF	SGF	Total
	Kshs	Kshs	Kshs	Kshs
Risper Alaro	85,714	85,714	85,714	257,142

Geoffrey O. Odundo was provided with a company car during the year (non-cash benefit).



Ms. Millicent Ngetich
Company Secretary

27th March 2025

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Company and Group as at the end of the financial year and of its profit or loss for that year. The directors are responsible for ensuring that the Company and Group keep proper accounting records that are sufficient to show and explain the transactions of the Company and Group; disclose with reasonable accuracy at any time the financial position of the Company and Group; and that enables them to prepare financial statements of the Company and Group that comply with IFRS® Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015. They are also responsible for safeguarding the assets of the Company and Group and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

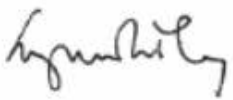
The directors accept responsibility for the preparation and presentation of these financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

- i. Designing, implementing and maintaining internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- ii. Selecting suitable accounting policies and then apply them consistently; and
- iii. Making judgments and accounting estimates that are reasonable in the circumstances.

Having made an assessment of the Company's and Group's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Company's and Group's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of Directors on 27th March 2025 and signed on its behalf by:



Mr. Kiprono Kittony, EBS
Chairman



Ms. Isis Nyong'o
Director



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF THE NAIROBI SECURITIES EXCHANGE PLC

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the accompanying separate financial statements of Nairobi Securities Exchange PLC (the Company) and the consolidated financial statements of the Company and its subsidiaries (together, the Group) set out on pages 79 to 144, which comprise the consolidated and separate statements of financial position at 31 December 2024 and consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements give a true and fair view of the financial position of the Group and of the Company at 31 December 2024 and of their financial performance and cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report. We are independent of the Group and the company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code), together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. We have determined that there are no key audit matters to report.

Other information

The directors are responsible for the other information. The other information comprises the corporate information, Directors' report, corporate governance statement, statement of Directors' responsibilities and Directors' remuneration report (but does not include the consolidated and separate financial statements and our auditor's report thereon), which we obtained prior to the date of this auditor's report and the rest of the other information in the Annual Report, which is expected to be made available to us after that date. Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015, as set out below.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the other information provided after the date of this auditor's report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the Directors for the consolidated and company financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF THE NAIROBI SECURITIES EXCHANGE PLC (CONTINUED)

Report on the audit of the consolidated and separate financial statements (Continued)

Responsibilities of the Directors for the consolidated and company financial statements (Continued)

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- ▶ Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ▶ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- ▶ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- ▶ Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the

audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and the Company to cease to continue as a going concern.

- ▶ Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- ▶ Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF THE NAIROBI SECURITIES EXCHANGE PLC (CONTINUED)

Report on other matters prescribed by the Kenyan Companies Act, 2015

Report of the Directors

In our opinion, the information given in the directors' report on page 3 to 4 is consistent with the financial statements.

Directors' remuneration report

In our opinion, the auditable part of the directors' remuneration report on pages 73 to 74 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Freda Mitambo, Practicing certificate No. 2174.**



For and on behalf of Deloitte & Touche LLP
Certified Public Accountants (Kenya)
Nairobi
2025

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2024

	Notes	Group		Company	
		2024	2023	2024	2023
		Sh'000	Sh'000	Sh'000	Sh'000
Transaction levy - equity	6	253,650	211,094	253,650	211,094
Transaction levy - bond	6	169,881	64,395	169,881	64,395
Data income	6	101,299	116,569	101,299	116,569
Annual, initial and additional listing fees	6	69,508	69,838	66,773	68,338
Interest income computed on effective interest rate	9	146,960	120,950	120,707	101,562
Broker back-office subscription	6	33,023	27,944	33,023	27,944
Unquoted securities platform fees	6	1,037	2,439	-	-
Dividend from equity investment		8,279	8,013	8,279	8,013
Other income	10	44,764	41,079	41,735	66,686
Share of surplus - NSE LLP	17	-	-	3,660	1,716
Total income		828,401	662,321	799,007	666,317
Staff costs	8(a)	200,781	176,452	200,781	176,452
System maintenance costs		82,226	61,847	82,226	61,847
Depreciation and amortization	12,14	39,107	37,720	38,860	37,513
Building and office costs		39,767	41,914	37,796	38,615
Directors' emoluments	33(a)	50,262	47,922	49,948	47,665
Revaluation loss on property		20,778	27,500	20,778	27,500
Share of bond levy		37,487	20,096	37,487	20,096
Other expenses	8(b)	202,859	182,587	190,579	175,568
Total expenses		673,267	596,038	658,455	585,256
Profit before ECL and fair value movements		155,134	66,283	140,552	81,061
Provision for expected credit losses (ECL)	36(b)(iii)	(8,748)	5,145	(3,504)	4,334
Unrealised gain/(loss) on bond mark to market valuation		7,734	(9,673)	7,734	(9,673)
Share of gain/(loss) of associate	15(b)	8,703	(19,429)	4,835	(10,794)
Profit before income tax	7	162,823	42,326	149,617	64,928
Tax expense	11(a)	(46,523)	(23,922)	(42,305)	(20,482)
Profit after tax for the year		116,300	18,404	107,312	44,446

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

	Notes	Group		Company	
		2024	2023	2024	2023
		Sh'000	Sh'000	Sh'000	Sh'000
Profit after tax for the year		116,300	18,404	107,312	44,446
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Fair value gain on equity instruments at fair value through other comprehensive income	18	14,650	26,292	14,650	26,292
Fair value adjustment from associate on investment in Government securities	15(b)	1,182	(2,695)	657	(1,497)
Total other comprehensive income		15,832	23,597	15,307	24,795
Total comprehensive income for the year		132,132	42,001	122,619	69,241
Profit for the year attributable to:					
Ordinary equity holders of the parent	32	116,272	18,403	107,312	44,446
Non-controlling interest	16(d)	28	1	-	-
		116,300	18,404	107,312	44,446
Total comprehensive income for the year attributable to:					
Ordinary equity holders of the parent		132,104	42,000	122,619	69,241
Non-controlling interest	16(d)	28	1	-	-
		132,132	42,001	122,619	69,241
		Sh	Sh	Sh	Sh
Earnings per share - Basic and diluted	32	0.45	0.07	0.41	0.17

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2024

	Notes	2024	2023
		Sh'000	Sh'000
ASSETS			
Non-current assets			
Property and equipment	12	99,773	116,176
Investment property	13	303,835	288,481
Intangible assets	14	89,840	108,048
Investment in associate	15(b)	176,036	166,151
Financial assets at fair value through other comprehensive income – Quoted equity instruments	18	147,771	133,121
Long-term restricted investments	19	144,902	143,382
Government securities at amortised cost	20(a)	201,813	201,973
Deferred income tax	21	8,639	10,247
		1,172,609	1,167,579
Current assets			
Trade and other receivables	22(a)	103,977	113,770
Financial assets at fair value through profit or loss - Government securities	20(b)	133,096	241,324
Tax recoverable	11(c)	70,685	98,309
Fixed deposits	23	257,130	-
Short-term restricted cash and investment	23	292,628	317,171
Cash and cash equivalents	23	120,687	89,911
		978,203	860,485
TOTAL ASSETS		2,150,812	2,028,064

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2024 (CONTINUED)

	Notes	2024	2023
		Sh'000	Sh'000
EQUITY AND LIABILITIES			
Equity			
Share capital	25	1,042,538	1,041,810
Share premium	26	279,725	279,489
Revaluation reserve		74,871	60,221
Other reserves		(3,446)	(4,628)
Retained earnings		567,579	492,979
Equity attributable to the owners of the parent		1,961,267	1,869,871
Non-controlling interest	16(d)	6,888	6,860
Total equity		1,968,155	1,876,731
Non-current liabilities			
Settlement Guarantee Fund members contributions	28	11,750	11,750
Tenant deposits	29(a)	3,283	2,215
		15,033	13,965
Current liabilities			
Trade and other payables	29(b)	103,463	74,947
Dividends payable	30	61,961	60,221
Trading members' contributions		2,200	2,200
		167,624	137,368
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		2,150,812	2,028,064

The financial statements on pages 79 to 144 were approved and authorised for issue by the Board of Directors on 27th March 2025 and were signed on its behalf by:



Mr. Kiprono Kittony, EBS
Chairman



Ms. Isis Nyong'o
Director

COMPANY STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2024

	Notes	2024	2023
		Sh'000	Sh'000
ASSETS			
Non-current assets			
Property and equipment	12	99,237	115,393
Investment property	13	303,835	288,481
Intangible assets	14	89,840	108,048
Investment in associate	15(b)	78,940	73,448
Investment in subsidiaries and structured entities	16	248,899	248,899
Investment in NSE LLP	17	10,931	7,442
Financial assets at fair value through other comprehensive income – Quoted equity instrument	18	147,771	133,121
Government securities at amortised cost	20(a)	201,813	201,973
Deferred income tax	21	8,639	10,246
		1,189,905	1,187,051
Current assets			
Trade and other receivables	22(a)	100,143	113,012
Due from related party	33(f)(i)	11,929	30,267
Financial assets at fair value through profit or loss - Government securities	20(b)	133,096	241,324
Tax recoverable	11(c)	63,394	90,753
Fixed deposits	23	257,130	-
Short-term restricted cash and investments	23	292,628	317,171
Cash and cash equivalents	23	102,150	59,759
		960,470	852,286
TOTAL ASSETS		2,150,375	2,039,337

COMPANY STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2024 (CONTINUED)

	Notes	2024	2023
		Sh'000	Sh'000
EQUITY AND LIABILITIES			
Equity			
Share capital	25	1,042,538	1,041,810
Share premium	26	279,725	279,489
Revaluation reserve		74,871	60,221
Other reserves		(1,914)	(2,571)
Retained earnings		598,793	533,153
Shareholders' funds		1,994,013	1,912,102
Non-current liabilities			
Tenant deposits	29(a)	3,283	2,215
Current liabilities			
Trade and other payables	29(b)	90,400	65,617
Dividends payable	30	61,898	59,237
Due to NSE LLP	33(f)(i)	781	166
		153,079	125,020
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		2,150,375	2,039,337

The financial statements on pages 79 to 144 were approved and authorised for issue by the Board of Directors on 27th March 2025 and were signed on its behalf by:



Mr. Kiprono Kittony, EBS
Chairman



Ms. Isis Nyong'o
Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024

								NAIROBI SECURITIES EXCHANGE	
	Share capital	Share premium	Revaluation reserve	Other reserves	Retained earnings	Due to owners of the parent	Non-controlling interest	Total equity	
Year ended 31 December 2023	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
At start of year	1,041,567	279,459	33,929	(1,933)	526,654	1,879,676	17,366	1,897,042	
Profit for the year	-	-	-	-	18,403	18,403	1	18,404	
Other comprehensive income for the year	-	-	26,292	(2,695)	-	23,597	-	23,597	
Total comprehensive income for the year	-	-	26,292	(2,695)	18,403	42,000	1	42,001	
2022 dividend declared in the year	-	-	-	-	(52,078)	(52,078)	-	(52,078)	
Reduction in NCI on increase in shareholding in AKS Nominees Limited (note 16(d))	-	-	-	-	-	-	(9,523)	(9,523)	
Issue of shares to employees share ownership plan (note 27)	243	30	-	-	-	273	-	273	
2023 dividend declared by AKS Nominees Limited	-	-	-	-	-	-	(984)	(984)	
At end of year	1,041,810	279,489	60,221	(4,628)	492,979	1,869,871	6,860	1,876,731	
Year ended 31 December 2024									
At start of year	1,041,810	279,459	60,221	(4,628)	492,979	1,869,871	6,860	1,876,731	
Profit for the year	-	-	-	-	116,272	116,272	28	116,300	
Other comprehensive income for the year	-	-	14,650	1,182	-	15,832	-	15,832	
Total comprehensive income for the year	-	-	14,650	1,182	116,272	132,104	28	132,132	
2023 dividend declared in the year	-	-	-	-	(41,672)	(41,672)	-	(41,672)	
Issue of shares to employees share ownership plan (note 27)	728	236	-	-	-	964	-	964	
At end of year	1,042,538	279,725	74,871	(3,446)	567,579	1,961,267	6,888	1,968,155	

The revaluation reserve relates to the valuation of equity instruments through other comprehensive income.
Other reserves relate to the Company's share of the fair value adjustments of the associate through other comprehensive income.

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital	Share premium	Revaluation reserve	Other reserves	Retained earnings	Total equity
Year ended 31 December 2023	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
At start of year	1,041,567	279,459	33,929	(1,074)	540,785	1,894,666
Profit for the year	-	-	-	-	44,446	44,446
Other comprehensive income for the year	-	-	26,292	(1,497)	-	24,795
Total comprehensive income for the year	-	-	26,292	(1,497)	44,446	69,241
2022 dividend declared in the year	-	-	-	-	(52,078)	(52,078)
Issue of shares to employees share ownership plan (note 27)	243	30	-	-	-	273
At end of year	1,041,810	279,489	60,221	(2,571)	533,153	1,912,102
Year ended 31 December 2024						
At start of year	1,041,810	279,489	60,221	(2,571)	533,153	1,912,102
Profit for the year	-	-	-	-	107,312	107,312
Other comprehensive income for the year	-	-	14,650	657	-	15,307
Total comprehensive income for the year	-	-	14,650	657	107,312	122,619
2023 dividend declared in the year	-	-	-	-	(41,672)	(41,672)
Issue of shares to employees share ownership plan (note 27)	728	236	-	-	-	964
At end of year	1,042,538	279,725	74,871	(1,914)	598,793	1,994,013

The revaluation reserve relates to the valuation of equity instruments through other comprehensive income.

Other reserves relate to the Company's share of the fair value adjustments of the associate through other comprehensive income.

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2024

	Notes	Group		Company	
		2024	2023*	2024	2023*
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
Cash flows from operating activities					
Profit before income tax		162,823	42,326	149,617	64,928
Adjustments for non-cash items	31	(93,118)	(35,292)	(66,901)	(24,099)
Working capital changes	31	39,379	(10,908)	42,029	(30,674)
Cash generated from/(used in) operations	31	109,084	(3,874)	124,745	10,155
Tax paid	11(c)	(17,291)	(27,905)	(13,168)	(23,044)
Net cash generated from/(used in) operating activities		91,793	(31,779)	111,577	(12,889)
Cash flows from investing activities					
Purchase of property and equipment	12	(36,901)	(2,076)	(36,901)	(1,087)
Purchase of intangible assets	14	(4,214)	(19,861)	(4,214)	(19,861)
Interest received		144,169	112,003	119,209	90,705
Proceeds on disposal of equipment		682	6	682	6
Purchase of treasury bonds		(59,280)	(67,790)	(59,280)	(67,790)
Sale of treasury bonds		167,097	79,283	167,097	79,283
Investment in fixed deposits		(460,700)	51,689	(460,700)	44,722
Investment in long term restricted investments		(244)	(439)	-	-
Dividend received from associate		-	-	15,644	-
Cash (used in)/generated from investing activities		(249,391)	152,815	(258,463)	125,978
Cash flows from financing activities					
Dividends paid	30	(39,932)	(49,950)	(39,011)	(49,950)
Investment in AKS Nominees Limited		-	(7,000)	-	(7,000)
Cash used in financing activities		(39,932)	(56,950)	(39,011)	(56,950)
(Decrease)/increase in cash and cash equivalents		(197,530)	64,086	(185,897)	56,139
Cash and cash equivalents at the start of year		318,806	250,234	289,313	228,688
Effect of foreign exchange rate changes		(5,755)	4,486	(5,755)	4,486
Cash and cash equivalents at the end of year	23	115,521	318,806	97,661	289,313

* Changes in presentation of the comparative figures have been made as disclosed in note 3.21.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1 REPORTING ENTITY

The Nairobi Securities Exchange Plc (NSE/the “Company”/the “Exchange”) was incorporated in Kenya under the Companies Act and is domiciled in Kenya. The NSE is licensed as an exchange by the Capital Markets Authority (CMA) of Kenya and obtained a license on 19 October 2015 to operate a derivatives exchange. The NSE currently has the primary market services as a main line of business. The consolidated financial statements of the Group at and for the year ended 31 December 2024 comprise the Company and subsidiaries and controlled structured entities (collectively referred to as the “Group”) and reflect the Company’s interest in an associate company.

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION

The material accounting policies applied in the preparation of these consolidated and separate financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Statement of compliance

The consolidated and separate financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board. The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The consolidated and separate financial statements are presented in Kenya Shillings (Sh), rounded to the nearest thousand.

The preparation of the consolidated and separate financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires the Directors to exercise judgement in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the consolidated and separate financial statements, are disclosed in Note 4.

b) Basis of preparation

The financial statements comprise a profit and loss account (statement of profit or loss and other comprehensive income), balance sheet (statement of financial position), statement of changes in equity, statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income (OCI), are recognised in the profit or loss. Other comprehensive income is recognised in other comprehensive income

and comprises items of income and expense (including reclassification adjustments) that are not recognised in the profit or loss as required or permitted by IFRS Accounting Standards. Reclassification adjustments are amounts reclassified to the profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

i. Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

Under the historical cost basis, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or, in some cases, at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible.

If the fair value of an asset or a liability is not directly observable, it is estimated by the Group using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset/liability that market participants would take into account.

ii. Use of estimates and judgment

The preparation of financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires the directors to exercise their judgment in the process of applying the Group’s and Company’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULT OR FINANCIAL POSITION (Continued)

c) Adoption of new and revised IFRS Accounting Standards

(i) Relevant new standards and amendments to published standards effective for the year ended 31 December 2024

Several new and revised standards and interpretations became effective during the year. The Directors have evaluated the impact of the new standards and interpretations and none of them had a material impact on the Group's financial statements.

Amendments to IAS 7 and IFRS 7 - Supplier Finance Arrangements

The amendments add a disclosure objective to IAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and the entity's exposure to liquidity risk.

Supplier finance arrangements are characterised by one or more finance providers offering to pay amounts an entity owes its suppliers and the entity agreeing to pay according to the terms and conditions of the arrangements at the same date as, or a date later than, suppliers are paid.

These arrangements provide the entity with extended payment terms, or the entity's suppliers with early payment terms, compared to the related invoice payment due date. Supplier finance arrangements are often referred to as supply chain finance, payables finance or reverse factoring arrangements.

Arrangements that are solely credit enhancements for the entity (for example, financial guarantees including letters of credit used as guarantees) or instruments used to settle directly with a supplier the amounts owed (for example, credit cards) are not supplier finance arrangements.

The amendments include as an additional factor whether the entity has accessed, or has access to, supplier finance arrangements that provide the entity with extended payment terms or the entity's suppliers with early payment terms. The amendments add that concentrations of liquidity risk and market risk may arise from supplier finance arrangements resulting in the entity concentrating with finance providers a portion of its financial liabilities originally owed to suppliers.

The Group did not have any business transactions for which supplier finance arrangements would materially impact these financial statements.

Amendments to IAS 1 - Non-current Liabilities with Covenants

The IASB amends IAS 1 to specify that only covenants an entity must comply with on or before the reporting period should affect classification of the corresponding liability as current or non-current.

An entity is required to disclose information in the notes that enables users of financial statements to understand the risk that non-current liabilities with covenants could become repayable within twelve months.

The amendments are applied retrospectively (applying IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors).

Amendments to IAS 1 - Classification of liabilities as current or non-current

The amendment was to clarify the classification criteria for liabilities as current or non-current. The most significant changes are listed below

- (i) A clarification has been added to both IAS 1:69 and 73 to emphasise that for a liability to be classified as non-current, the entity's right to defer settlement must exist 'at the end of the reporting period'. This was previously illustrated in the examples but not explicitly stated.
- (ii) The IASB specifies that for a liability to be non-current an assessment is required of whether an entity has the right to defer settlement of a liability and not whether the entity will exercise that right. The reference to an entity's expectations in IAS 1:73 has been deleted and a new paragraph has been added to state explicitly that classification is unaffected by management intentions or expectations.
- (iii) The word 'unconditional' has been removed from IAS 1:69 and a new paragraph has been added to clarify that if the right to defer settlement is conditional on the compliance with covenants the right exists if the conditions are met at the end of the reporting period, even if the lender does not test compliance until a later date.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULT OR FINANCIAL POSITION (CONTINUED)

c) Adoption of new and revised IFRS Accounting Standards (Continued)

(i) Relevant new standards and amendments to published standards effective for the year ended 31 December 2024 (Continued)

Amendments to IAS 1 - Classification of liabilities as current or non-current (continued)

- (iv) A definition of the word 'settlement' has been added that states "For the purpose of classifying a liability as current or noncurrent, settlement refers to a transfer to the counterparty that results in the extinguishment of the liability." This transfer could be of cash, goods and services or the entity's own equity instruments.
- (v) The IASB also clarifies the scope of when counterparty conversion options affect classification as current or non-current. Applying the amendment, if a liability has terms that could, at the option of the counterparty, result in its settlement by the transfer of the entity's own equity instruments, these terms do not affect its classification as current or non-current if the entity recognises the option separately as an equity instrument applying IAS 32 Financial Instruments: Presentation.

Amendments to IFRS 16 Leases—Lease Liability in a Sale and Leaseback

The amendments to IFRS 16 add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in IFRS 15 Revenue from Contracts with Customers to be accounted for as a sale. The amendments require the seller-lessee to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date.

The amendments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in IFRS 16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

As part of the amendments, the IASB amended an Illustrative Example in IFRS 16 and added a new example to illustrate the subsequent measurement of a right-of-use asset and lease liability in a sale and leaseback transaction with variable lease payments that do not depend on an index or rate. The illustrative examples also clarify that the liability that arises from a sale and leaseback transaction that qualifies as a sale applying IFRS 15 is a lease liability.

A seller-lessee applies the amendments retrospectively in accordance with IAS 8 to sale and leaseback transactions entered into after the date of initial application, which is defined as the beginning of the annual reporting period in which the entity first applied IFRS 16.

(ii) Impact of new and amended standards and interpretations in issue but not yet effective

At the date of authorization of these financial statements, the Group has not yet applied the following new and revised IFRS Accounting Standards that have been issued but are not yet effective.

New and Amendments to standards	Effective for annual periods beginning on or after
Amendments to IAS 21 - Lack of Exchangeability	1 January 2025 with earlier adoption permitted
IFRS 18 - Presentation and Disclosures in Financial Statements	1 January 2027 with earlier adoption permitted
IFRS 19 - Subsidiaries without Public Accountability: Disclosures	1 January 2027 with earlier adoption permitted
Amendments to IFRS 7 and IFRS 9 – amendments to classification and measurements of financial instruments	1 January 2026 with earlier adoption permitted
Annual Improvements to IFRS Accounting Standards	1 January 2026 with earlier adoption permitted

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULT OR FINANCIAL POSITION (CONTINUED)

c) Adoption of new and revised IFRS Accounting Standards (Continued)

(ii) Impact of new and amended standards and interpretations in issue but not yet effective (Continued)

The directors do not expect that the adoption of the standards listed above will have a material impact on the financial statements of the group in future periods, except if indicated below.

At the date of authorization of these financial statements the IFRS interpretation committee has in July 2024 published the final agenda decision relating to IFRS 8 (Operating segments) which deals with disclosure of specified amounts related to segment profit or loss for each reportable segment. The Directors are in the process of evaluating the impact of this agenda decision on the Group's segmental reporting. Operating segments report of the group is contained in note 5.

Amendments to IAS 21 - Lack of exchangeability

The IASB has published amendments to IAS 21 that specify how to assess whether a currency is exchangeable and how to determine the exchange rate when it is not.

Applying the amendments, a currency is exchangeable when an entity is able to exchange that currency for the other currency through market or exchange mechanisms that create enforceable rights and obligations without undue delay at the measurement date and for a specified purpose. However, a currency is not exchangeable into the other currency if an entity can only obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose.

IFRS 18 - Presentation and Disclosures in Financial Statements

IFRS 18 replaces IAS 1, carrying forward many of the requirements in IAS 1 unchanged and complementing them with new requirements. In addition, some IAS 1 paragraphs have been moved to IAS 8 and IFRS 7. Furthermore, the IASB has made minor amendments to IAS 7 and IAS 33 Earnings per Share.

IFRS 18 introduces new requirements to:

- Present specified categories and defined subtotals in the statement of profit or loss
- Provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements improve aggregation and disaggregation

- Improve aggregation and disaggregation

The amendments to IAS 7 and IAS 33, as well as the revised IAS 8 and IFRS 7, become effective when an entity applies IFRS 18. IFRS 18 requires retrospective application with specific transition provisions.

The directors of the group anticipate that the application of these amendments may have an impact on the group's consolidated financial statements in future periods.

IFRS 19 - Subsidiaries without Public Accountability: Disclosures

IFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying IFRS Accounting Standards in its financial statements.

A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

IFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

An entity is only permitted to apply IFRS 19 if, at the end of the reporting period:

- It is a subsidiary (this includes an intermediate parent)
- It does not have public accountability, and
- Its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

A subsidiary has public accountability if:

- Its debt or equity instruments are traded in a public market or it is in the process of issuing such instruments for trading in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets), or
- It holds assets in a fiduciary capacity for a broad group of outsiders as one of its primary businesses (for example, banks, credit unions, insurance entities, securities brokers/dealers, mutual funds and investment banks often meet this second criterion).

Eligible entities can apply IFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply IFRS 19 in its consolidated financial statement may do so in its separate financial statements.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULT OR FINANCIAL POSITION (CONTINUED)

c) Adoption of new and revised IFRS Accounting Standards (Continued)

(iii) Impact of new and amended standards and interpretations in issue but not yet effective (Continued)

IFRS 19 - Subsidiaries without Public Accountability: Disclosures (continued)

If an entity elects to apply IFRS 19 for a reporting period earlier than the reporting period in which it first applies IFRS 18, it is required to apply a modified set of disclosure requirements set out in an appendix to IFRS 19. If an entity elects to apply IFRS 19 for an annual reporting period before it applied the amendments to IAS 21, it is not required to apply the disclosure requirements in IFRS 19 with regard to Lack of Exchangeability.

The directors of the group do not anticipate that IFRS 19 will be applied for purposes of the consolidated financial statements of the group on the basis that the group has public accountability.

Amendments to IFRS 7 and IFRS 9 – amendments to classification and measurements of financial instruments

Classification of financial assets

Contractual terms that are consistent with a basic lending arrangement

The application guidance in IFRS 9 is amended to provide guidance on how an entity assesses whether contractual cash flows of a financial asset are consistent with a basic lending arrangement. This is intended to assist an entity to apply the requirements for assessing contractual cash flow characteristics to financial assets with features linked to environmental, social and governance (ESG) concerns.

The IASB specifies that when assessing interest, an entity focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation an entity receives may indicate that the entity is being compensated for something other than basic lending risks and costs.

The amendments clarify that contractual cash flows are inconsistent with a basic lending arrangement if they are indexed to a variable that is not a basic lending risk or cost (for example, the value of equity instruments or the price of a commodity) or if they represent a share of the debtor's revenue or profit, even if such contractual terms are common in the market in which the entity

operates.

In some cases, a contingent feature gives rise to contractual cash flows that are consistent with a basic lending arrangement both before and after the change in contractual cash flows, but the nature of the contingent event itself does not relate directly to changes in basic lending risks or costs.

For example, the terms of a loan may specify that the interest rate is adjusted by a specified amount if the debtor achieves a contractually specified reduction in carbon emissions. In such a case, the financial asset has contractual cash flows that are solely payments of principal and interest on the principal amount outstanding if, and only if, in all contractually possible scenarios, the contractual cash flows would not be significantly different from the contractual cash flows on a financial instrument with identical contractual terms, but without such a contingent feature. In some circumstances, the entity may be able to make that determination by performing a qualitative assessment; but, in other circumstances, it may be necessary to perform a quantitative assessment. If it is clear, with little or no analysis, that the contractual cash flows are not significantly different, an entity need not perform a detailed assessment.

Financial assets with non-recourse features

IFRS 9 is amended to enhance the description of the term 'non-recourse'. Under the amendments, a financial asset has non-recourse features if an entity's ultimate right to receive cash flows is contractually limited to the cash flows generated by specified assets. In other words, the entity is primarily exposed to the specified assets' performance risk rather than the debtor's credit risk. For example, a creditor's ultimate right to receive cash flows may be contractually limited to the cash flows generated by specified assets of a structured entity. Contractually linked instruments. The amendments clarify the characteristics of contractually linked instruments that distinguish them from other transactions. Specifically, the amendments highlight that in such instruments a prioritisation of payments to the holders of financial assets using multiple contractually linked instruments (tranches) is established through a waterfall payment structure, resulting in concentrations of credit risk and a disproportionate allocation of losses between the holders of different tranches.

The amendments also note that not all transactions with multiple debt instruments meet the criteria of transactions with multiple contractually linked instruments; some are instead lending arrangements that are structured to provide enhanced credit protection to a creditor (or group of creditors). For example, a structured entity may be set up to hold the underlying assets that will generate the cash flows to repay the creditor. The structured entity issues senior and junior debt instruments.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULT OR FINANCIAL POSITION (CONTINUED)

c) Adoption of new and revised IFRS Accounting Standards (Continued)

(iii) Impact of new and amended standards and interpretations in issue but not yet effective (Continued)

Amendments to IFRS 7 and IFRS 9 – amendments to classification and measurements of financial instruments (Continued)

Financial assets with non-recourse features (Continued)

The creditor holds the senior debt instrument and the entity sponsoring the structured entity that holds the junior debt instrument has no practical ability to sell the junior instrument without the senior debt instrument becoming payable. Under the amendments, the holders of such debt instruments apply the requirements for contractual cash flows that are solely payments of principal and interest on the principal amount outstanding instead of the contractually linked instruments requirements.

The contractually linked instruments requirements in IFRS 9 apply only if the underlying pool includes one or more instruments that have contractual cash flows that are solely payments of principal and interest. The amendments clarify that this includes financial instruments that are not within the scope of the classification requirements, provided these instruments have contractual cash flows that are equivalent to solely payments of principal and interest on the principal amount outstanding—for example, some lease receivables. The amendments specify that this would not be the case for lease receivables that are subject to residual value risk, or that comprise variable lease payments that are indexed to a variable that is not a basic lending risk or cost (for example, a market rental rate).

Amendments to IFRS 7

Investments in equity instruments designated at FVTOCI

The disclosures requirements in IFRS 7 in respect of investments in equity instruments designated at FVTOCI are amended. In particular, an entity is required to disclose the fair value gain or loss presented in OCI during the period, showing separately the fair value gain or loss that relates to investments derecognised in the period and the fair value gain or loss that relates to investments held at the end of the period. If an entity derecognises investments in equity instruments measured at FVTOCI during the reporting period, it is

now required, under the amendments, to disclose any transfers of the cumulative gain or loss within equity during the reporting period related to the investments derecognised during that reporting period. Also, an entity is no longer required to disclose the reporting date fair value of each equity instruments designated at FVTOCI, this information can be provided by class of instruments.

Contractual terms that could change the timing or amount of contractual cash flows

The amendments introduce disclosure requirements for financial instruments that include contractual terms that could change the timing or amount of contractual cash flows on the occurrence (or non-occurrence) of a contingent event that does not relate directly to changes in a basic lending risks and costs (such as the time value of money or credit risk). Disclosures include a qualitative description of the nature of the contingent event, quantitative information about the possible changes to contractual cash flows as well as the gross carrying amount of financial assets and the amortised cost of financial liabilities subject to those contractual terms. The entity is required to make these disclosures by class of financial assets measured at amortised cost or FVTOCI and by class of financial liabilities measured at amortised cost.

The directors do not expect that the adoption of the IFRS 9 and IFRS 7 standards listed above will have a material impact on the financial statements of the group in future periods, except if indicated below.

(iii) Early adoption of standards

The Group did not early-adopt any new or amended standards in the year ended 31 December 2024.

3 MATERIAL ACCOUNTING POLICIES

3.1 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Nairobi Securities Exchange Plc and its subsidiaries, controlled structured entities, a limited liability partnership and interest in associate company made up to 31 December 2024. These have all been fully consolidated.

(i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the group has control. The group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.1 Basis of consolidation (Continued)

(i) Subsidiaries (Continued)

The group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IFRS 9 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the profit or loss.

The Group financial statements incorporate the assets, liabilities and results of the operations of the NSE Clear Limited, a company formed to act as a central counterparty in all the derivative transactions and AKS Nominees Ltd. Investments in subsidiaries are carried at cost less accumulated

impairment losses in the Company's separate financial statements. Details of NSE's subsidiaries are set out in Note 16.

The accounting policies of the subsidiaries have been changed where necessary to align them with the policies adopted by the Group.

(ii) Structured entities

The NSE Derivatives Settlement Guarantee Fund and the NSE Derivatives Investor Protection Fund are trusts established under the Trustee Act (Cap. 167) pursuant to the statutory obligations imposed on the NSE, as a licensed exchange, by the provisions of the Capital Markets (Derivatives Markets) Regulations, 2015 and clause 1.90 and 1.10 of the NSE Derivatives Rules. Clause 1.90 requires that the NSE, shall by itself or through a clearing house, establish and maintain a Settlement Guarantee Fund to strengthen the financial integrity of the derivatives market and ensure settlement of transactions in derivatives securities in case of default by a clearing member (CM). Clause 1.10 requires that the NSE shall establish and maintain an Investor Protection Fund to satisfy specified claims by the investing public arising out of non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of the trading members up to an amount specified in the rules.

Management and administration of the assets and operations of these trusts is done by a management committee formed by the NSE Clear Board of Directors. The Trustees of the funds act as the custodians and trustees of the assets of these Funds as defined in the trust deeds and rules of these Funds. The Fund's assets are segregated from the assets of the NSE and the NSE Clear Limited but are effectively controlled by NSE Clear Limited. The NSE, by virtue of its role as the parent company of the clearing house, NSE Clear Limited, has to consolidate the results of these funds in its annual financial statements.

The subsidiary and structured entities are stated at cost less accumulated impairment losses in the separate financial statements of the Company. Separate financial statements are prepared for the subsidiary and the structured entities, and independent external audits performed.

(iii) Investment in associate

Associates are those entities which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% to 50% of the voting power of another entity. The results and assets and liabilities of associates are incorporated in these financial statements using the equity method of accounting.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.1 Basis of consolidation (Continued)

(iii) Investment in associate (Continued)

Under the equity method, investments in associates are carried in the statement of financial position at cost as adjusted for post-acquisition changes in the Group's share of the net assets of the associate, less any impairment in the value of individual investments. Losses of an associate in excess of the Group's interest in that associate are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

(iv) Partnership

The NSE Limited Liability Partnership (NSE LLP) was set up to run the recently launched Unquoted Scripts Platform. The Partners of the LLP are the Chief Executive and the Chief Operating Officer of the NSE PLC. The LLP also has a Management Committee that oversees the day to day activities of the LLP. The Management Committee of the LLP reports to the Board of Directors of NSE PLC. As per the Partnership Deed, NSE PLC shall contribute 100% of the capital of the NSE LLP, and all profit and losses of the NSE LLP shall be allocated to NSE PLC. Separate financial statements are prepared for the NSE LLP and independent external audit performed.

NSE LLP is stated at cost less accumulated impairment losses in the separate financial statements of the Company. The results of NSE LLP are incorporated in the statements of profit or loss in the Company's financial statements.

3.2 Transactions eliminated on consolidation

Intra-group balances and transactions and any unrealized income and expenses arising from intra- group transactions, are eliminated in preparing the consolidated financial statements.

Unrealized gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Groups' interest in the investee. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

3.3 Foreign currencies

(i) Functional and presentation currency

The financial statements of each of the Group's

entities are measured using the currency of the primary economic environment in which the entity operates (the "Functional Currency"). The financial statements are presented in Kenya Shilling which is the Group's and the Company's Functional and Presentation Currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand

(ii) Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as financial assets through other comprehensive income are included in other comprehensive income.

3.4 Income recognition

The Group recognises income as and when it satisfies a performance obligation by transferring control of a service to a customer. The amount of income recognised is the amount the Group expects to receive in accordance with the terms of the contract, and excludes discounts and amounts collected on behalf of third parties, such as Value Added Tax.

Transaction levy income is based on a percentage of the value of shares traded and is recognised on the dates of the transactions. The transaction levy on equity is computed at the rate of 0.12% of the value of all equity transactions executed while that for bonds is computed at a rate of 0.0035% of the value of all fixed income transactions executed. The Group also earns transaction levy on bonds that was previously earned by CDSC which is at the rate of 0.002% of the value of fixed income transactions. The levy fees are computed on both the buy and sell side.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.4 Income recognition (Continued)

Data vending income is fees charged for the sale of trading data statistics. This is charged either on a lumpsum, monthly, quarterly or annual basis depending on the contract provision and how the performance obligation is satisfied throughout the contract.

Data vending income that is not charged on a monthly but on a lumpsum basis is recognized in income based on the contract value. Where the contract value is below 5% of the budgeted total data vending income for that year, then all the data income is booked in full within the year the income is contracted. Where the contract value is above 5% of the budgeted total data income then only the portion for the year is recognized within income for that year.

Annual listing fee is computed on the basis of the daily weighted average capitalisation value of the listed securities for the 11 months period between 1 January and 30 November. This fee is generally paid in advance on the first day of the membership or subscription period. The Group recognises revenue on a straight-line basis over the period to which the fee relates, as this reflects the extent of the Group's progress towards completion of the performance obligation under the contract.

Initial listing income is recognized in the year in which the listing company makes the flotation. Additional listing income is recognized during the year in which the issuing company makes announcement of the bonus/rights issues. The initial listing and additional listing fees represent one performance obligation and are billed to the issuing company at the time of admission to trading and become payable when invoiced.

Interest income from a financial asset is recognised on a time basis by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

The Unquoted Securities Platform (USP) is an automated solution for the issuance and trading of securities of unquoted companies. The platform offers world class trading infrastructure and information services as well as enables company's access capital markets for long term funding through private placements and restricted offers. Unquoted securities platform fee is charged on the issuer application fees based on the approved rates for initial admission, annual service, secondary

transfer per transaction, fund raising fee, financier admission fee and settlement custodian fee and is recognized in income on the date of the transaction.

Dividend income is recognised in profit or loss when the right to receive payment is established, which is the date the dividend is declared.

Market access fees are fees charged on the admission of a market participant as a member of the Group and are recognised over a period of three years.

Other income comprises income charged on the broker back office, rental income, net foreign exchange gains, profit on sale of property and equipment, investor protection levy, management fee, surplus distribution by Settlement Guarantee Fund, training fee and miscellaneous income.

Broker back office (BBO) subscription is the fee charged on a monthly basis to trading firms that have signed on to use the BBO trading system as provided in the contract.

Rental income from investment property is recognised in profit or loss on a straight line basis over the term of the lease.

Management fee is charged by the NSE to the subsidiaries and structured entities to cater for expenses attributable to investment and treasury management services, staff costs and other general and administrative overheads.

Surplus distributed by the Settlement Guarantee Fund (SGF) is income charged to compensate the Clearing Members who have contributed to the SGF. This is computed at 60% of the total surplus after tax for the year for SGF and distributed to the members based on their capital contributions. Since contributions from the clearing members are refundable at any point on exit of the member, the computed surplus for the clearing members is expensed while that of the NSE is offset against retained earnings.

An investor protection levy of 0.01% is charged on the transaction value/notional value (or such other amount as may be determined by the NSE in consultation with the CMA, for all transactions in derivative securities which levy is remitted to the Investor Protection Fund.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.5 Property and equipment

The building is carried at revaluation less any subsequent accumulated depreciation. Revaluations are performed with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the end of the year. The frequency of valuation is annual.

Motor vehicles and equipment are stated at cost less accumulated depreciation and any impairment losses.

Professional valuations on buildings are carried out in accordance with the Group policy. The fair value is determined based on the market comparable approach that reflects recent transaction prices for similar properties. In estimating the fair value of the properties, the highest and best use of the properties is their current use. There has been no change to the valuation technique during the year.

Increases in the carrying amounts of property resulting from revaluation is recognized in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognized in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in carrying amount arising on the revaluation of buildings is recognized in profit or loss to the extent that it exceeds the balance, if any, held in the properties revaluation reserve relating to a previous revaluation of that asset.

Depreciation is calculated on the straight-line basis to write down the cost of each asset to its residual value over its estimated useful life as follows:

<i>Motor vehicles</i>	<i>4 years</i>
<i>Furniture and fittings</i>	<i>8 years</i>
<i>Office equipment</i>	<i>4 years</i>
<i>Computer equipment</i>	<i>4 years</i>
<i>Buildings</i>	<i>46 years</i>

An asset's carrying amount is written down immediately to its estimated recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of equipment are determined as the difference between the sales proceeds and the carrying amount of the asset at the date of disposal and taken into account in determining operating profit. Gains or losses arising from changes in fair value of the building

are included in other comprehensive income in the period in which they arise net of deferred taxes.

3.6 Intangible assets

Intangible assets represent purchased computer software and is initially recognised at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Amortisation is calculated to write-off software on a straight-line basis over the estimated useful life of 4 – 10 years.

3.7 Impairment of tangible and intangible assets

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to review the useful lives and determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated and an impairment loss is recognized in profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

3.8 Investment property

Investment property, which is property held to earn rental income, is stated at its fair value, at the reporting date as determined through its revaluation by external valuers on the basis of the highest and best use. Gains or losses arising from changes in fair value of the investment property are included in profit or loss in the year in which they arise.

3.9 Restricted cash and investments

The Group classifies all cash, cash equivalents and investments that are not available for general use by the Group, either due to regulatory requirements or through restrictions in specific agreements, as restricted in the accompanying statement of financial position.

Short-term restricted cash and investments

As required by the Capital Markets (Derivatives Markets) Regulations, 2015, the Group is required to maintain a minimum liquid net-worth capital requirement equal to one half of the total estimated operating costs for the next twelve (12) months period. At 31 December 2024, this amount was Sh 293 million (2023: Sh 317million). The amounts are reflected as short-term restricted cash and investments (note 23).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.9 Restricted cash and investments (Continued)

Long-term restricted cash and investments

The NSE has contributed Sh 20 million, Sh 100 million and Sh 10 million as seed capital to the subsidiary, NSE Clear Limited, and the structured entities, NSE Derivatives Settlement Guarantee Fund and NSE Derivatives Investor Protection Fund respectively. These amounts could be used in the event of a clearing/trading member's default where the amount of the defaulting clearing/trading member's initial, variation and additional margins and guarantee fund deposits are insufficient. These amounts together with related earned interest are held in bank deposits that have been classified as restricted (note 19).

3.10 Financial instruments

(i) Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer's net assets e.g. basic ordinary shares.

The Group management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income (FVOCI) when those investments are held for purposes other than to generate investment returns.

Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when the Group's right to receive payment is established.

(ii) Debt instruments

a) Recognition and subsequent measurement

Financial instruments are recognised when, and only when, the Group becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using the trade date accounting which is the date the Group commits itself to the purchase or sale.

At initial recognition, financial assets are measured at fair value, and are classified and subsequently measured at fair value through profit or loss (FVTPL), fair value through other comprehensive income (FVOCI) or amortized cost based on:

- the Group's business model for managing the financial assets; and
- the cash flow characteristics of the asset.

Based on these factors, the Group classifies its financial assets into one of the following three measurement categories:

- **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/ (losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.
- **FVTOCI:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVTOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/ (losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/ (losses) and impairment expenses are presented as separate line item in the statement of profit or loss.
- **FVTPL:** Assets that do not meet the criteria for amortised cost or FVTOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at FVTPL is recognised in profit or loss and presented net within other gains/ (losses) in the period in which it arises.
- **Business model:** the business model reflects how the Group manages the assets in order to generate cash flows i.e. whether the Group's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g. financial assets held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVTPL. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.10 Financial instruments (Continued)

(ii) Debt instruments (Continued)

a) Recognition and subsequent measurement (Continued)

how the asset's performance is evaluated and reported to key management personnel and how risks are assessed and managed.

- **SPPI:** Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flows represent solely payments of principal and interest (SPPI test'). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

The Group reclassifies financial assets when and only when its business model for managing those assets changes.

b) Impairment

The Group recognises a loss allowance for expected credit losses (ECL) on financial assets that are measured at amortised cost or at fair value through other comprehensive income.

The loss allowance is measured at an amount equal to the lifetime expected credit losses for financial instruments for which: (a) the credit risk has increased significantly since initial recognition; or (b) there is observable evidence of impairment (a credit-impaired financial asset). If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

Lifetime expected credit losses represent the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses represent the portion of lifetime expected credit losses that result from default events on a financial asset that are possible within 12 months after the

reporting date.

Expected credit losses are measured in a way that reflects an unbiased and probability-weighted amount determined by evaluating a range of possible outcomes, the time value of money, and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

In applying the IFRS 9 impairment requirements, the Group follows one of the approaches below:

- The general approach
- The simplified approach

The General approach

Under the general approach, at each reporting date, the Group determines whether the financial asset is in one of the three stages below, to determine both the amount of ECL to recognise as well as how interest income should be recognised.

- **Stage 1** - where credit risk has not increased significantly since initial recognition. For financial assets in stage 1, the Group will recognise 12 month ECL and recognise interest income on a gross basis – this means that interest will be calculated on the gross carrying amount of the financial asset before adjusting for ECL.
- **Stage 2** - where credit risk has increased significantly since initial recognition. When a financial asset transfers to stage 2, the Group will recognise lifetime ECL, but interest income will continue to be recognised on a gross basis.
- **Stage 3** - where the financial asset is credit impaired. This is effectively the point at which there has been an incurred loss event. For financial assets in stage 3, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income will be calculated based on the gross carrying amount of the financial asset less ECL.

An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset.

The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss.

The Simplified approach

Under the simplified approach, the Group measures the loss allowance at an amount equal to lifetime expected credit losses.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.10 Financial instruments (Continued)

(ii) Debt instruments (Continued)

b) Impairment (Continued)

Definition of default

The Group will consider a financial asset to be in default when:

- the counterparty or borrower is unlikely to pay their credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the counterparty or borrower is more than 90 days past due on any material credit obligation to the Group.

This will be consistent with the rebuttable criteria set out by IFRS 9 and existing practice of the Group; or in assessing whether the counterparty or borrower is in default, the Group considers indicators that are:

- Qualitative: e.g. Breach of covenant and other indicators of financial distress;
- Quantitative: e.g. Overdue status and non-payment of another obligation of the same issuer to the Company; and
- Based on data developed internally and obtained from external sources.
- Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Significant increase in credit risk (SIICR)

When determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on the Group's historical experience, expert credit assessment and forward-looking information.

The Group primarily identifies whether a significant increase in credit risk has occurred for an exposure by comparing:

- The remaining lifetime probability of default (PD) as at the reporting date; with
- The remaining lifetime PD for this point in time that was estimated on initial recognition of the exposure.

The assessment of significant deterioration is key

in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The Group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- the criteria do not align with the point in time when an asset becomes 30 days past due;
- the average time between the identification of a significant increase in credit risk and default appears reasonable;
- exposures are not generally transferred from 12-month ECL measurement to credit-impaired; and
- there is no unwarranted volatility in loss allowance from transfers between 12-month and lifetime ECL measurements.

Measurement of ECL

The key inputs into the measurement of ECL are the term structures of the following variables:

- Probability of Default (PD)
- Loss given default (LGD) and
- Exposure at default (EAD)

To determine lifetime and 12-month PDs, the Group uses externally developed PD tables based on the default history of obligors with the same credit rating. The Group adopts the same approach for unrated investments by mapping external credit ratings. Changes in the rating for a counterparty or exposure lead to a change in the estimate of the associated PD.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset.

EAD represents the expected exposure in the event of a default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is its gross carrying amount.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.10 Financial instruments (Continued)

(ii) Debt instruments (Continued)

b) Impairment (Continued)

Measurement of ECL (Continued)

As described above, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group measures ECL considering the risk of default over the maximum contractual period over which it is exposed to credit risk, even if, for risk management purposes, the Group considers a longer period. Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, which include: instrument type; credit risk grading; collateral type; date of initial recognition; remaining term to maturity.

The groupings are subject to regular review to ensure that exposures within a group remain appropriately homogeneous.

When ECLs are measured using parameters based on collective modelling, a significant input into the measurement of ECL is the external benchmark information that the Group uses to derive the default rates of its portfolios. This includes the PDs provided by rating agencies.

Expected credit losses are computed as a product of the Probability of Default (PD), Loss Given Default (LGD) and the Exposure at Default (EAD).

$$\text{ECL} = \text{PD} \times \text{LGD} \times \text{EAD}$$

c) Modification of contracts

The Group rarely renegotiates or otherwise modifies the contractual cash flows of securities. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the counterparty is in financial difficulty
- Whether any substantial new terms are introduced that affect the risk profile of the instrument
- Significant extension of the contract term when the borrower is not in financial difficulty
- Significant change in interest rate
- Change in the currency the security is denominated in
- Inclusion of collateral, other security or credit enhancements that significantly affect the credit

risk associated with the loan

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new EIR for the asset. The date of renegotiation is consequently considered the date of initial recognition for impairment calculation purposes, including the purpose of determining whether a SICR has occurred.

If the terms are not substantially different and the renegotiation or modification does not result in derecognition, the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR.

d) Write off policy

The Group writes off financial assets, in whole or in part when it has exhausted all practical recovery effort and has concluded that there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity; and (ii) the Group is foreclosing on collateral and the value of the collateral is such as there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery.

3.11 Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents include cash on hand and demand deposits and other short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances and interest earned but not received as at the reporting date.

3.12 Taxation

Income tax expense represents the sum of the current income tax and deferred income tax.

Current income tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of profit or loss and other comprehensive income because of items

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.12 Taxation (Continue)

Current income tax (Continued)

of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences are utilised.

Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit. The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates that have been enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred income tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income

or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income.

3.13 Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the date of reporting.

3.14 Segmental reporting

The Group determines and presents operating segments based on the information that is internally provided to the Executive Committee and the Board. An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. Costs in the NSE are managed holistically across the Exchange and variances against budget are closely monitored.

3.15 Retirement benefit obligations

The Group operates a defined contribution provident scheme for all its employees. The scheme is administered by Britam Life Assurance Company (Kenya) Limited and is funded by contributions from both the Group and employees. The Group also contributes to a statutory contribution pension scheme, the National Social Security Fund (NSSF). The Group's obligations under the scheme are limited to specific time to time. The Group's contributions to these schemes are charged to the profit or loss in the year in which they relate.

3.16 Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

3.17 Earnings per share

The Group presents earnings per share (EPS) data for its ordinary shareholders in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the NSE by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive shares.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.18 Share capital and share premium

The share capital and premium of the Company includes balances relating to the Company's ordinary equity shares and own shares held by the Employee Share Ownership Plan (ESOP).

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects, from the proceeds.

3.19 Employee Shares Ownership Plan (ESOP)

The Nairobi Securities Exchange Plc ESOP - Unit Trust (the "ESOP") was established by Nairobi Securities Exchange Plc, the sponsor, on 25 June 2019 to enable participation of its employees in the ownership of the Company. The ESOP was set up as a Unit Trust with the principal objective or acquiring and holding shares of the Company for the benefit of its employees as governed by the Trust Deed. The ESOP commenced operations on 24 May 2023.

Allocation of shares to the ESOP is subject to the Company's bonus scheme policy where part of the eligible employees' bonuses are used to purchase the shares at a discount to the prevailing market price of the shares with a discount of 20%. The shares so purchased are settled in the ESOP and corresponding units are created and allocated to the eligible employees. The units have a three year vesting period. Upon vesting, the unitholders are entitled the full economic benefits relating to the vested units and can take the following actions with respect to the shares corresponding to the units that have vested:

- Sell the shares in the open market;
- Transfer the shares from the ESOP to their respective Central Depository System (CDSC) account; or
- Leave the shares within the ESOP and enjoy the economic benefits of those shares as any other shareholder.

When the Company issues new shares to the ESOP to satisfy vesting of specific employee share schemes, the share capital of the Company is increased by the par value of these own shares. These shares may be issued at a subscription price above par value, reflecting the premium payable by the participant in the ESOP. The subscription price is the quoted closing market price of the NSE share on the day of issuing the shares. In such instances, the share capital of the Company is increased by the par value of these own shares and the difference between the subscription price and the par value

of the own share is recorded in share premium. The total value of the shares issued at subscription price is purchased by employees using bonus and is therefore included in expenses.

3.20 Minimum liquid net worth requirement

The Capital Markets (Derivatives Market) Regulations, 2015 clause 15 (1) and 15 (2) require that a futures exchange have and maintain a minimum liquid net-worth equal to one half of the estimated gross operating costs of the futures exchange for the next twelve (12) month period or such other liquid net-worth amount as may be prescribed by the Authority. The requirement is met as per Note 38.

3.21 Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in the presentation in the current year.

In particular, changes in presentation of the comparative figures have been made to statement of cashflows to remove any non-cash items. The table below shows the line items affected by the change.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.21 Comparatives (Continued)

	Group			Company		
	2023 as previously presented	2023 current presentation	Change	2023 as previously presented	2023 current presentation	Change
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
Cash flows from operating activities						
Net cash generated from/(used in) operating activities	(41,452)	(31,779)	(9,673)	(22,562)	(12,889)	(9,673)
Cash flows from investing activities						
Purchase of treasury bonds	21,166	(67,790)	88,956	21,166	(67,790)	88,956
Sale of treasury bonds	-	79,283	(79,283)	-	79,283	(79,283)
Investment in AKS Nominees Limited	(7,000)	-	(7,000)	(7,000)	-	(7,000)
Cash (used in)/generated from investing activities	155,488	152,815	2,673	128,651	125,978	2,673
Cash flows from financing activities						
Investment in AKS Nominees Limited	-	(7,000)	7,000	-	(7,000)	7,000
Cash used in financing activities	(49,950)	(56,950)	7,000	(49,950)	(56,950)	7,000
(Decrease)/increase in cash and cash equivalents	64,086	64,086	-	56,139	56,139	-
Cash and cash equivalents at the start of year	250,234	250,234	-	228,688	228,688	-
Effect of foreign exchange rate changes	4,486	4,486	-	4,486	4,486	-
Cash and cash equivalents at the end of year	318,806	318,806	-	289,313	289,313	-

These items have been corrected for in these financial statements. The changes have been made to separate the non-cash element previously included in the investment in treasury bonds and disclose it within the adjustments for non-cash items. The investments in treasury bonds have also been split up to reflect the actual cash purchase and sale of the bonds. Investment in AKS Nominees Limited has been reclassified from investing activities to financing activities.

4 ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the Group's accounting policies, management makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

4 ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (CONTINUED)

The key areas of judgment and estimation in applying the entities accounting policies are dealt with below:

Valuation of land and building

The fair value model has been applied in accounting for land and building. The Group commissioned external, independent and professionally qualified real estate valuers that hold recognised relevant professional qualification and have recent experience in the location and type of property valued to determine the fair value of the property as at 31 December 2024 and 2023 on the basis of net income approach. The current use of the portion of the land and building accounted for as investment property equates to the highest and best use. The valuation of the land and building is based on the net income approach. The Group's land and building are valued by reference to a level 3 fair value measurement.

5 OPERATING SEGMENTS

The Group entities are all domiciled in Kenya. The Group has two main business segments based at Group level and company:

- Cash equities and interest rate market segment comprises the equities and bond trading business. This includes other income comprising broker back office income, rental income, data fees and other incomes; and
- Derivatives market segment comprises of the futures trading business.

Each business segment offers different products and services and is managed separately because each requires different technology and a different marketing strategy. The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 3. Segment profit represents the profit earned by each segment without allocation of the share of profits of associate and income tax expense.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the Executive Committee and the Board for the purpose of resource allocation and assessment of segment performance. The segment results were as follows:

Statement of financial position

	Cash equities and interest rate market	Derivatives market	Total
	Sh'000	Sh'000	Sh'000
2024			
ASSETS			
Property and equipment, investment property and intangible assets	493,448	-	493,448
Government securities	334,909	-	334,909
Long-term restricted investments	-	144,902	144,902
Short-term restricted cash and investments	292,628	-	292,628
Cash, cash equivalents and fixed deposits	377,803	14	377,817
Other assets	496,731	10,377	507,108
	1,995,519	155,293	2,150,812
LIABILITIES			
Settlement Guarantee Fund members contribution	-	11,750	11,750
Trade and other payables	98,416	5,047	103,463
Dividends payable	61,961	-	61,961
Tenant deposits	3,283	-	3,283
Trading members' contributions	-	2,200	2,200
	163,660	18,997	182,657

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5 OPERATING SEGMENTS (CONTINUED)

Statement of financial position (Continued)

	Cash equities and interest rate market	Derivatives market	Total
	Sh'000	Sh'000	Sh'000
2023			
ASSETS			
Property and equipment, investment property and intangible assets	512,705	-	512,705
Government securities	443,297	-	443,297
Long-term restricted investments	-	143,382	143,382
Short-term restricted cash and investments	317,171	-	317,171
Cash, cash equivalents and fixed deposits	89,088	823	89,911
Other assets	513,151	8,447	521,598
	1,875,412	152,652	2,028,064
LIABILITIES			
Settlement Guarantee Fund members contribution	-	11,750	11,750
Trade and other payables	70,603	4,344	74,947
Dividends payable	60,221	-	60,221
Tenant deposits	2,215	-	2,215
Trading members' contributions	-	2,200	2,200
	133,039	18,294	151,333
2024			
Increase to non-current assets	3,511	1,519	5,030
Non-current assets	1,027,707	144,902	1,172,609
2023			
Reductions to non-current assets	(39,944)	(1,936)	(41,880)
Non-current assets	1,024,196	143,383	1,167,579

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5 OPERATING SEGMENTS (CONTINUED)

Statement of profit or loss and other comprehensive income

	Cash equities and interest rate market	Derivatives market	Total
	Sh'000	Sh'000	Sh'000
2024			
Revenue (Note 6)	628,398	-	628,398
Interest income	123,454	23,506	146,960
Other income	52,953	90	53,043
Total income	804,805	23,596	828,401
Administrative expenses	(629,369)	(5,805)	(635,174)
Depreciation and amortisation	(39,107)	-	(39,107)
Share of gain of associate	8,703	-	8,703
Profit before income tax	145,032	17,791	162,823
2023			
Revenue (Note 6)	492,279	-	492,279
Interest income	104,272	16,678	120,950
Other income	49,051	41	49,092
Total income	645,602	16,719	662,321
Administrative expenses	(554,913)	(7,933)	(562,846)
Depreciation and amortisation	(37,720)	-	(37,720)
Share of loss of associate	(19,429)	-	(19,429)
Profit before income tax	33,540	8,786	42,326

All revenues are earned in Kenya. There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
6 REVENUE				
Revenue recognized at a point in time				
Transaction levy - equity	253,650	211,094	253,650	211,094
Transaction levy - bond	169,881	64,395	169,881	64,395
Initial listing fees	3,235	5,000	2,000	3,500
Application and additional listing fees	1,500	300	500	300
Unquoted securities platform fees	1,037	2,439	-	-
	429,303	283,228	426,031	279,289
Revenue recognized over time				
Annual listing fees	64,773	64,538	64,273	64,538
Broker back-office subscription	33,023	27,944	33,023	27,944
Data income	101,299	116,569	101,299	116,569
	199,095	209,051	198,595	209,051
	628,398	492,279	624,626	488,340
7 PROFIT BEFORE INCOME TAX				
The profit before income tax is arrived at after charging/(crediting):				
Employee benefits (note 8)	200,781	176,452	200,781	176,452
Depreciation of property and equipment (note 12)	16,685	17,547	16,438	17,340
Amortisation of intangible assets (note 14)	22,422	20,173	22,422	20,173
Directors' emoluments:				
- Executive (note 33 (a))	34,289	31,749	34,289	31,749
- Non-executive (note 33 (a))	15,973	16,173	15,659	15,916
Auditor's remuneration:				
- Audit fees	6,270	5,834	4,913	4,535
- Non-audit fees – tax	1,645	1,615	623	605
Gain on disposal of equipment	(195)	(6)	(195)	(6)
Employee staff ownership plan expenses	1,622	1,819	1,622	1,819
Increase/(decrease) in impairment of financial assets measured at amortised cost (note 36 (b) (iii))	8,748	(5,145)	3,504	(4,334)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
8 (a) STAFF COSTS				
Salaries and wages	176,691	154,657	176,691	154,657
Bonus	3,158	774	3,158	774
Leave pay expense	132	4,931	132	4,931
Provident fund contribution	17,172	14,356	17,172	14,356
Other staff costs	3,628	1,734	3,628	1,734
	200,781	176,452	200,781	176,452
(b) OTHER EXPENSES				
Data marketing expenses	14,164	21,861	14,164	21,861
Insurance expenses	17,855	18,476	17,855	18,476
Communication and connectivity expenses	12,667	13,183	12,667	13,183
Professional and consultancy expenses	37,307	13,692	34,825	11,095
System licenses and cyber security costs	38,623	30,565	38,391	30,468
Market and business development costs	14,678	17,320	14,433	17,320
Exchange loss	13,361	-	12,190	-
Loss on sale of bonds held for trading	9,032	7,243	9,032	7,243
Other expenses	45,172	60,247	37,022	55,922
	202,859	182,587	190,579	175,568
The average staff numbers as at 31 December 2024 were 44 (2023: 42).				
9 INTEREST INCOME				
Interest on term deposits	102,324	59,804	76,071	40,416
Interest on treasury bonds	43,190	59,008	43,190	59,008
Interest on staff loans and advances	1,446	2,138	1,446	2,138
	146,960	120,950	120,707	101,562
10 OTHER INCOME				
Rental income	10,519	6,481	10,519	6,481
Miscellaneous income	3,308	2,758	3,308	2,758
Training fees	12,312	9,632	12,312	9,632
Private transfer fee	976	984	976	984
Nomad fees	325	350	325	350
Gain on disposal of equipment	195	6	195	6
Annual members fees	4,075	3,550	4,075	3,550
Ibuka fees	1,250	53	-	53
Surplus distributed by SGF	-	-	4,962	6,868
Management fees	-	967	4,237	3,280
IPF levy	33	12	-	-
Margin interest	57	29	-	-
Exchange gain	-	16,228	-	16,228
Derivatives fees	83	29	83	29
Dividend from AKS Nominees Ltd	-	-	-	16,467
Equity market marking	743	-	743	-
Consultancy fees	10,888	-	-	-
	44,764	41,079	41,735	66,686

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
11 TAXATION				
(a) Taxation charge				
Current income tax				
Current year expense	44,915	23,731	40,698	20,295
Deferred income tax (note 21)				
Current year charge	1,887	191	1,607	187
Potential deferred tax asset not recognized	(277)	791	-	-
Prior year deferred tax under provision	(2)	(791)	-	-
	1,608	191	1,607	187
	46,523	23,922	42,305	20,482
(b) Reconciliation of taxation charge to the expected tax based on accounting profit				
Profit before income tax	162,823	42,326	149,617	64,928
Tax calculated at a tax rate of 30% (2023: 30%)	48,847	12,698	44,885	19,478
Expenses not deductible for tax purposes	19,188	26,552	19,188	23,926
Net tax effects on income not subject to tax	(21,233)	(15,407)	(21,768)	(22,922)
Potential deferred tax asset not recognized	(277)	(112)	-	-
Prior year deferred tax under provision	(2)	191	-	-
Income tax expense	46,523	23,922	42,305	20,482
(c) Tax recoverable				
At start of year	(98,309)	(94,135)	(90,753)	(87,888)
Charge to profit or loss (note 11 (a))	44,915	23,731	40,698	20,295
Tax paid	(17,291)	(27,905)	(13,168)	(23,044)
Tax paid by NSE LLP and recovered against NSE	-	-	(171)	(116)
At end of year	(70,685)	(98,309)	(63,394)	(90,753)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12 PROPERTY AND EQUIPMENT – GROUP

	Building	Motor vehicles	Furniture & fittings	Office equipment	Computer equipment	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST OR VALUATION						
At 1 January 2023	114,209	12,772	87,183	40,805	79,275	334,244
Additions	-	-	-	1,782	294	2,076
Disposals	-	-	-	-	(99)	(99)
Revaluation loss	(12,690)	-	-	-	-	(12,690)
Adjustment	-	-	-	136	(136)	-
At 1 January 2024	101,519	12,772	87,183	42,723	79,334	323,531
Additions	-	12,000	1,564	12	23,325	36,901
Disposals	-	(12,772)	-	(1,489)	(14,952)	(29,213)
Revaluation loss	(38,354)	-	-	-	-	(38,354)
At 31 December 2024	63,165	12,000	88,747	41,246	87,707	292,865
Comprising:						
At valuation	63,165	-	-	-	-	63,165
At cost	-	12,000	88,747	41,246	87,707	229,700
Cost or valuation	63,165	12,000	88,747	41,246	87,707	292,865
DEPRECIATION						
At 1 January 2023	-	12,240	80,305	37,117	62,745	192,407
Charge for the year	2,500	532	2,487	2,701	9,327	17,547
Eliminated on disposal	-	-	-	-	(99)	(99)
Reversal on revaluation	(2,500)	-	-	-	-	(2,500)
At 1 January 2024	-	12,772	82,792	39,818	71,973	207,355
Charge for the year	2,222	2,250	2,587	1,282	8,344	16,685
Eliminated on disposal	-	(12,772)	-	(1,276)	(14,678)	(28,726)
Reversal on revaluation	(2,222)	-	-	-	-	(2,222)
At 31 December 2024	-	2,250	85,379	39,824	65,639	193,092
NET BOOK VALUE						
At 31 December 2024	63,165	9,750	3,368	1,422	22,068	99,773
At 31 December 2023	101,519	-	4,391	2,905	7,361	116,176

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12 PROPERTY AND EQUIPMENT (Continued) - COMPANY

	Building	Motor vehicles	Furniture & fittings	Office equipment	Computer equipment	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST OR VALUATION						
At 1 January 2023	114,209	12,772	87,183	40,801	79,275	334,240
Additions	-	-	-	793	294	1,087
Disposals	-	-	-	-	(99)	(99)
Revaluation loss	(12,690)	-	-	-	-	(12,690)
Adjustment	-	-	-	136	(136)	-
At 1 January 2024	101,519	12,772	87,183	41,730	79,334	322,538
Additions	-	12,000	1,564	12	23,325	36,901
Disposals	-	(12,772)	-	(1,489)	(14,952)	(29,213)
Revaluation loss	(38,354)	-	-	-	-	(38,354)
At 31 December 2024	63,165	12,000	88,747	40,253	87,707	291,872
Comprising:						
At valuation	63,165	-	-	-	-	63,165
At cost	-	12,000	88,747	40,253	87,707	228,707
Cost or valuation	63,165	12,000	88,747	40,253	87,707	291,872
DEPRECIATION						
At 1 January 2023	-	12,240	80,305	37,114	62,745	192,404
Charge for the year	2,500	532	2,487	2,494	9,327	17,340
Eliminated on disposal	-	-	-	-	(99)	(99)
Reversal on revaluation	(2,500)	-	-	-	-	(2,500)
At 1 January 2024	-	12,772	82,792	39,608	71,973	207,145
Charge for the year	2,222	2,250	2,587	1,035	8,344	16,438
Eliminated on disposal	-	(12,772)	-	(1,276)	(14,678)	(28,726)
Reversal on revaluation	(2,222)	-	-	-	-	(2,222)
At 31 December 2024	-	2,250	85,379	39,367	65,639	192,635
NET BOOK VALUE						
At 31 December 2024	63,165	9,750	3,368	886	22,068	99,237
At 31 December 2023	101,519	-	4,391	2,122	7,361	115,393

Property, plant and equipment with a cost of Sh 160.3 million (2023: Sh 117.5 million) at the reporting date were fully depreciated.

The building has been stated at its revalued amount, being the fair value at 31 December 2024 less any subsequent depreciation. The revaluation was done on the basis of net income approach reflecting the highest and best use by Sec & M Co. Limited, an independent registered valuer.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

13 INVESTMENT PROPERTY - GROUP AND COMPANY

	2024	2023
	Sh'000	Sh'000
VALUATION		
At 1 January	288,481	305,791
Revaluation gain/(loss)	15,354	(17,310)
At 31 December	303,835	288,481

The fair value of the Group's investment property at 31 December 2024 and 31 December 2023 has been arrived at on the basis of a valuation carried out at 31 December 2024 and 31 December 2023 by Sec & M Co. Limited and Kenstate Valuers Limited respectively, both independent registered valuers. The fair value was adjusted for in the books of the Group and Company. The fair value was determined based on the net income approach. In estimating the fair value of the properties, the highest and best use of the properties is their current use. The group applies capitalisation rate and rental income as the unobservable inputs in the valuation of its properties. There were no transfers between any levels in the fair valuation hierarchy during the year.

The following table gives information about how the fair values of these non-financial assets are determined (in particular, the valuation technique(s) and inputs used).

	Sh'000	Fair value hierarchy	Valuation technique(s) and key inputs	Significant unobservable inputs	Relationship of unobservable inputs to fair value
At 31 December 2024					
Buildings	63,165	Level 3	Income capitalization method - Highest and best use	Capitalisation rate, taking into account the capitalisation of rental income potential, nature of the property, and prevailing market condition, of 8%	A slight increase in the capitalisation rate used would result in a significant decrease in fair value, and vice versa
Investment property	303,835	Level 3			
Total	367,000 =====				
At 31 December 2023					
Buildings	101,519	Level 3	Income capitalization method - Highest and best use	Capitalisation rate, taking into account the capitalisation of rental income potential, nature of the property, and prevailing market condition, of 8%	A slight increase in the capitalisation rate used would result in a significant decrease in fair value, and vice versa
Investment property	288,481	Level 3			
Total	390,000 =====				

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

14 INTANGIBLE ASSETS - GROUP AND COMPANY

	Automated trading system software	Other software	Broker back office software	Bond software license	Derivatives software	WIP	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
At 1 January 2023	80,290	38,731	77,951	38,191	54,338	2,395	291,896
Additions	-	16,027	-	-	-	3,834	19,861
Transfer from WIP	-	2,395	-	-	-	(2,395)	-
At 1 January 2024	80,290	57,153	77,951	38,191	54,338	3,834	311,757
Additions	-	3,783	-	-	-	431	4,214
At 31 December 2024	80,290	60,936	77,951	38,191	54,338	4,265	315,971
AMORTISATION							
At 1 January 2023	25,360	30,583	70,534	38,191	18,868	-	183,536
Amortisation for the year	8,029	5,029	1,681	-	5,434	-	20,173
At 1 January 2024	33,389	35,612	72,215	38,191	24,302	-	203,709
Amortisation for the year	8,029	7,278	1,681	-	5,434	-	22,422
At 31 December 2024	41,418	42,890	73,896	38,191	29,736	-	226,131
NET BOOK VALUE							
At 31 December 2024	38,872	18,046	4,055	-	24,602	4,265	89,840
At 31 December 2023	46,901	21,541	5,736	-	30,036	3,834	108,048

Intangible assets with a cost of Sh 128.6 million (2023: Sh 120.6 million) at the reporting date were fully amortised.

The WIP at the end of the year comprises work done on BBO enhancements.

Key intangibles not fully amortised in the year includes: Broker Back Office (BBO) software costs of Sh 4 million (remaining useful life of 1.5 years), Automated Trading System (ATS) cost of Sh 39 million (remaining useful life of 4.5 years) and derivatives software cost of Sh 25 million (remaining useful life of 4.5 years).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15 INVESTMENT IN ASSOCIATE

The investment in associate represents an investment in Central Depository and Settlement Corporation Limited (CDSC). The Group held an ownership percentage of 40.5% at 31 December 2024 (2023: 40.5%). The proportion of the voting rights in the associate held by the Company does not differ from the proportion of ordinary shares held.

(a) Details of the associate at the end of the reporting period are as follows:

Country of incorporation and operation		Number of shares held by NSE @ Sh 100 per share		Proportion of ownership interest and voting power held by NSE	
		2024	2023	2024	2023
Group					
CDSC	Kenya	708,750	708,750	40.5%	40.5%
Company					
CDSC	Kenya	393,750	393,750	22.5%	22.5%

The principal activity of the associate is provision of automated clearing, delivery and settlement facilities in respect of transactions carried out at the Nairobi Securities Exchange PLC.

The Group's shareholding in AKS Nominees Ltd is 94.3% (2023: 94.3%) as disclosed in note 16. AKS Nominees holds an 18% shareholding in the ordinary shares of the CDSC in 2024 (2023: 18%).

(b) The movement in the balance is as follows:

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
At start of year	166,151	188,275	73,448	85,739
Share of profit/(loss) for the year (note 15 (e))	8,703	(19,429)	4,835	(10,794)
Share of other comprehensive profit/(loss) for the year (note 15(e))	1,182	(2,695)	657	(1,497)
At end of year	176,036	166,151	78,940	73,448

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15 INVESTMENT IN ASSOCIATE (Continued)

(c) Summarised financial information in respect of the associate is set out below:

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Non current assets	285,429	305,133	285,429	305,133
Current assets	152,108	148,975	152,108	148,975
Total assets	437,537	454,108	437,537	454,108
Non current liabilities	(28,176)	(42,065)	(28,176)	(42,065)
Current liabilities	(58,518)	(85,608)	(58,518)	(85,608)
Total liabilities	(86,694)	(127,673)	(86,694)	(127,673)
Net assets	350,843	326,435	350,843	326,435
Group's share of net assets of associate (note 15 (d))	142,092	132,207	78,940	73,448
Total revenue for the year	236,859	207,524	236,859	207,524
Other comprehensive profit/(loss) for the year	2,906	(6,654)	2,906	(6,654)
Total comprehensive profit/(loss) for the year	20,368	(54,627)	20,368	(54,627)
(d) Reconciliation of share of net assets of associate to investment in associate				
Share of net assets (note 15(c))	142,092	132,207	78,940	73,448
Goodwill on acquisition of AKS Nominees	33,944	33,944	-	-
Balance on statement of financial position	176,036	166,151	78,940	73,448

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15 INVESTMENT IN ASSOCIATE (Continued)

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
(e) Share of profit/(loss) of associate:				
Company				
Being the direct shareholding at 22.5% (2023: 22.5%)				
Share of profit/(loss) of associate	4,835	(10,794)	4,835	(10,794)
Share of other comprehensive profit/(loss)	657	(1,497)	657	(1,497)
	5,492	(12,291)	5,492	(12,291)
Group				
Being the direct shareholding at 22.5% (2023: 22.5%) (as computed for Company above) and the indirect shareholding at 18% from the acquisition date (2023: 18%)				
Indirect shareholding at 18% (2023: 18%)				
Share of profit/(loss) of associate	3,868	(8,635)	-	-
Share of other comprehensive profit/(loss)	525	(1,198)	-	-
	4,393	(9,833)	-	-
Total group share of profit/(loss) and OCI at 40.5% (2023: 40.5%)				
Total share of profit/(loss) of associate	8,703	(19,429)	4,835	(10,794)
Total share of other comprehensive profit/(loss)	1,182	(2,695)	657	(1,497)
	9,885	(22,124)	5,492	(12,291)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

16 INVESTMENT IN SUBSIDIARIES AND STRUCTURED ENTITIES - COMPANY

		Holding		2024	2023
Principal activity		2024	2023	Sh'000	Sh'000
Investment in subsidiaries					
Investment in NSE Clear Limited (note a)	Clearing house	100%	100%	20,000	20,000
Investment in AKS Nominees Ltd (note b)	Investment	94.3%	94.3%	118,899	118,899
				138,899	138,899
Investment in structured entities (note c):					
NSE Derivatives Settlement Guarantee Fund	Settlement guarantee fund			100,000	100,000
NSE Derivatives Investor Protection Fund	Investor protection fund			10,000	10,000
				110,000	110,000
				248,899	248,899

a) Investment in subsidiary – NSE Clear Limited

NSE Clear Limited was incorporated as a limited liability company on 4 February 2014 under the Kenyan Companies Act with a share capital of Kenya Shillings One Hundred Thousand (Sh 100,000) divided into One Hundred (100) ordinary shares of Kenya Shillings One Thousand (Sh 1,000) each. It is a wholly owned subsidiary of the Nairobi Securities Exchange PLC. The subsidiary is domiciled in Kenya.

The principal objectives of the subsidiary are to carry on the business of a clearing house and as such, to provide clearing and settlement services for transactions in derivative securities whether carried out on or off a securities exchange, to act as a central counterparty in derivative securities transactions and to carry out all activities that pertain to a clearing house.

b) Investment in subsidiary – AKS Nominees Ltd

The Group shareholding in AKS Nominees Ltd (AKS) is 94.3% (2023: 94.3%) for a total consideration paid to date of Sh 119 million (2023 – Sh 119 million). AKS holds an 18% shareholding in the ordinary shares of the CDSC in 2024 (2023 – 18%).

The principal activity of the subsidiary is holding equity shares in CDSC in trust for its members who are authorised to operate as stockbrokers and investment banks in the Nairobi Securities Exchange (NSE).

c) Investment in structured entities

The NSE Derivatives Settlement Guarantee Fund (SGF) was established on 17 July 2015 as an irrevocable trust under the Trustee Act (Cap. 167) pursuant to the Capital Markets (Derivatives Markets) Regulations, 2015 and the Nairobi Securities Exchange (NSE) Derivatives Rules. The main purpose of the Settlement Guarantee Fund is to settle specified claims by derivatives members arising out of transactions in derivative securities.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

16 INVESTMENT IN SUBSIDIARIES AND STRUCTURED ENTITIES – COMPANY (Continued)

c) Investment in structured entities (Continued)

The NSE Derivatives Investor Protection Fund (IPF) was established on 17 July 2015 as an irrevocable trust under the Trustee Act (Cap167) pursuant to the Capital Markets (Derivatives Markets) Regulations, 2015, the NSE Investor Protection Fund Rules and the Nairobi Securities Exchange PLC (NSE) Compensation Rules and Procedures. The main purpose for the Investor Protection Fund is to satisfy specified claims by the investing public arising out non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of trading members.

d) Non-controlling interest (NCI)

The total NCI at 31 December 2024 is Shs 6,888,000 (2023: Shs 6,860,000) all of which relates to AKS Nominees Limited at 6% shareholding (2023: 6%).

The following table summarises the financial information relating to the Group's company that has significant non-controlling interest.

	2024	2023
	Sh'000	Sh'000
Total assets	142,060	158,232
Total liabilities	(1,490)	(18,152)
Net assets	140,570	140,080
Revenue	1,147	1,872
Profit before tax	746	581
Taxation	(257)	(562)
Total comprehensive income	489	19
Reconciliation of NCI		
Movement in the non-controlling interest is as follows:		
At start of the year	6,860	17,366
NCI's share of profit	28	1
Reduction in NCI on increase in shareholding	-	(9,523)
Dividend declared	-	(984)
At end of the year	6,888	6,860

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

17 INVESTMENT IN NSE LLP

The NSE Limited Liability Partnership (NSE LLP) was established under the Kenyan Limited Liability Partnerships Act, 2011 on 22 September 2020. The principal activity is to run the Unquoted Securities Platform. The Partnership has a management committee that oversees its day-to-day activities. The management committee of the Partnership reports to the Board of Directors of Nairobi Securities Exchange Plc. As per the Partnership Deed, Nairobi Securities Exchange Plc shall contribute 100% of the capital of the NSE Limited Liability Partnership.

The following table summarises the financial information relating to the NSE LLP:

	2024	2023
	Sh'000	Sh'000
Total assets	16,051	10,040
Total liabilities	(5,120)	(2,598)
Net assets	10,931	7,442
Revenue	17,568	4,777
Profit for the year	3,660	1,716
Partners' account		
Movement in the partners' account is as follows:		
At start of the year	7,442	5,842
Profit for the year	3,660	1,716
Withdrawals*	(171)	(116)
At end of the year	10,931	7,442

*Withdrawals relate to the tax paid on instalment taxes by NSE LLP or withholding tax deducted directly at source on interest income earned by NSE LLP. Since tax on the NSE LLP profit is charged to and paid by the Partners, then this amount is deducted against the Partners' accounts.

18 FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME - QUOTED EQUITY INSTRUMENTS – GROUP AND COMPANY

	2024	2023
	Sh'000	Sh'000
At start of year	133,121	106,829
Fair value gain through other comprehensive income	14,650	26,292
At end of year	147,771	133,121

Quoted ordinary shares at fair value through other comprehensive income are classified as non-current assets. At the year end, these are valued at the closing market share price at the Dar-Es-Salaam stock exchange on the last day of trading of the year.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

19 LONG-TERM RESTRICTED INVESTMENTS – GROUP

Fixed deposit and interest capitalized held with the Co-operative Bank of Kenya Limited and maturing within 180 days in the name of:

	2024	2023
	Sh'000	Sh'000
NSE Clear Limited	20,167	20,026
NSE Derivatives Settlement Guarantee Fund	113,759	112,239
NSE Derivatives Investor Protection Fund	10,978	11,123
	144,904	143,388
Less: Expected Credit Losses (note 36 (b)(ii))	(2)	(6)
	144,902	143,382

The restricted investments relate to the seed capital contributions by the NSE on 19 August 2015 to the NSE Clear Limited, the NSE Derivatives Settlement Guarantee Fund (SGF) and the NSE Derivatives Investor Protection Fund (IPF) of Sh 20 million, Sh 100 million and Sh 10 million respectively towards their operations. The funds are invested in a fixed deposit on a rolling basis.

20 GOVERNMENT SECURITIES – GROUP AND COMPANY

	2024	2023
	Sh'000	Sh'000
(a) At amortised cost – maturing over one year		
Treasury bonds held at amortised cost	201,506	201,431
Less: Expected Credit Losses (note 36 (b)(ii))	(3,164)	(3,163)
Unmortised balance	3,471	3,705
	201,813	201,973

The weighted average effective interest rate on the treasury bonds at a mortised cost for the year ended 31 December 2024 was 13.8% (2023: 13.7%).

	2024	2023
	Sh'000	Sh'000
(b) At fair value through profit or loss – maturing over one year		
Treasury bonds held for trading	127,753	247,883
Fair value provisions	5,343	(6,559)
	133,096	241,324

The weighted average effective interest rate on the treasury bonds at fair value through profit or loss for the year ended 31 December 2024 was 15.1% (2023: 11.7%).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

21 DEFERRED TAX

Deferred income tax is calculated on all temporary differences under the liability method using a principal tax rate of 30% (2023: 30%) The net deferred tax asset is attributable to the following items:

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Property and equipment	3,494	3,875	3,494	3,875
Straight-lined rental income	(405)	(414)	(405)	(414)
Unrealized foreign exchange gain	-	(326)	-	(326)
Leave provision	-	1,306	-	1,306
Tax losses	5,578	5,855	-	-
Provision for expected credit losses	5,550	2,926	5,550	2,925
Fair value loss on bond instruments at FVTPL	-	2,237	-	2,237
Potential deferred tax asset not recognized	(5,578)	(5,855)	-	-
Treasury bond amortization	-	643	-	643
	8,639	10,247	8,639	10,246
The movement in the deferred income tax asset is as follows:				
At start of year	10,247	10,438	10,246	10,433
Charge to profit or loss (note 11 (a))	(1,887)	(191)	(1,607)	(187)
Potential deferred tax asset not recognized (note 11 (a))	277	(791)	-	-
Prior year deferred tax under provision (note 11 (a))	2	791	-	-
At end of year	8,639	10,247	8,639	10,246

The deferred tax asset has been recognised in the year as it is probable that taxable profit will be available against which the deductible temporary differences can be utilised. There are no tax laws which restrict the sources of taxable profits against which the Group may make deductions on the reversal of that deductible temporary difference.

The potential deferred tax asset not recognized relates to the tax losses incurred by the subsidiaries and Funds as it is not probable that taxable profit will be available in the short term against which the unused tax losses or unused tax credits can be utilized.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

22 TRADE AND OTHER RECEIVABLES

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
a) Trade and other receivables				
Trade receivables	64,021	21,722	58,714	21,722
Prepayments and deposits	12,713	40,236	12,713	40,236
Staff loans and advances	23,035	17,625	23,035	17,625
Due from African Securities Exchange Association	911	11,524	911	11,524
Other receivables*	7,656	14,958	6,627	14,958
Due from trading member on the market making fund	6,720	6,233	6,720	6,233
Amount due from associate (note 33 (e))	-	6,794	-	6,794
Clearing balances	2,746	758	-	-
	117,802	119,850	108,720	119,092
Less: Expected Credit Losses (note (b))	(13,825)	(6,080)	(8,577)	(6,080)
	103,977	113,770	100,143	113,012
b) Expected Credit Losses				
Movements in Expected Credit Losses were as follows:				
At start of the year	6,080	6,225	6,080	5,468
Charge in the year	7,745	612	2,497	612
Recovered in the year	-	(757)	-	-
At end of year (note (a)) and note (36 (b)(iii))	13,825	6,080	8,577	6,080

* Other receivable includes reverse VAT on imported services of Sh 1.22 million and balances due from data vendors and Sh 5.2m on advisory services.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

23 CASH AND CASH EQUIVALENTS AND SHORT-TERM RESTRICTED CASH & INVESTMENTS

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Call deposits	87,030	64,439	87,030	42,683
Fixed deposits	572,800	337,127	554,277	330,348
Total short-term deposits (note 24)	659,830	401,566	641,307	373,031
Bank and cash balances	12,129	6,024	12,115	4,407
Total bank and cash balances and deposits	671,959	407,590	653,422	377,438
Less: Expected Credit Losses (note 36 (b)(ii))				
Call and fixed deposits (note 24)	(1,418)	(469)	(1,418)	(469)
Bank balances	(96)	(39)	(96)	(39)
	(1,514)	(508)	(1,514)	(508)
	670,445	407,082	651,908	376,930
Split into:				
Short-term restricted investments (note 38)	292,628	317,171	292,628	317,171
Cash and cash equivalents	120,687	89,911	102,150	59,759
Fixed deposits – maturity of three months to six months	257,130	-	257,130	-
	670,445	407,082	651,908	376,930
For purposes of statement of cashflows, cash and cash equivalents is made up as follows:				
Total cash and bank balances and short term restricted cash and investments	670,445	407,082	651,908	376,930
Less: fixed deposit – maturity over three months (note 24)	(549,757)	(80,576)	(549,757)	(80,576)
Less interest earned not received	(5,167)	(7,700)	(4,490)	(7,041)
	115,521	318,806	97,661	289,313

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

24 SHORT TERM DEPOSITS

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Maturing within three months:				
Fixed deposits	21,635	256,289	3,112	249,510
Call deposits	87,030	64,439	87,030	42,683
	108,665	320,728	90,142	292,193
Less: Expected Credit Losses	(10)	(207)	(10)	(207)
	108,655	320,521	90,132	291,986
Maturing after three months to six months:				
Fixed deposits	551,165	80,838	551,165	80,838
Less: Expected Credit Losses	(1,408)	(262)	(1,408)	(262)
	549,757	80,576	549,757	80,576
Gross total - call and fixed deposits (note 23)	659,830	401,566	641,307	373,031
Total Expected Credit Losses (note 23)	(1,418)	(469)	(1,418)	(469)
Net total - call and fixed deposits	658,412	401,097	639,889	372,562

The deposits are classified and measured at amortised cost. The weighted average effective interest rate on the deposits as at 31 December 2024 was 12.8%. (2023: 9.8%).

25 SHARE CAPITAL

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Authorised share capital:				
At start and end of year:				
375,000,000 ordinary shares of Sh 4 each	1,500,000	1,500,000	1,500,000	1,500,000
Issued and fully paid up:				
At start of the year:				
260,452,401 ordinary shares (2023 – 260,391,721 ordinary shares) of Sh 4.00 each	1,041,810	1,041,567	1,041,810	1,041,567
Issue of 182,140 shares to the employees share ownership plan (2023 – 60,680 shares) of Sh 4.00 each (note 27)	728	243	728	243
At end of year				
260,634,541 ordinary shares (2023 - 260,452,401 ordinary shares) of Sh 4.00 each	1,042,538	1,041,810	1,042,538	1,041,810

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

26 SHARE PREMIUM

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
At start of the year:	279,489	279,459	279,489	279,459
Issue of shares at a premium to the employees share ownership plan (note 27):	236	30	236	30
At end of year	279,725	279,489	279,725	279,489

The Board approved the allotment and issue of 182,140 ordinary shares (2023 – 60,680) at a market price of Sh 5.30 (2023 - Sh 4.49) to the Employee Share Ownership Plan (ESOP). A share premium of Kshs 236,000 (2023 - Sh 30,000) has been recognised in share premium in the year in respect of these shares.

27 EMPLOYEE SHARE OWNERSHIP PLAN (ESOP)

During the year the activities in the ESOP were as follows:

	Group		Company	
	2024	2023	2024	2023
Number of units				
Units in the ESOP – at start of year	890,755	830,075	890,755	830,075
Units granted during the year	182,140	60,680	182,140	60,680
	1,072,895	890,755	1,072,895	890,755
Total units vested in the year	283,207	223,026	283,207	223,026
Market price of units at date of grant - Sh	6.62	5.62	6.62	5.62
Purchase price – Sh	5.30	4.49	5.30	4.49
Issue of units to ESOP at par – Sh'000 (note 25)	728	243	728	243
Issue of units to ESOP at premium – Sh'000 (note 26)	236	30	236	30
	964	273	964	273

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

28 SETTLEMENT GUARANTEE FUND - MEMBER'S CONTRIBUTIONS

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Co-operative Bank of Kenya Limited	11,750	11,750	-	-

The contribution was received in cash in 2019. This is a refundable contribution made by clearing members to the Settlement Guarantee Fund to cover any claims arising from non-settlement of margins. Each clearing member's contribution is currently at Sh 23.5 million. The balance of Co-operative Bank of Kenya Limited contributions of Sh 11.75 million was provided through a bank guarantee of the same amount issued by KCB Bank Kenya Limited on 24th July 2024.

29 TRADE AND OTHER PAYABLES

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
a) Non-current portion				
Tenant deposits	3,283	2,215	3,283	2,215
b) Current portion				
Accrued expenses	44,205	44,286	34,404	36,238
Trade payables	13,361	6,531	13,361	6,531
Other payables*	37,812	12,525	37,812	12,525
Staff leave provision	-	4,352	-	4,352
Amount payable to Capital Markets Authority	4,823	4,471	4,823	4,471
Annual listing fees paid in advance	-	1,500	-	1,500
Clearing balances	2,662	682	-	-
Contributions due to former trading members	600	600	-	-
	103,463	74,947	90,400	65,617

* Other payables includes amounts paid in advance on broker back office fees and data fees, salary deductions and other miscellaneous payables due.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

30 DIVIDENDS PAYABLE

The dividends payable represent the first and final dividend for the year ended 31 December 2011 up to 31 December 2024 not paid at year end for former brokers now under statutory management. The movement in dividends payable during the year was as follows: -

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
At start of year	60,221	57,109	59,237	57,109
Declared during the year	41,672	52,078	41,672	52,078
Dividend declared by AKS Nominees Limited	-	984	-	-
Paid during the year	(39,932)	(49,950)	(39,011)	(49,950)
At end of year	61,961	60,221	61,898	59,237

31 CASH FLOWS FROM OPERATING ACTIVITIES

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Profit before income tax	162,823	42,326	149,617	64,928
Adjustments for:				
Depreciation of property, plant and equipment (note 12)	16,685	17,547	16,438	17,340
Amortisation of intangible assets (note 14)	22,422	20,173	22,422	20,173
Share of (profit)/loss of associate (note 15 (b))	(8,703)	19,429	(4,835)	10,794
Interest income (note 9)	(146,960)	(120,950)	(120,707)	(101,562)
Interest earned not received	-	2,016	-	2,018
Gain on disposal of equipment	(195)	(6)	(195)	(6)
Loss on sale of bonds	9,053	-	9,053	-
Change in net assets of NSE LLP (note 17)	-	-	(3,660)	(1,716)
Issue of ESOP shares (note 27)	964	273	964	273
Effect of foreign exchange rate changes	5,755	(4,486)	5,755	(4,486)
Revaluation loss on property (note 12 and 13)	20,778	27,500	20,778	27,500
Movement in ECL and other provisions	(5,183)	(6,461)	(5,180)	(4,100)
Unrealised (gain)/loss on bond valuation	(7,734)	9,673	(7,734)	9,673
	(93,118)	(35,292)	(66,901)	(24,099)
Working capital changes:				
Decrease/(increase) in trade and other receivables	9,795	(22,281)	12,869	(23,081)
Increase in trade and other payables	28,516	11,373	24,783	9,670
Increase in tenant deposits	1,068	-	1,068	-
Movement in related party balances	-	-	3,309	(17,263)
	39,379	(10,908)	42,029	(30,674)
Cash generated from/(used in) operations	109,084	(3,874)	124,745	10,155

* Changes in presentation of the comparative figures have been made as disclosed in note 3.21.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

32 EARNINGS PER SHARE - BASIC AND DILUTED

Basic earnings per share has been calculated by dividing the net profit per year to owners of the Group by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2024	2023	2024	2023
Net profit attributable to owners of the Group (Sh'000)	116,272	18,403	107,312	44,446
Number of shares at 31 December (in thousands)	260,635	260,452	260,635	260,452
Basic and diluted earnings per share – Sh	0.45	0.07	0.41	0.17

33 RELATED PARTY TRANSACTIONS

The following transactions were carried out by the Group and Company with related parties at market rates.

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
a) Directors' emoluments				
Non – executive				
Directors fees and sitting allowances (including committees)	15,973	16,173	15,659	15,916
Executive	34,289	31,749	34,289	31,749
Total directors' remuneration	50,262	47,922	49,948	47,665

	Group and Company	
	2024	2023
	Sh'000	Sh'000
b) Key management compensation		
Salaries and other short-term employment benefits	87,068	71,659
Other long term benefits	8,610	6,575
	95,678	78,234

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

33 RELATED PARTY TRANSACTIONS (Continued)

c) Transactions with shareholders

The Group and Company are related to various parties by virtue of common shareholding. The shareholders exercise significant influence over the operations of the exchange. As at 31 December 2024, the Group had 8 stockbrokers (2023: 9) and 8 licensed investment banks (2023: 6) who are shareholders. The transactions carried out during the year with the brokers and investment banks who are related parties by virtue of shareholding are disclosed below:

The Group charges investors, through the brokers, a transaction levy of 0.12% (31 December 2023: 0.12%) of the value of equity securities traded at the Exchange. During the 12 months period ended 31 December 2024, the total turnover was Sh 104,108 million (31 December 2023: Sh 57,094 million) resulting in a transaction levy of Sh 125 million (31 December 2023: Sh 69 million). NSE also charges investors, through brokers, a transaction levy of 0.0035% (31 December 2023 – 0.0035%) of the value of fixed income securities traded at the Exchange. The turnover for fixed income securities for the 12 months period ended 31 December 2024 was Sh 1 trillion (31 December 2023: Sh 810 billion), resulting in transaction levy of Sh 58 million (31 December 2023: Sh 28 million).

	Group		Company	
	2024	2023	2024	2023
	Sh'000	Sh'000	Sh'000	Sh'000
Transaction levy on - equity securities	124,930	68,513	124,930	68,513
Transaction levy on - fixed income securities	58,314	28,367	58,314	28,367
Broker back office subscriptions	18,304	17,280	18,304	17,280
Data fee	1,720	1,917	1,720	1,917
Training	820	385	820	385
NOMAD fee	150	150	150	150
Annual membership fee	1,800	1,100	1,800	1,100
	206,038	117,712	206,038	117,712

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

33 RELATED PARTY TRANSACTIONS (Continued)

d) Transactions with companies related to directors

The Company's memorandum and articles of association requires that trading participants and listed companies to have two representatives each on the Board. The transactions listed below were carried out during the period with companies who the aforementioned representatives are directors.

	Group & Company	
	2024	2023
	Sh'000	Sh'000
i) Stockbrokers and investment bank representatives		
Transaction levy on - equity securities	29,376	18,861
Transaction levy on - fixed income securities	14,642	11,117
Broker back-office subscriptions	2,913	2,880
Training	69	40
NOMAD fees	50	50
Data fee	203	-
Annual fee	200	100
Derivative fee	200	-
	47,653	33,048
e) Transactions with associate		
During the year, transactions with CDSC Ltd were as follows:-		
Transaction levy on fixed income securities	-	20,096
Net amounts receivable from associate (note 22 (a))	-	6,794
f) Transactions with subsidiary and structured entities		
i) Due from related party		
NSE Clear Limited (note 33 (f) (ii))	9,424	9,442
NSE Derivatives Settlement Guarantee Fund (note 33 (f) (iv))	1,512	4,260
NSE Derivatives Investor Protection Fund (note 33 (f) (iii))	170	98
AKS Nominees Limited (note 33 (f) (vi))	823	16,467
	11,929	30,267
Due to NSE LLP (note 33 (f) (v))	(781)	(166)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

33 RELATED PARTY TRANSACTIONS (Continued)

f) Transactions with subsidiary and structured entities (Continued)

	Company	
	2024	2023
	Sh'000	Sh'000
ii) During the year, transactions with NSE Clear Limited were as follows:-		
Expenses paid by the Company relating to:		
Audit and tax fees	1,179	886
Board allowances	276	314
CMA fees	500	500
Management fees	682	366
Other expenses	120	43
	<u>2,757</u>	<u>2,109</u>
Amounts due from NSE Clear Limited	<u>9,424</u>	<u>9,442</u>
(iii) During the year, transactions with NSE Derivatives Investor Protection Fund (IPF) were as follows: -		
Expenses paid by the Company relating to:		
Trustee allowances	276	314
Audit and tax fees	607	474
Management fees	378	214
CMA fees	500	500
Other expenses	37	17
	<u>1,798</u>	<u>1,519</u>
Amounts due from NSE Derivatives Investor Protection Fund	<u>170</u>	<u>98</u>

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

33 RELATED PARTY TRANSACTIONS (Continued)

f) Transactions with subsidiary and structured entities (Continued)

	Company	
	2024	2023
	Sh'000	Sh'000
(iv) During the period, transactions with NSE Derivatives Settlement Guarantee Fund (SGF) were as follows:-		
Expenses paid by the Company relating to:		
Income tax	404	1,233
Trustee allowances	276	314
Audit and tax fees	607	474
CMA fees	500	500
Other expenses	97	15
	1,884	2,536
Management fees	3,855	2,103
Distribution of surplus to NSE	4,962	6,867
Amounts due from the NSE Derivatives SGF	1,512	4,260
(v) During the period, transactions with NSE LLP were as follows: -		
Expenses paid by the Company relating to:		
Share of USP fees	1,696	258
Audit and tax fees	464	366
Consultancy fees	4,119	1,058
Franking machine fund loading/purchasing	200	989
Other expenses	120	15
	6,599	2,686
Surplus for the year to the NSE	3,660	1,716
Amounts due to the NSE LLP	(781)	(166)
(vi) During the period, transactions with AKS Nominees Limited were as follows:-		
Dividend income declared in the year	-	16,467
Amounts due from AKS Nominees Limited	823	16,467

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

33 RELATED PARTY TRANSACTIONS (Continued)

g) Loans and advances to Executive Director

	Company	
	2024	2023
	Sh'000	Sh'000
At start of year	1,057	4,953
Advances made in the year	481	2,193
Loan made in the year	444	3,796
Repayments in the year	(1,982)	(9,885)
At end of year	-	1,057
Interest income earned on loan	84	306

The balances are included in note 22 (a) under staff loans and advances. The repayment period for the loans and advances are one year and three months respectively. Interest on the loans was at 15% p.a (2023 – 15% p.a). All terms are as per company policy.

34 OPERATING LEASE COMMITMENTS (GROUP AND COMPANY)

The Group and Company as a lessor:

Lease rental income earned during the year was Sh 9.6 million (2023: Sh 6.5 million). At the end of the reporting period the Group and Company had existing contracts with tenants for the following minimum lease payments:

	2024	2023
	Sh'000	Sh'000
Receivable within 1 year	17,429	9,402
Receivable after 1 year but within 5 years	62,644	18,056
	80,073	27,458

Rental income receivable relates to the lease rent receivable on the leased areas on the investment property.

35 CAPITAL COMMITMENTS - GROUP AND COMPANY

Commitments at the end of the reporting period for which no provision had been made in these financial statements:

	2024	2023
	Sh'000	Sh'000
Authorised but not yet contracted for	-	233,510

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES

The main business risks faced by the Group and the Company in respect of its principal non-derivative financial instruments are market risk including interest rate risk and foreign currency risk, credit risk and liquidity risk. The directors review and determine policies for managing these risks.

(a) Market risk

The Group and the Company maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the Group and the Company do not speculate or trade in derivative financial instruments.

(i) Interest rate risk (Group and Company)

The Group and Company's investment in interest earning investments are both at amortised cost and fair value through profit or loss. These comprise of treasury bonds and bank deposits which are at fixed interest rates hence not exposed to interest rate risk.

The fixed deposits are short-term in nature and the fair value risk is considered minimal. Treasury bonds held at fair value through profit and loss carry a fair value risk as these are long term.

The Group and Company's investments are at fixed interest rates and are therefore not exposed to interest rate risk for both 2024 and 2023.

(ii) Foreign currency exchange risk (Group and Company)

The Group and Company undertake certain transactions denominated in foreign currencies. Therefore, exposures to exchange rate fluctuations arise. Exchange rate exposures are however minimal as these only relate to income from data and interest income.

At 31 December, the carrying amounts of foreign currency denominated monetary assets and liabilities which were all held in US Dollar currency are as follows:

	2024	2023
	Sh'000	Sh'000
Assets		
Cash and bank balances	4,904	826
Other receivables	510	629
Fixed deposit	2,202	69,467
	7,616	70,922
Liabilities		
Accrued expenses	(12,285)	(7,759)
Net position	(4,669)	63,163

At 31 December 2024, if the Shilling had weakened/strengthened by 10% against the US Dollar with all other variables held constant, the impact on pretax profit and total equity and reserves for the year would have been Sh 466,900 (2023: Sh 6,316,000) higher/lower mainly as a result of translation of US dollar denominated balances.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Market risk (continued)

(iii) Price risk (Group and Company)

The Group and Company hold investments that would be subject to price risk.

At 31 December, the fair value of the investments that are subject to price risk are as follows:

	2024	2023
	Sh'000	Sh'000
Quoted equity instrument (note 18)	147,771	133,121

At 31 December 2024, if the price had weakened/strengthened by 10% against the market share price, the impact on other comprehensive income and total equity and reserves would have been Sh 14,777,000 (2023 – Sh 13,312,000).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company)

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss. Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. Credit risk mainly arises from financial assets and is managed on a Group-wide basis.

Credit risk on financial assets with banking institutions is managed by dealing with institutions with good credit ratings and placing limits on deposits that can be held in one institution.

Credit risk on trade receivables is managed by ensuring that credit is extended to customers with an established credit history. The credit history is determined by taking into account the financial position, past experience and other relevant factors. Credit is managed by setting a credit limit and credit period for each customer. The utilization of the credit limits and the credit period is monitored by management on a monthly basis.

In assessing whether the credit risk on a financial asset has increased significantly, the Group compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the Group considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due.

For this purpose, default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor is unlikely to be able to meet its obligations. However, there is a rebuttable assumption that that default does not occur later than when a financial asset is 90 days past due.

The Group and Company do not hold collateral or security to mitigate credit risk.

i) The gross carrying amount of financial assets with exposure to credit risk at balance sheet date was as follows:

	12 – month expected credit losses	Lifetime expected credit losses		Total
		(a)	(b)	
	Sh'000	Sh'000	Sh'000	Sh'000
Group				
At 31 December 2024				
Government securities	338,073	-	-	338,073
Long-term restricted investments	144,904	-	-	144,904
Trade receivables	55,622	8,399	-	64,021
Other receivables	36,656	4,412	-	41,068
Short-term restricted cash and investments	292,628	-	-	292,628
Cash, cash equivalents and fixed deposits	379,331	-	-	379,331
Gross carrying amount	1,247,214	12,811	-	1,260,025
Loss allowance	(5,694)	(12,811)	-	(18,505)
Exposure to credit risk	1,241,520	-	-	1,241,520

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company) (Continued)

i) The gross carrying amount of financial assets with exposure to credit risk at balance sheet date was as follows: (Continued)

	12 – month expected credit losses	Lifetime expected credit losses		
		(a)	(b)	(c)
	Sh'000	Sh'000	Sh'000	Sh'000
Group				
At 31 December 2023				
Government securities	446,460	-	-	446,460
Long-term restricted investments	143,388	-	-	143,388
Trade receivables	19,887	1,835	-	21,722
Other receivables	54,501	3,391	-	57,892
Short-term restricted cash and investments	317,171	-	-	317,171
Cash, cash equivalents and fixed deposits	90,419	-	-	90,419
Gross carrying amount	1,071,826	5,226	-	1,077,052
Loss allowance	(4,531)	(5,226)	-	(9,757)
Exposure to credit risk	1,067,295	-	-	1,067,295
Company				
At 31 December 2024				
Government securities	338,073	-	-	338,073
Trade receivables	55,563	3,151	-	58,714
Other receivables	32,881	4,412	-	37,293
Short-term restricted cash and investments	292,628	-	-	292,628
Cash, cash equivalents and fixed deposits	360,794	-	-	360,794
Gross carrying amount	1,079,939	7,563	-	1,087,502
Loss allowance	(5,692)	(7,563)	-	(13,255)
Exposure to credit risk	1,074,247	-	-	1,074,247
At 31 December 2023				
Government securities	446,460	-	-	446,460
Trade receivables	19,887	1,835	-	21,722
Other receivables	53,743	3,391	-	57,134
Short-term restricted cash and investments	317,171	-	-	317,171
Cash, cash equivalents and fixed deposits	60,267	-	-	60,267
Gross carrying amount	897,528	5,226	-	902,754
Loss allowance	(4,525)	(5,226)	-	(9,751)
Exposure to credit risk	893,003	-	-	893,003

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company) (Continued)

Financial assets for which the loss allowance has been measured at an amount equal to lifetime expected credit losses have been analysed above based on their credit risk ratings as follows:

- Financial assets for which credit risk has increased significantly since initial recognition but that are not credit impaired
- Financial assets that are credit impaired at the balance sheet date

The above represents the worst-case scenario of credit exposure for both years.

ii) The loss allowance at end of each year relates to the following:

	12 – month expected credit losses	Lifetime expected credit losses		Total
		(a)	(b)	
	Sh'000	Sh'000	Sh'000	Sh'000
Group				
At 31 December 2024				
Government securities (note 20)	3,164	-	-	3,164
Long-term restricted investments (note 19)	2	-	-	2
Trade receivables (note 22 (b))	135	8,399	-	8,534
Other receivables (note 22 (b))	879	4,412	-	5,291
Cash, cash equivalents and fixed deposits (note 23)	1,514	-	-	1,514
Total	5,694	12,811	-	18,505
At 31 December 2023				
Government securities (note 20)	3,163	-	-	3,163
Long-term restricted investments (note 19)	6	-	-	6
Trade receivables (note 22 (b))	114	1,835	-	1,949
Other receivables (note 22 (b))	740	3,391	-	4,131
Cash, cash equivalents and fixed deposits (note 23)	508	-	-	508
Total	4,531	5,226	-	9,757
Company				
At 31 December 2024				
Government securities (note 20)	3,164	-	-	3,164
Trade receivables (note 22 (b))	135	3,151	-	3,286
Other receivables (note 22 (b))	879	4,412	-	5,291
Cash, cash equivalents and fixed deposits (note 23)	1,514	-	-	1,514
Total	5,692	7,563	-	13,255
At 31 December 2023				
Government securities (note 20)	3,163	-	-	3,163
Trade receivables (note 22 (b))	114	1,835	-	1,949
Other receivables (note 22 (b))	740	3,391	-	4,131
Cash, cash equivalents and fixed deposits (note 23)	508	-	-	508
Total	4,525	5,226	-	9,751

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company) (Continued)

iii) The changes in the loss allowance during the year were as follows :

	12 – month expected credit losses	Lifetime expected credit losses		Total
	Sh'000	(a) Sh'000	(b) Sh'000	Sh'000
Group				
Year ended 31 December 2024				
At start of year	4,531	5,226	-	9,757
Additions in the year (note 7)	1,163	7,585	-	8,748
At end of year	5,694	12,811	-	18,505
Year ended 31 December 2023				
At start of year	9,493	5,409	-	14,902
Reversals in the year (note 7)	(4,962)	(183)	-	(5,145)
At end of year	4,531	5,226	-	9,757
Company				
Year ended 31 December 2024				
At start of year	4,525	5,226	-	9,751
Additions in the year (note 7)	1,167	2,337	-	3,504
At end of year	5,692	7,563	-	13,255
Year ended 31 December 2023				
At start of year	9,433	4,652	-	14,085
(Reversals)/additions in the year (note 7)	(4,908)	574	-	(4,334)
At end of year	4,525	5,226	-	9,751

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(c) Liquidity risk – Group and Company

Prudent liquidity risk management includes maintaining sufficient cash to meet the Group and Company's obligations. The Group and Company manage this risk by maintaining adequate cash balances in the bank, banking facilities and by continuously monitoring forecast and actual cash flows.

The table below analyses the Group and Company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Up to 1 year	1 – 5 years	Total
	Sh'000	Sh'000	Sh'000
Group			
At 31 December 2024			
Financial liabilities			
Tenant deposits	-	3,283	3,283
Trade and other payables	103,463	-	103,463
Dividends payable	61,961	-	61,961
Trading members' contributions	2,200	-	2,200
Settlement Guarantee Fund members contributions	-	11,750	11,750
Total financial liabilities	167,624	15,033	182,657
At 31 December 2023			
Financial liabilities			
Tenant deposits	-	2,215	2,215
Trade and other payables	74,947	-	74,947
Dividends payable	60,221	-	60,221
Trading members' contributions	2,200	-	2,200
Settlement Guarantee Fund members contributions	-	11,750	11,750
Total financial liabilities	137,368	13,965	151,333
Company			
At 31 December 2024			
Financial liabilities			
Tenant deposits	-	3,283	3,283
Trade and other payables	90,400	-	90,400
Dividends payable	61,898	-	61,898
Due to NSE LLP	781	-	781
Total financial liabilities	153,079	3,283	156,362

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(c) Liquidity risk – Group and Company (Continued)

	Up to 1 year	1 – 5 years	Total
	Sh'000	Sh'000	Sh'000
Company			
At 31 December 2023			
Financial liabilities			
Tenant deposits	-	2,215	2,215
Trade and other payables	65,617	-	65,617
Dividends payable	59,237	-	59,237
Due to NSE LLP	166	-	166
Total financial liabilities	125,020	2,215	127,235

(d) Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

- i) Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active trading markets for identical assets or liabilities.
- ii) Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from the Nairobi Securities Exchange.
- iii) Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs). The external valuation of buildings and investment property has been performed using the net income approach.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(d) Fair value of financial assets and liabilities (Continued)

The table below shows an analysis of the fair value of financial instruments that are carried at fair value by level of the fair value hierarchy.

	2024	2023
	Sh'000	Sh'000
Group and Company		
Level 1		
Financial assets		
Quoted equity instrument	147,771	133,121
Level 2		
Financial assets		
Government securities	122,389	241,324

There were no transfers between levels 1, 2 and 3 in the period and for level 3, there was no movement.

- i) Level 1 – We have determined the fair value using quoted prices (unadjusted) from the Dar Es Salaam Stock Exchange.
- ii) Level 2 – We have determined the fair value using the implied yield curve for the bond published by the Nairobi Securities Exchange.
- iii) Level 3 – The external valuation of buildings and investment property has been performed using the net income approach. The fair value for the investment property and building under property plant and equipment is based on a valuation report.

37 CAPITAL MANAGEMENT

The Group and Company manage its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

At 31 December 2024 and 31 December 2023, the Group and Company did not have any borrowings.

38 MINIMUM LIQUID NET-WORTH REQUIREMENTS (COMPANY)

	2024	2023
	Sh'000	Sh'000
Estimated twelve months operating costs	585,256	634,342
Required minimum liquid net-worth at one half of estimated operating costs	292,628	317,171
Cash and cash equivalents and fixed deposits (note 23)	292,628	317,171

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

38 MINIMUM LIQUID NET-WORTH REQUIREMENTS (COMPANY) (CONTINUED)

To ensure that there is no significant risk that liabilities may not be met as they fall due, the Capital Markets (Derivatives Markets) Regulations, 2015 requires a futures exchange to maintain minimum liquid net-worth requirements equal to one half of the estimated gross operating costs of the futures exchange for the next twelve (12) month period or such other liquid net-worth amount as may be prescribed by the Authority. This has been met based on the above and disclosed separately in note 23.

39 CONTINGENT LIABILITY

Five (5) former employees of the NSE had filed a suit in July 2023 and alleged wrongful termination. The judgement was delivered in April 2024. The employees have appealed the judgement seeking compensation of Sh 21,268,064 and general damages. The matter is pending in the Court of Appeal and has not been provided for in these financial statements.

NOTICE OF THE 71ST ANNUAL GENERAL MEETING

NOTICE is hereby given that the **71st Annual General Meeting** of the Nairobi Securities Exchange Plc will be held by electronic communication, on **Wednesday 21st May 2025 at 11.00 a.m. East Africa Time (EAT)**, to transact the following business:

ORDINARY BUSINESS

1. To read the notice convening the meeting, table the proxies received and confirm the presence of a quorum.
2. To confirm and adopt the Minutes of the Annual General Meeting held on Wednesday 29th May 2024.
3. To receive the Chairman's Statement and the Chief Executive's Report.
4. To receive, consider and, if thought fit, adopt the Audited Financial Statements for the year ended 31st December 2024 together with the reports of the Directors and Auditors thereon.
5. To approve a final dividend of Kshs. 0.32 per ordinary share, in respect of the Financial Year ended 31st December 2024, to be paid to shareholders on the register as at the close of business on 21st May 2025.
6. To approve the Remuneration Report of the Board as detailed in the Annual Report for the Financial Year ended 31st December 2024 and to authorize the Directors to fix their remuneration.
7. Election of Directors:
 - (a) In accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. Kiprono Kittony (a Non-Executive Director and Chairman of the Board) retires by rotation, and being eligible, offers himself for re-election;
 - (b) In accordance with Articles 94 and 95 of the Company's Articles of Association, Ms. Isis Nyong'o (an Independent/Non-Executive Director) retires by rotation, and being eligible, offers herself for re-election;
 - (c) In accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. John Niepold (an Independent/Non-Executive Director) retires by rotation, and being eligible, offers himself for re-election;
 - (d) In accordance with Articles 94 and 95 of the Company's Articles of Association, Ms. Caroline Kariuki (an Independent/Non-Executive Director) retires by rotation, and being eligible, offers herself for re-election;
 - (e) In accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. Paul Mwai (Vice-Chairman and Non-Executive Director representing Trading Participants), will retire from the Board at the Annual General Meeting and does not offer himself for re-election.
8. In accordance with the provisions of Section 769 of the Companies Act, 2015, the following directors, being members of the Board Audit, Risk and Compliance Committee, be appointed individually to continue to serve as members of the said Committee:
 - (a) Ms. Isis Nyong'o
 - (b) Mr. John Niepold;
 - (c) Ms. Risper Alaro-Mukoto
 - (d) Ms. Caroline Kariuki
9. To note the retirement of Deloitte & Touche LLP as the Auditor of the Company, and to appoint PKF Kenya LLP as the Auditor of the Company in accordance to the provisions of Section 721 of the Companies Act, 2015, and to authorize the Directors to fix their remuneration for the ensuing Financial Year.

SPECIAL BUSINESS

10. To consider and, if thought fit, to pass the following Resolution as an Ordinary Resolution:

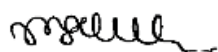
To authorize the Board to formulate, approve, implement and regularly review policy documents as a continuing obligation envisaged under Regulation 8.21 of the Thirteenth Schedule of the Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023 for:

 - (i) Board Remuneration;
 - (ii) Effective Communication with Stakeholders;
 - (iii) Corporate Disclosures Policies and Procedures;
 - (iv) Dispute Resolution for Internal and External Dispute; and
 - (v) Board members attraction and Retention Policy.

ANY OTHER BUSINESS

11. To consider any other business of which due notice has been received.

BY ORDER OF THE BOARD



MILLICENT NGETICH
COMPANY SECRETARY
DATE: 29th April 2025

NOTES:

1. Nairobi Securities Exchange Plc has convened and will conduct a Virtual Annual General Meeting ("AGM") pursuant to Section 283 of the Companies Act and Article 79 of the Company's Articles of Association.

2. Shareholders wishing to participate in the meeting should register for the AGM by doing the following:
- (a) Dialing *483*XXX# for all networks and follow the various prompts regarding the registration process; or
 - (b) Sending an email request to be registered to NSEAgm@image.co.ke; or
 - (c) Shareholders with email addresses will receive a registration link via email which they can use to register.

In order to complete the registration process, Shareholders will need to have their ID/Passport Numbers, which were used to purchase their shares and/or their CDSC Account Number at hand. For assistance, Shareholders should dial the following helpline number: +254 709 170 000/30 from 9.00 a.m. to 5.00 p.m. from Monday to Friday or send an email to NSEAgm@image.co.ke.

3. Registration for the AGM opens on Tuesday, 29th April 2025 at 8.00 a.m. (EAT) and will close on Monday 19th May 2025 at 5.00 p.m. (EAT). Shareholders will not be able to register after 19TH May 2025 at 11.00 am (EAT).

4. In accordance with Section 283(3) of the Companies Act, the following documents are available for viewing on the Company's website www.nse.co.ke :

- (a) A copy of this Notice;
- (b) The Proxy form;
- (c) The Company's Financial Statements and reports for the year 2024;
- (d) Director Nomination Forms; and
- (e) Consent Forms.

The reports may also be accessed upon request by dialing the USSD code *483*XXX# and selecting the Reports option. The reports and agenda can also be accessed on the livestream link.

5. Shareholders wishing to raise any questions or clarification regarding the AGM may do so by one of the following options:
- (a) Dialing the USSD code *483*XXX# and choosing the option "Ask Question".
 - (b) Sending their written questions by email to NSEAgm@image.co.ke ; or
 - (c) Shareholders who will have registered to participate in the meeting shall be able to ask questions via SMS by dialing the USSD code above and selecting the option (ask Question) on the prompts.
 - (d) To the extent possible, physically delivering their written questions with a return physical address or email address to the Registered Office of the Company at The Exchange Building, 5th Floor, 55 Westlands Road, or to Image Registrars Limited offices at 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street; or
 - (e) Sending their written questions with a return physical address or email address by registered post to the Company's address at P. O. Box 43633 - 00100, Nairobi, or to Image Registrars address - P.O. Box 9287-00100 Nairobi.

Shareholders must provide their full details (full names, Kenyan national identity/passport Number/CDSC Account Number) when submitting their questions and clarification. All questions and clarifications must reach the Company on or before **Monday 19th May 2025 at 5.00 p.m. (EAT).**

Following receipt of the questions and clarifications, the directors of the Company shall provide written responses to the questions received to the return physical address or e-mail address provided by the Shareholder no later than twelve (12) hours before the start of the general meeting. A full list of all questions received and the answers thereto will be published on the Company's website no later than twelve (12) hours before the start of the AGM.

6. In accordance with Section 298(1) of the Companies Act, Shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf. A proxy need not be a member of the Company, but if not the Chairman of the AGM, the appointed proxy will need access to a mobile telephone. A proxy form is attached to this Notice and is available on the Company's website via this link: www.nse.co.ke. Physical copies of the proxy form are also available at the following address: Image Registrars Limited offices, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street. A proxy must be signed by the appoint or or his/her attorney duly authorized in writing. If the appoint or is a body corporate, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such corporation or Government office. A completed form of proxy should be emailed to NSEAgm@image.co.ke or delivered to Image Registrars Limited, 5th Floor Absa Towers (formerly Barclays Plaza), Loita Street, P. O. Box 9287 - 00100 GPO, Nairobi, so as to be received not later than **Monday 19th May 2025 at 10.00 a.m.**
7. In accordance with the provisions of Article 96 of the Articles of Association of the Company, a person seeking election as a Director at the Annual General Meeting, should deliver to the Company Secretary, through the Company's physical, postal or email address ceoffice@nse.co.ke copy to millicent.ngetich@image.co.ke), by **Monday 19th May 2025** at 11:00 a.m., a notice in writing signed by a Shareholder duly qualified to attend and vote at the meeting, of his intention to propose such person for election and notice in writing signed by the person to be proposed of his willingness to be elected as per the nomination papers which may be accessed on the Company's website www.nse.co.ke. The person so nominated will be required to send a Consent in the format also available on the Company's website.

NOTES:

8. The AGM will be streamed live via a link, which shall be provided to all shareholders who will have registered to participate in the general meeting. Duly registered shareholders and proxies will receive a short message service (SMS/USDD) prompt on their registered mobile numbers, 24 hours prior to the AGM acting as a reminder of the AGM. A second SMS/USDD prompt shall be sent at least one hour ahead of the AGM, reminding duly registered shareholders and proxies that the AGM will begin in an hours' time. The link will be sent to registered shareholders via SMS and Email 24 hours before the meeting.
9. Duly registered Shareholders and proxies may follow the proceedings of the AGM using the livestream platform and may access the agenda. Duly registered shareholders and proxies may vote (when prompted by the Chairman) via the USSD prompts or via the VOTE button on the livestream link.
10. A Poll shall be conducted for all the Resolutions put forward in this Notice.
11. Shareholders will receive an SMS prompt with instructions on their registered mobile phone numbers alerting them to propose or to second the resolutions put forward in the notice.
12. Results of the AGM shall be published within twenty-four (24) hours following conclusion of the AGM. Should any changes be necessitated by any laws, regulations, Shareholders will be updated through the registered contact details and through the Company's website www.nse.co.ke.

END

PROXY FORM

I/We,, of, being a shareholder/shareholders of the Nairobi Securities Exchange PLC ("the Company"), hereby appoint, of, or failing him/her,, of, as my/our proxy to attend and vote for me/us/on my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Monday 21st May 2025 and at any adjournment thereof.

As witness my/our hand this.....day of2025.

SIGNED.....

SIGNED.....

AGENDA ITEM	RESOLUTION	FOR	AGAINST
ORDINARY BUSINESS			
4.	To adopt the audited Financial Statements for the Financial Year ended 31st December 2024, together with the reports of the Directors and Auditors thereon.		
5.	To approve a final dividend of Kshs. 0.32 per share in respect of the Financial Year ended 31st December 2024, to be paid to shareholders on the register as at the close of business on 21st May 2025.		
6.	To approve the Remuneration Report of the Board in respect of the Financial Year ended 31st December 2024 and to authorize the Directors to fix their remuneration.		
7(a)	To re-elect Mr. Kiprono Kittony (a Non-Executive Director and Chairman of the Board) in accordance with Articles 94 and 95.		
7(b)	To re-elect Ms. Isis Nyong'o (an Independent Non-Executive Director) in accordance with Articles 94 and 95.		
7(c)	To re-elect Mr. John Niepold (an Independent Non-Executive Director) in accordance with Articles 94 and 95.		
7(d)	To re-elect Ms. Caroline Kariuki (an Independent Non-Executive Director) in accordance with Articles 94 and 95.		
8(a)	To appoint Ms. Isis Nyong'o to continue serving as a member of the Board Audit, Risk and Compliance Committee.		
8(b)	To appoint Mr. John Niepold to continue serving as a member of the Board Audit, Risk and Compliance Committee.		
8(c)	To appoint Ms. Risper Alaro-Mukoto to continue serving as a member of the Board Audit, Risk and Compliance Committee.		
8(d)	To appoint Ms. Caroline Kariuki to continue serving as a member of the Board Audit, Risk and Compliance Committee.		
9.	To note the retirement of Deloitte & Touche LLP as the Auditor of the Company, and to appoint PKF Kenya LLP as the Auditor of the Company in accordance to the provisions of Section 721 of the Companies Act, 2015, and to authorize the Directors to fix their remuneration for the ensuing Financial Year.		
10.	To authorize the Board to formulate, approve, implement and regularly review policy documents as a continuing obligation envisaged under Regulation 8.21 of the Thirteenth Schedule of the Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023 for: (i) Board Remuneration; (ii) Effective Communication with Stakeholders; (iii) Corporate Disclosures Policies and Procedures; (iv) Dispute Resolution for Internal and External Dispute; and (v) Board members attraction and Retention Policy.		

ELECTRONIC COMMUNICATIONS CONSENT FORM

Please complete in **BLOCK CAPITALS**

Full name of Proxy(ies):

[illegible]

Adress:

[illegible]

Mobile Number

[illegible]

Date:

[illegible]

Signature

Please tick ONE of the boxes below and return to:
Image Registrars Limited, 5th Floor, Absa Towers, Loita Street, Nairobi

Approval of Registration

I/We approve to register to participate in the virtual AGM to be held on 21st May 2025.



Consent for use of the Mobile Number provided

I/We would give my/our consent for the use of the mobile number provided for purposes of voting at the virtual AGM.

10

Notes:

1. If a member is unable to attend personally, this Proxy Form should be completed and returned (together with a power of attorney or other authority (if any) under which it is assigned or a notarized certified copy of such power or authority) to Image Registrars, 5th Floor, Absa Towers, Loita Street, Nairobi, or through their email address NSEAgm@image.co.ke, to arrive not later than 11.00 a.m. (EAT) on Monday, 19th May 2025 i.e. 48 hours before the meeting or any adjournment thereof.
2. In case of a member being a corporate body, the Proxy Form must be signed under the hand of an officer or duly authorized attorney of such corporate body.
3. As a shareholder you are entitled to appoint one or more proxies to exercise all or any of your shareholder rights to attend and to speak and vote on your behalf at the meeting. A proxy need not to be a shareholder of the Company.

CONSENT FORM FOR INDEPENDENT NON-EXECUTIVE DIRECTOR

I of P. O. Box being the person in respect of whom
..... of P. O. Box has given notice of
intention to propose me as a candidate to be elected as an Independent/Non-Executive Director of the Nairobi Securities Exchange Plc at
the Annual General Meeting to be held on Wednesday 29th May 2025, do hereby notify you of my willingness to be so elected.

SIGNED this day of 2025.

.....
SIGNATURE

PLEASE NOTE:

1) Article 96 of the Articles of Association of Nairobi Securities Exchange Plc provides as follows:

“No person, other than a Director retiring at a meeting, shall be eligible for appointment as a Director at any General Meeting, unless not less than seven (7) nor more than twenty one (21) days before the day appointed for the meeting, there shall have been delivered to the Secretary of the Company notice in writing signed by a shareholder duly qualified to attend and vote at the meeting for which the notice has been given, of his intention to propose such person for election, and notice in writing, signed by the person to be proposed of his willingness to be elected.”

2) To be valid, this Consent Form must be received by the Company Secretary; **E-mail:** millicent.ngetich@image.co.ke (copy to ceooffice@nse.co.ke) by **1.00 p.m. East Africa Time, on Tuesday 13th May 2025.**

NOMINATION FORM FOR INDEPENDENT NON-EXECUTIVE DIRECTOR

NOTICE OF INTENTION TO PROPOSE A CANDIDATE FOR ELECTION AS AN INDEPENDENT NON-EXECUTIVE DIRECTOR

I/Weof P. O. Box being a shareholder/shareholders
of the Nairobi Securities Exchange Plc and duly qualified to attend and vote at the Company's Annual General Meeting to be held on
Wednesday 21st May 2025, do hereby give notice of my/our intention to proposeof
P. O. Box for election as an Independent/Non-Executive Director of the Company at the meeting.

SIGNED this day of 2025.

SIGNED BY:

NAME

SIGNATURE(S).....

PLEASE NOTE:

- 1) The Articles of Association of Nairobi Securities Exchange Plc define an "Independent Non-Executive Director" as a Non-Executive Director who, for the last 5 years, has not been employed by the Company in an executive capacity; has not been a director of a Trading Participant; has not been employed by a Trading Participant in an executive capacity; has no personal service contract(s) with a Trading Participant; is not a director or a member of the senior management of a company listed on the Company's securities exchange; and does not own or hold shares in a Trading Participant.**
- 2) To be valid, this Nomination Form must be received by the Company Secretary; E-mail: millicent.ngetich@image.co.ke (copy to ceoffice@nse.co.ke) by 1.00 p.m. East Africa Time, on Tuesday, 13th May 2025.**



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Nairobi, Kenya

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